



September 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

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September 2026

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NB: Quarterly forecasts for commodities on page 27 are now reported on a quarter-average basis. Forecasts on an end-of-quarter basis will be made available the week after Market Outlook is published.

Heating up



The most significant development this month has been the broad rise in global bond yields. This is occurring amid a longer-run uptrend in real yields, inflation expectations and term premia since the low-rate pre-pandemic era. The latest move comes on the back of renewed conflict in the Middle East, oil prices pushing back above US\$100/bbl and central banks actively contemplating more rate rises. With mid-term elections adding another layer of political disruption in the US and bond markets defying direct attempts by the US administration to lower yields, it's safe to say the situation is 'heating up'.

Inflation remains materially above target across all of the G7 bar Japan, US 10-year yields are closing in on 5%, and fiscal conditions remain unsettling, most notably in the US where gross debt levels recently surpassed US\$40 trillion while federal deficits continue to run at 6% of GDP.

These developments made for a provocative backdrop at Fed Chair Warsh's Jackson Hole debut, where he emphasised that inflation remains the Committee's priority. Markets are now pricing three to four hikes into 2027, though we believe only two will be needed to lean against any deterioration in expectations and the run higher in long-term yields. Europe faces similar concerns, but in our view, restrictive credit conditions argue against an aggressive follow-through – one more hike in Q4 should suffice. China's challenge is near the complete opposite: policy is already highly accommodative and households are not short of cash, but confidence remains too fragile for precautionary saving to give way to stronger consumption and investment. Concerted action by authorities is required if they want to minimise the risk of a prolonged low-growth scenario.

Closer to home, the RBA narrative has also shifted. A stronger-than-expected July CPI, a relatively resilient consumer and a larger data-centre investment pipeline has prompted us to reinstate a November rate hike into our base case. September remains a close call, but we expect the Board will prefer to wait for the quarterly CPI before moving.

Australia: The Q2 National Accounts showed Australia's economy expanded 0.4% in Q2 and 2.1% in year-ended terms. It was the first full quarter that households and businesses had to deal with the global energy shock flowing from the Middle East conflict alongside and higher domestic interest rates. With a strong ramp up in data centre investment also coming off a massive surge in Q1, the result was a messy and noisy quarter. Looking through this, growth appears to be stabilising at a slow pace rather than stalling.

Commodities: Most commodities rose in August as the geopolitical risk premium reasserted itself, lifting our broadest commodities index 4.5% mth, with steelmaking commodities the notable exception. Reflecting ongoing disruption to global oil markets, we have revised our Brent forecast higher, with prices now expected to average US\$90/bbl over the remainder of 2026.

Global FX Markets: Market participants remain acutely aware of risk. At the same time, confidence in US economic growth remains resolute. Nonetheless, the US dollar has edged lower over the past month.

New Zealand: The economy appears to be shaking off the disruption caused by the Middle East conflict and continuing the recovery that began last year. At the same time, the conflict has driven headline inflation well above the top of the RBNZ's target range, leading it to begin removing policy stimulus six months earlier than it had previously projected. We expect the OCR to reach 3% by year-end and move higher in 2027.

United States: A lack of confidence in the guidance given by Chair Warsh and open-ended Middle East conflict has led participants to almost price four rate hikes. We instead see two as necessary to calm concerns and give disinflation time.

China: Assessed in isolation, the domestic demand trend could be interpreted as suggesting policy is restrictive. This is not the case. Rather, confidence is holding China back.

Asia: Economic fundamentals across Asia have strengthened, yet currencies have struggled to keep pace. The explanation lies less in growth and more in capital allocation. Policymakers are shifting their focus from attracting to retaining capital.

Europe & UK: Current data and financial conditions argue for only one more hike then a steady hand from the ECB in contrast to the almost four hikes the market has recently priced.

Global bond yields rise ...

Luci Ellis

Chief Economist, Westpac Group

The key development in global markets this month has been the sharp rise in bond yields. Major economy (ex. Japan) 10yr yields have lifted 30–40bps since the previous *Market Outlook*, with most of the move occurring in recent days. UK and Australian sovereign 10yr yields have both risen above 5% and US 10yr Treasuries are almost at that mark.

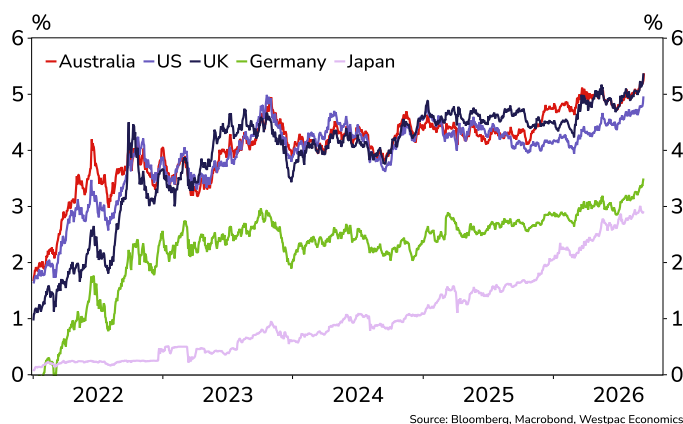
The background to the latest increase is that yields have been trending up for most of the post-pandemic period, especially outside the US, as economies exited the previous low-inflation, negative-yield regimes. Both real yields and implied inflation expectations increased during this longer-run transition, as did estimated term premia.

The increase in recent days is partly a reflection of shifting views about the near-term monetary policy outlook. The shorter ends of yield curves have typically lifted more than long ends, narrowing 2–10yr spreads. Longer-term market inflation expectations implied by both bond and swap markets have increased in recent days but remain well below the levels reached in the early months of the US–Iran conflict. The increase in real long yields in recent days has been particularly marked for Australia, where markets have repriced the chance of a near-term rate hike following higher-than-expected inflation in July (see below). This week's ECB hike and hawkish rhetoric has also influenced euro area pricing.

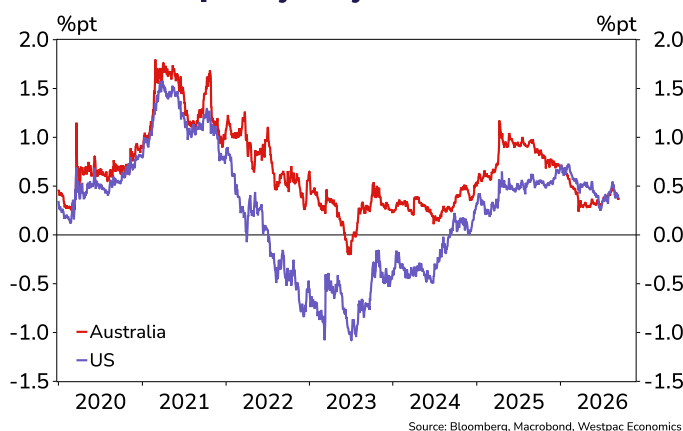
Several underlying drivers have been at play in the recalibration of views about central bank action. Markets have been unnerved by the unusual manoeuvrings of the US Treasury in support of the US bond market, which have drawn attention to the US fiscal incontinence that was already evident a few years ago and has worsened under the current administration. More broadly, the US government is making an exceptional call on global savings, and higher defence spending by other countries is adding to this. We expect more manoeuvres by the US authorities in an effort to contain bond yields and so the government's debt-servicing burden, but these will not be a lasting solution.

An additional factor that has grown over the past couple of years and come to a head recently is the demand for debt finance coming from the 'hyperscaler' tech firms – Amazon, Google, Microsoft, Meta and other majors at the epicentre of the AI boom. By way of example, Alphabet (Google's parent) issued the largest-ever deal into the \$A corporate bond market in recent weeks, and others are likely to follow. These deals have attracted strong demand but have done so at very wide spreads to sovereign yields given the issuer ratings. While yields on the bonds of other corporates have so far not repriced, the demand for finance represents a digestion issue for global investors, with implications for sovereign yields as well.

Global 10-Year Bond Yields

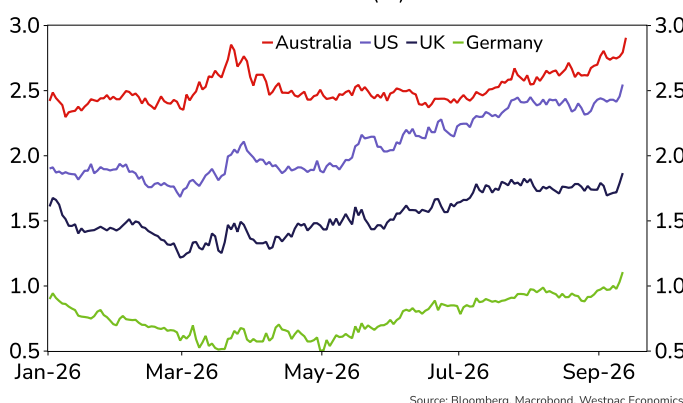


Yield Curve Slope (10yr – 2yr)



Global Real Interest Rates

10-Year Inflation-Linked Bond Yields (%)



... while RBA outlook pivots back to hikes

Both the atmospherics and the substance around the RBA policy decision have shifted considerably since the August *Market Outlook* was published. The RBA's August inflation forecasts implied a base case of rates remaining on hold. However, subsequent communication made clear that the Monetary Policy Board (MPB) would raise rates again if upside risks to inflation emerged, and we advised that a November rate hike should not be ruled out entirely.

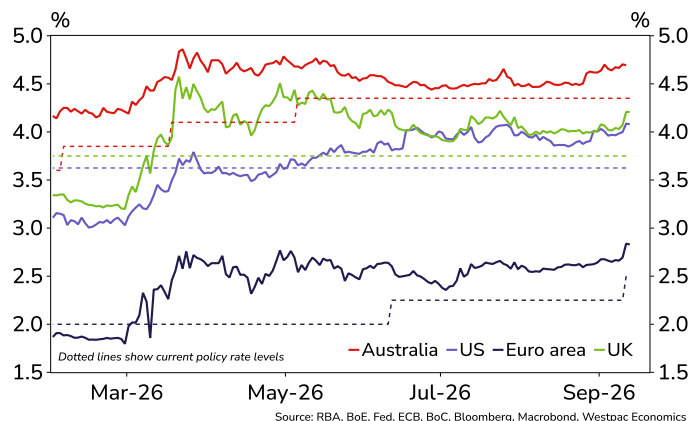
Since then, wages data undershot RBA expectations and consumer confidence and business conditions have relapsed to weakness. Markets have instead focused on the stronger-than-expected July CPI data and signs that the consumer has been more resilient than expected. A rate hike in November is now fully priced in, with a significant chance it occurs in September, as well as some probability of a follow-up hike in the new year.

We have also revised our RBA view, bringing a November hike back into the base case, rather than being a risk, as previously expected. The main reasons for the shift are the growing evidence of a more resilient household sector, and a larger-than-expected impetus from the data centre boom. National accounts and internal data have pointed to stronger household incomes in Q2 and onwards, which means spending will be more resilient over the near term even with sentiment stuck at historically weak levels. While the housing market is looking weaker than our previously published forecasts, its impact on consumer spending is more than offset by the wider boost to growth coming from a globally-driven surge in tech-related spending. An unprecedented pipeline of investment in data centres and associated renewable electricity generation and distribution is expected to drive business investment and so GDP growth – but also limit the pace of disinflation.

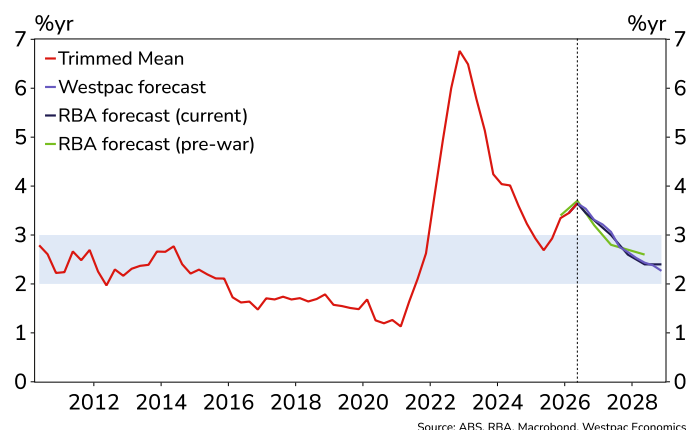
Tactically, we believe the RBA leadership would strongly favour a November hike over September. Overreacting to a noisy monthly print is something they have previously said they would not do. That said, if the internal members felt the situation was more urgent and wanted to get the hike done in September, we believe they could muster a majority of Monetary MPB votes in favour. Either way, the September decision may see a split vote, with some members coming into the meeting with different views about supply capacity and the state of the labour market, and more concerned about developments in global bond markets. The probability of a September hike is not zero, but we do not think it is the most likely outcome. We expect the MPB to prefer to wait for the full quarterly inflation data and revised forecasts to confirm the need for a rate increase.

We have not changed our assessment of the timing or number of cuts to the cash rate, pencilling in three 25bp cuts starting August 2027. This leaves the whole path for the cash rate 25bps higher than our earlier expectations, consistent with the emerging impetus from business investment.

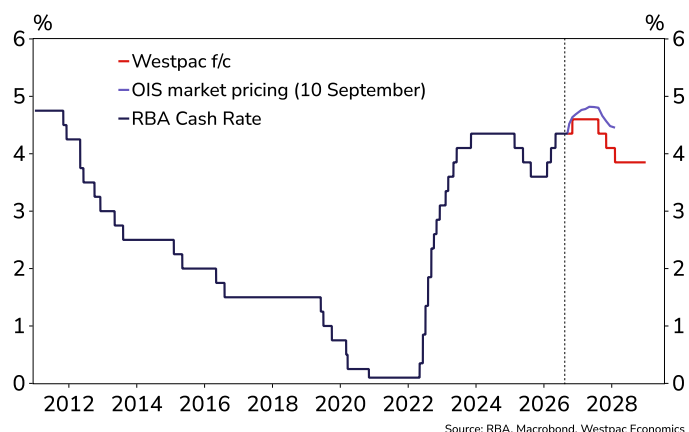
Market-implied policy rates for December 2026



Trimmed Mean Inflation



RBA Cash Rate



Growth holds up despite headwinds ...

Matthew Hassan, Head of Australian Macro-Forecasting
Pat Bustamante, Senior Economist

The June quarter National Accounts showed Australia's economy expanded 0.4% in Q2 and 2.1% in year-ended terms. It was the first full quarter that households and businesses had to deal with the global energy shock flowing from the conflict in the Middle East, and higher domestic interest rates following the February, March and May rate hikes. With a strong ramp up in data centre investment also coming off a massive surge in Q1, the result was a messy and noisy quarter. Nevertheless, looking through this, the Accounts point to growth stabilising at a slow pace rather than stalling. The household sector has been resilient with solid income growth providing support. Meanwhile the private investment upswing clearly has further to run.

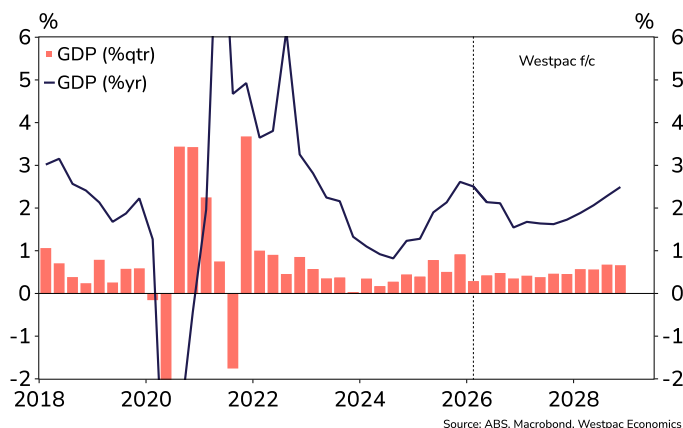
Given the firmer starting position, we have revised higher our near-term forecasts for economic growth and inflation, with labour market conditions also expected to remain slightly firmer through 2026 ([see here](#)). For 2027, the impacts of the sharper-than-expected downturn in established house prices is expected to only partly offset strength elsewhere. Importantly, we now expect the RBA Board to hike in November 2026, with the cash rate peaking at 4.6% before policy is cautiously eased in the second half of 2027.

Business takes the growth baton

The business investment upswing continues to gather momentum and now appears to be generating larger positive spillovers to related industries including construction, professional services, wholesale trade, logistics and manufacturing. The core drivers continue to be a major ramp up in investment in data centres and renewable energy. New business investment is growing at 10.5%yr, the fastest pace since the December quarter of 2012 (excluding the pandemic). Consistent with the upward revision to surveyed capex intentions, we now expect new business investment to grow by almost 13% in 2026 (up from 11.7%yr previously) and a further 10% in 2027 (up from 7.5%yr). The cumulative rise of almost 25% is set to be the sharpest two-year gain since the March quarter of 2013.

And the near-term risks remain skewed to the upside. The catalyst would be a second wave of renewable energy investment, sparked by the rapid expansion of data centres and the emergence of a large, ongoing source of electricity demand. In this scenario, year-ended growth in business investment could be stronger in 2027 than in 2026, providing a further boost to GDP growth and labour market conditions.

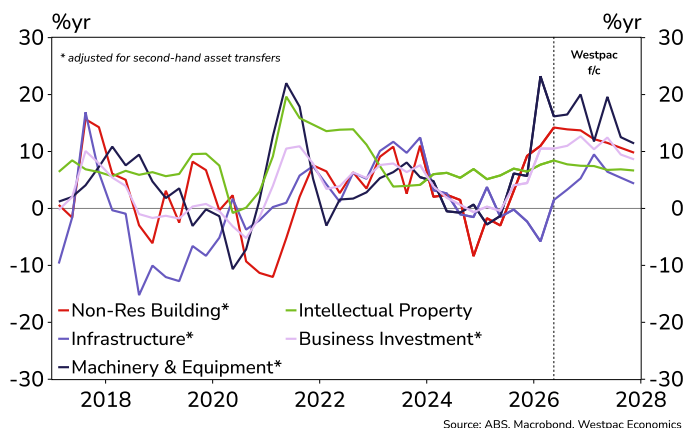
GDP forecasts



This investment surge, which is largely unrelated to the domestic economic cycle and interest rates, is large enough for the business sector to become the dominant driver of growth. Of course, a significant portion of this investment will be met by imports rather than domestic production. Both data centres and renewables investment are highly import-intensive. However, even with these 'leakages' the investment upturn still generates substantial domestic activity, much like the LNG investment boom did in the late 2010s (see Box, page 9).

Our modelling ([see here](#)) suggests that around half of total investment in data centres translates into domestic value added, with much of that occurring in the early stages of the investment cycle when the structures housing high-tech equipment are being built. Notably, the industries that stand to benefit the most, including professional services,

New business investment components

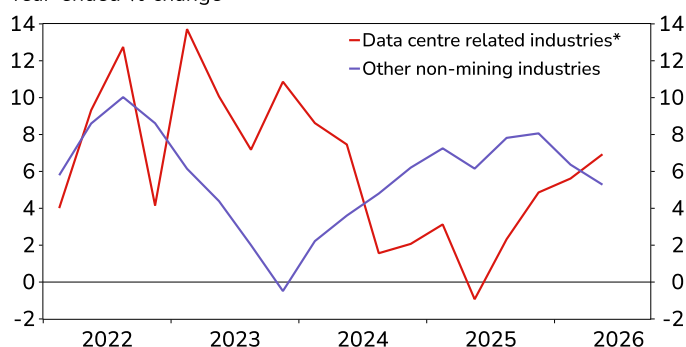


... business takes the growth baton ...

manufacturing, construction and wholesale trade, are already showing a turnaround in employment, wages and profitability (see chart below). This suggests that some of these interlinkages have emerged more quickly, and on a larger scale, than previously thought, and are likely contributing to the stronger-than-expected growth in labour income.

Profits by industry

Year-ended % change



Source: ABS, Macrobond, Westpac Economics
*Includes industries with the largest combined direct and indirect exposure to investment in data centres, notably construction, professional services, manufacturing, wholesale and logistics.

With growth in profit subdued – total (including mining) profits have basically tracked sideways over the last 3½ years – how are businesses funding this investment?

Following a period of balance sheet strengthening associated with pandemic support, businesses are increasingly drawing on debt to expand operations and fund capital expenditure, with leverage ratios moving back towards more normal levels. This is evident in the continued strength of business credit growth, which has sustained even as higher interest rates have weighed on more interest-sensitive parts of the economy.

For the global hyperscalers at the epicentre of the boom – the likes of Amazon, Google, Meta and Oracle – revenue growth has been strong rather than weak. This, and surging equity valuations, have improved access to capital markets. Australia has benefited from this trend, with major players such as Alphabet (Google's parent company) issuing in the local market, with further issuance likely as the data centre build-out continues.

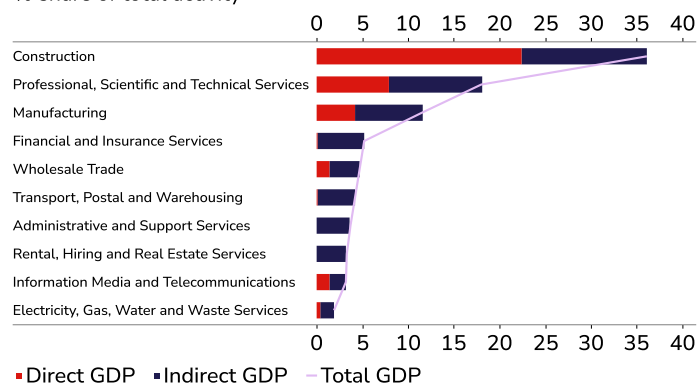
Construction activity holds firm despite softer house prices

Australia's construction sector is an important bellwether for how various investment cycles are netting out domestically. Both the current pulse and outlook remain positive. Aside from the data centre and renewable energy build-out, non-residential building is being supported by the need to cater for a growing

population, while residential building is also being supported by a range of state and Federal government initiatives. This is more than offsetting the predicted gradual wind-down in public infrastructure spending.

Domestic activity from by data centre investment

% share of total activity



Source: ABS, Macrobond, Westpac Economics

Dwelling construction surprised on the upside in Q2, with the pipeline continuing to expand despite headwinds from higher interest rates, cost increases associated with the conflict in the Middle East, rising labour costs and falling established house prices. Although those headwinds remain an issue, we continue to expect housing construction to remain relatively resilient near term, supported by a range of state and federal government policy initiatives, including changes to zoning regulations and fast-track approvals.

Note that we have revised our house price forecasts lower – to reflect both recent weakness and our updated interest rate profile. We now expect house prices to fall by around 6% in 2026, resulting in a peak-to-trough decline of just over 7%. The adjustment is expected to be somewhat larger in Sydney and Melbourne, where prices are projected to decline by closer to 10%. We continue to expect lower on-market supply and a persistently tight housing market to limit further price declines. As the RBA begins easing policy in the second half of 2027, housing demand is expected to recover, supporting a gradual lift in house prices through 2028 (see Table 1, page 8).

Despite this, we have left our dwelling construction forecasts unchanged. As we noted in previous reports, the downturn in established markets does have broader implications beyond new dwelling construction. In particular, the spillover effects on wealth are set to be more of a dampening effect on consumer demand, particularly we move into 2027–28.

... firmer economy delays return to neutral

Putting it all together: from headwinds to tailwinds

Aggregate economic conditions have firmed despite significant headwinds. Business-led activity, which appears insensitive to interest rates, is providing the economy with a tailwind strong enough to support broader areas of the economy that are not directly tied to the data centre/renewables build-out.

As a result, we have upgraded our near-term outlook to 1.5%yr in 2026, up from the 1.0%yr pace we anticipated prior to the Q2 National Accounts. The outlook beyond 2026 is largely unchanged, although the risks are tilted to the upside given the size of the potential increase in renewable energy investment. We expect growth to accelerate to 1.7%yr in 2027 and 2.5%yr in 2028 as the RBA eases rates in the second half of 2027 in response to emerging spare capacity.

Reflecting the firmer near-term outlook, we have revised our forecast peak in the unemployment rate down from 4.9% (in Q1 2027) to 4.8% (in Q2 2027), where it is expected to hold around this level throughout 2027. The slightly tighter labour market, combined with stronger global inflationary pressures associated with the AI investment boom, points to a firm near-term inflation pulse of 3.3%yr in 2026, with quarterly trimmed mean inflation expected to come in at 0.9%qtr in Q3 2026. Trimmed mean inflation is expected to ease to 2.7%yr in 2027 and 2.3%yr in 2028 as spare capacity emerges and productivity gradually improves.

Firmer economic and labour market conditions are supporting household incomes and spending. We expect household spending to grow by 2.0%yr in 2026, up from 1.7%yr previously. The **Westpac-DataX Card Tracker** suggests spending momentum strengthened through Q2 and into Q3. A rebound in tourism-related spending and income boosts from award-related wage increases and the Federal Government's tax cuts should see household consumption rise by a significant 0.8%qtr in Q3.

We expect consumption growth to remain at 2.0%yr in 2027, supported by lower interest rates in the second half of the year. We expect this momentum to carry into 2028, with consumption growth accelerating to 2.9% in 2028.

By 2028, we expect to see signs of AI-driven productivity gains emerge. Initially this is likely to be in where tasks are augmented or automated by AI adoption. The fuller impacts will occur when AI adoption allows for the creation of entirely new goods and services, but this will take time. In addition, we expect productivity growth to gradually improve as non-market sector expansion peaks, the benefits of recent public and private investment begin to materialise, and the labour market gradually eases.

Private construction activity by type

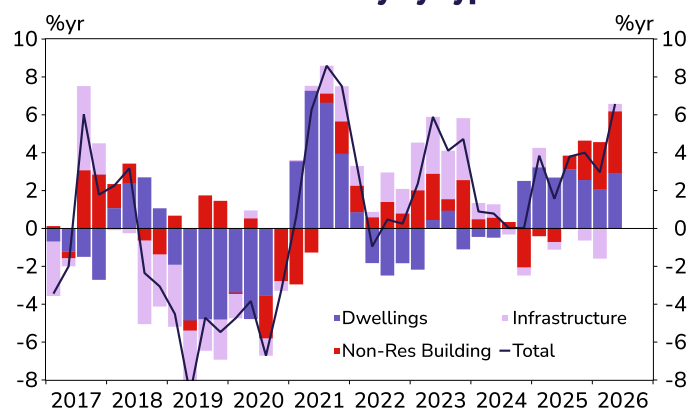


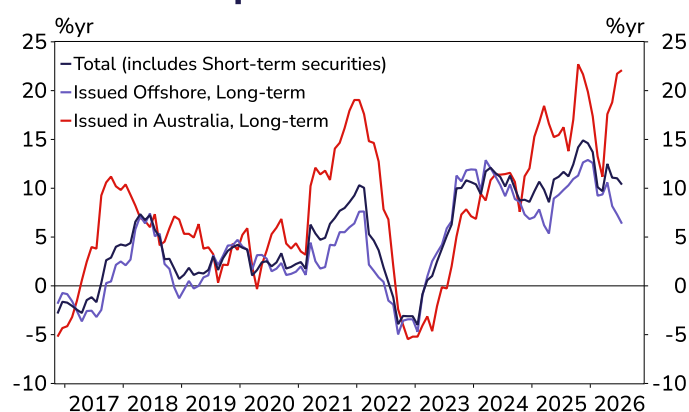
Table 1: Dwelling price forecasts

	avg [^]	2023	2024	2025	2026f	2027f	2028f
Sydney	3.7	11.3	2.8	6.5	-10	2	6
Melbourne	2.4	4.2	-2	5.2	-8	5	10
Brisbane	7.8	13.5	11.4	14.9	2	3	5
Perth	7.3	16.2	18.4	17.6	3	5	7
Adelaide	7.6	8.8	13.6	8.6	3	4	6
Australia	4.6	10.1	5.1	8.9	-6	3	8

[^] avg last 10yrs

Source: Cotality, Westpac Economics

Non-financial corporations – debt securities issued



Box: LNG delivered an export dividend, data centres have the potential to deliver a productivity dividend

The current data centre boom and the LNG investment boom of the 2010s share many similarities. Both are of a comparable scale, at around \$200b (including associated energy infrastructure), are highly import-intensive, feature significant foreign ownership, and place heavy demands on Australia's resources and energy systems. The differences, however, are important. Data centres typically become operational within three years, compared with around eight years for LNG projects, meaning the domestic benefits are more front-loaded. They are also triggering a second wave of investment in electricity generation and transmission infrastructure.

The long-term payoff differs as well. LNG delivered an export dividend, while data centres have the potential to deliver a productivity dividend. Data centres generate compute capacity, with the benefits ultimately determined by the extent of AI and cloud adoption across a broad range of industries. There is also scope for Australia to export compute services over time.

LNG vs Data Centres: Similar foundations, different payoffs

	LNG Boom (2010-18)	Data Centre Boom (2025-30)
Import Intensity	Highly import-intensive (60–75%), with entire “structures” (including floating LNG facilities) imported and “installed” in Australia.	Highly import-intensive (60–75%), with most servers, chips and cooling equipment imported
Ownership	Foreign capital and large mining conglomerates	A mix of Australian data centre developers and operators, with underlying demand driven by hyperscalers
Resource Demands	Heavy demand for Australian natural resources and associated infrastructure, including ports, rail and road	Heavy demand for electricity, transmission infrastructure, water and digital connectivity
Project Timeframe	Typically around 8 years to become operational	Typically around 3 years to become operational
Secondary Investment Effects	Limited follow-on infrastructure requirements once projects were approved	Triggering a second wave of investment in generation, storage and transmission infrastructure
Benefits during construction phase	Benefits accrued over a longer construction period	Benefits are more front-loaded, arriving sooner through construction and energy investment
Employment intensity	High demand for labour during construction but relatively few once production begins	Large facilities require substantial construction work but minimal ongoing staffing once operational.
Benefits during production phase	Export dividend through LNG exports. Benefits concentrated in the resource sector	Productivity dividend through compute capacity and AI adoption. Gains spread across a wide range of industries
Export Potential	Exported LNG	Potential to export compute services and reduce reliance on imported compute

The geopolitical risk premium returns ...

Justin Smirk, Senior Economist
Luka Belobrajdic, Economist

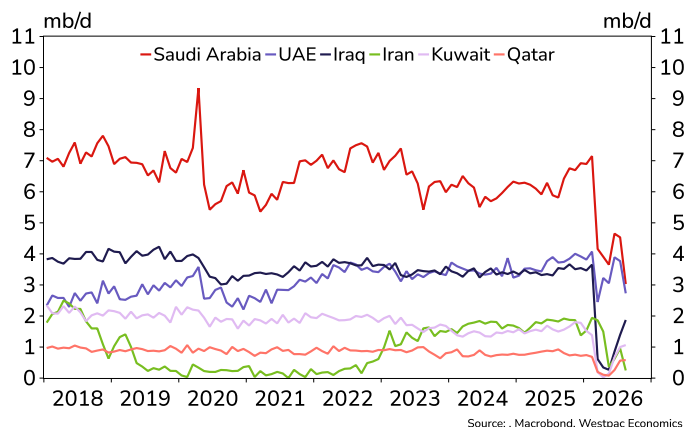
Most commodities rose in August as the geopolitical risk premium reasserted itself. Our broadest commodities index increased 4.5%*mt*, led by LNG, which rose 15.9%*mt* on ongoing market tightness and renewed Middle East tensions. Gold gained 8.4%*mt*, supported by more favourable US economic data and US Treasury intervention in the long end of the bond market, while copper rose 5.5%*mt* as COMEX inventories continued to build. Brent gained 5.0%*mt* amid renewed hostilities in the Middle East, aluminium increased 3.1% and Newcastle thermal coal rose 0.8%*mt*. In contrast, steelmaking commodities weighed on the headline index, with iron ore and Queensland premium low-vol coking coal falling 2.0%*mt* and 3.3%*mt* respectively, while lithium (spodumene) declined 4.7%*mt*.

Oil prices rebound as tensions build

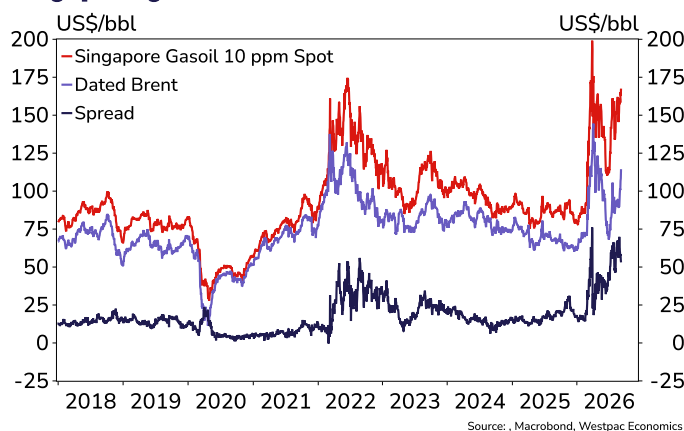
The price of Brent averaged US\$87.1/bbl in August – the highest monthly average since May. The increase came as hopes of a lasting agreement between the US and Iran faded, with tensions building throughout the month and periodic flare-ups continuing. Ongoing Houthi targeting of Saudi loading ports in the Red Sea saw Saudi crude exports falling to their lowest level since the conflict began, while Ukraine's successful targeting of Russian production and refining capacity has further disrupted supply. These attacks have had a particularly pronounced impact on already tight refined product markets, and in April Singapore Gasoil margins rose to their highest level since April at around US\$70/bbl, up from roughly US\$15/bbl prior to the conflict. The continued disruption has prompted us to revise our Q4 Brent forecast to US\$90/bbl, a roughly 11% increase on our previous baseline.

We continue to expect volatility, with key differences between the US and Iran remaining unresolved while supply and demand fundamentals will increasingly reassert themselves as key drivers of prices over coming months. Notably, inventories remain very low. EIA statistics suggest total OECD inventories in August are 121mb below levels recorded prior to the start of the conflict in February. The need to rebuild these depleted reserves will support demand going forward. China will also be an important source of demand. In August, it accounted for just under 14% of global seaborne crude imports, down from just below 21% a year earlier, with imports expected to recover through Q4 as refiners restock ahead of Chinese New Year. Overall, we expect Brent to average US\$90/bbl for the remainder of 2026 due to unresolved Middle East tensions and a recovery in Chinese demand. Volatility remains a feature, with much depending on the durability of any ceasefire and the pace of normalisation in shipping through the Strait, as captured in the [two scenarios](#) we published in June.

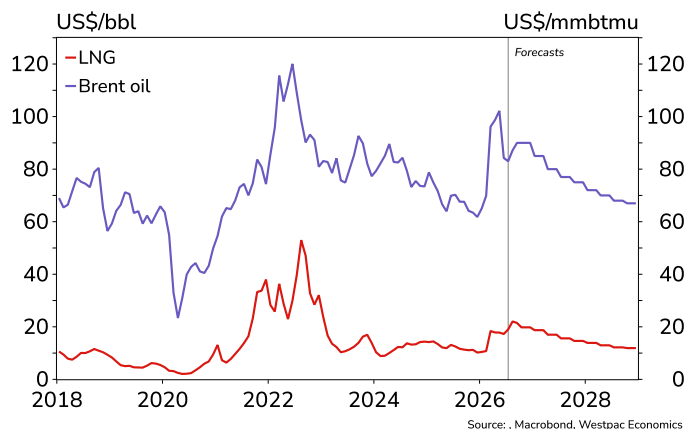
Monthly Oil Exports



Singapore gasoil crack remains elevated



Oil and LNG Forecasts



... lifting most commodities higher in August

LNG markets remain tight

LNG prices continued to climb through August. Damage to the world's largest LNG export complex at Ras Laffan in Qatar and the inability to divert flows around the Strait of Hormuz continue to weigh on supply. Strong summer cooling demand across Northeast Asia has further tightened LNG markets. Competition with Europe for flexible Atlantic Basin cargoes has also increased as maintenance at Freeport LNG in the US reduced available supply. As a result, Japanese LNG prices rose 15.9% mth in August, with average prices reaching US\$22.0/mmbtu, more than double pre conflict levels.

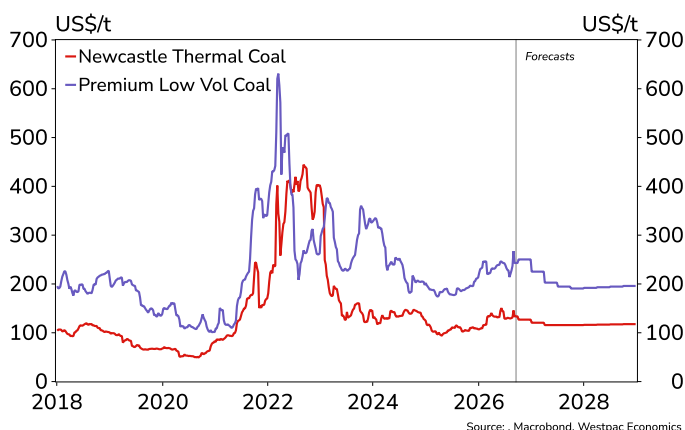
We have raised our expected peak in Japanese LNG prices to US\$21.5/mmbtu in the September quarter. Supply recovery is expected to remain constrained, with prices unlikely to return to pre-conflict levels until 2028. Domestically, however, the Australian gas market remains relatively insulated, supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the equivalent of 20% of gas exports to the Australian market.

Shanxi disruption supports seaborne coal prices

Newcastle thermal coal prices were little changed in August, averaging US\$131/t over the month. LNG markets continue to support the relative cost competitiveness of thermal coal, while tighter Chinese supply following the Shanxi mining disaster has lifted demand for seaborne cargoes. Prices have since risen sharply in early September, approaching US\$150/t, supported by still elevated LNG prices and diesel shortages in Russia, which have constrained exports, while India's return as a buyer in the seaborne market ahead of winter restocking should also support. Against this backdrop, we now expect Newcastle thermal coal to average US\$127/t in the December quarter before easing towards US\$116/t through 2027 as global energy prices recede.

Queensland premium low-vol coking coal prices fell 3.3% mth in August, reflecting ample seaborne supply, while Chinese and Indian demand remained relatively weak. Since then, however, prices have reversed sharply, with Queensland premium low-vol coking coal rising above US\$270/t in early September, its highest level since March 2024. The move higher largely reflects ongoing supply disruption from the late-May gas explosion at a Shanxi coking coal mine, with resulting production suspensions and safety inspections proving more persistent than expected. While the resulting supply loss was initially expected to be offset by increased Mongolian imports, diesel shortages in Mongolia have constrained supply there as well. This has prompted China to return to the seaborne market, with Australia emerging as a major beneficiary. Indian demand is also gradually returning as the country emerges from the monsoon season and steel production lifts. As a result, we forecast premium low-vol coking coal prices to maintain strength into the December quarter to average US\$250/t as diesel shortages in Mongolia continue to constrain supply.

Australian Coal Prices



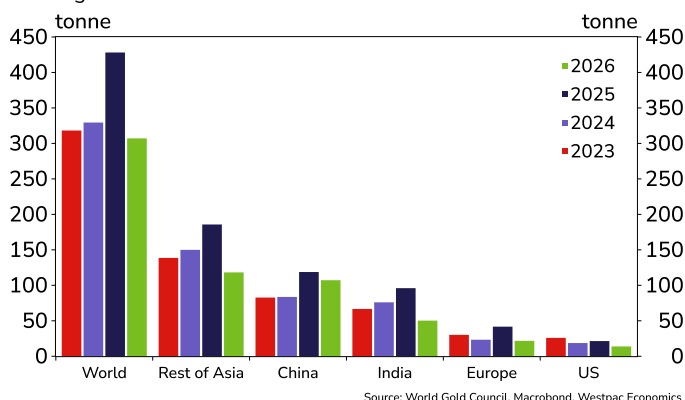
Gold finds support as rate fears moderate

Gold re-established a monthly average above US\$4,400/oz in August. As a non-yielding asset, gold has faced a notable rotation throughout the conflict as markets weighed inflationary implications and the prospect that central banks may need to accelerate rate hiking cycles. However, dip-buying, together with a benign US core CPI print in July and a surprise US Treasury announcement to at least double long-end bond buyback operations, helped ease Fed hike expectations and lower yields, supporting gold prices.

While the flow of US economic data remains critical in determining the outlook for gold, further support is likely to emerge should progress towards a more durable resolution of the conflict materialise. Additional support may also arise around the US midterm elections given safe-haven demand. We therefore expect a modest gain through the December quarter to average US\$4,500/oz, followed by a period of consolidation in early 2027. Over the longer term, structural support is expected to persist, underpinned by ongoing Asian demand, continued central bank buying and reserve diversification.

Asian demand is influencing global gold prices

Holdings of bar and coin



Expectations begin to shift ...

Elliot Clarke

Head of International Economics

Market participants remain acutely aware of the risks facing the world, particularly due to energy costs, with the price of Brent oil having risen from around USD88 to USD108 over the past month. At the same time, confidence in US economic growth remains resolute. Nonetheless, the US dollar has edged lower over the past month from 99.96 to 99.0. This follows stability through late-July and early-August.

Over the past month, the most significant move in the bilateral exchange rates that determine the DXY US dollar index has been in the yen cross. While August's joint intervention by the US and Japan had little net effect, reports of Japanese authorities requesting major domestic institutional investors adjust their portfolios and currency management to favour the yen, paired with a strengthening in Bank of Japan policy expectations, have since proven effective.

In August, USD/JPY's initial decline from JPY164 to JPY155 reversed quickly back to near JPY160. But in September, USD/JPY has broken through JPY155 and tested JPY154.

The current move certainly remains contingent on the Bank of Japan delivering on policy, the market having priced a 25bp hike in September followed by another in January 2027 then June 2027. But, if authorities also prove successful in resetting capital flows related to the yen, the move to JPY154 can not only be sustained but also extended, in time.

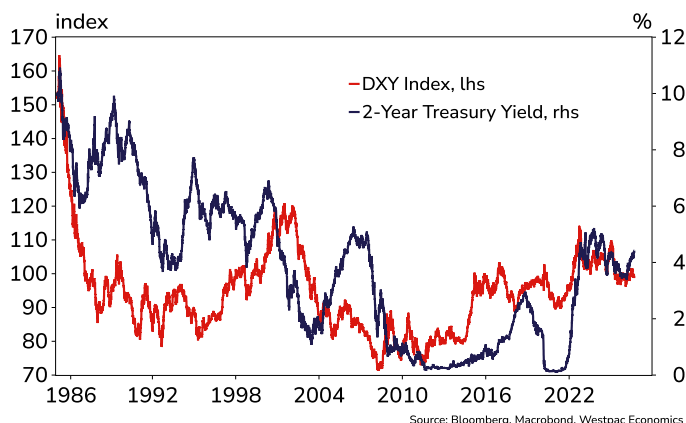
For now we retain a cautious view, forecasting a slow descent to JPY146 at end-2028. However, as that level is 32% above the pair's long-term pre-pandemic average (1990-2019), there is clearly plenty of scope for a material upside surprise for the yen. Though, the timing and scale will largely be up to the actions of Japan's authorities and the long-term opportunities investors perceive in Japanese industry and real assets.

The other major determinants of the DXY index, euro and sterling, have only ground higher over the past month. Data has generally been positive for the Euro Area and UK; although growth is, at best, converging to trend while the US continues to outperform.

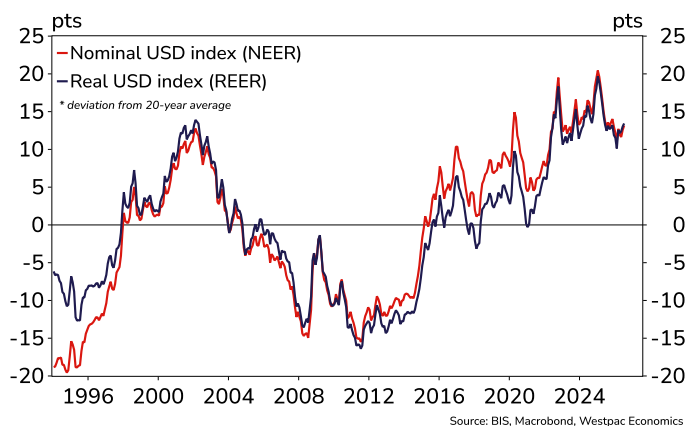
Rate expectations are similarly priced for the Euro Area, UK and US – all arguably overstate the degree of tightening necessary. As such, a period of relative currency stability is likely into year-end before a softer US economy and continued uptrend in European and UK growth bear fruit in 2027.

From USD1.16 today, we see euro edging higher to USD1.17 at year end, before a steady appreciation through 2027 to USD1.21, then USD1.22 in the first half of 2028. Sterling

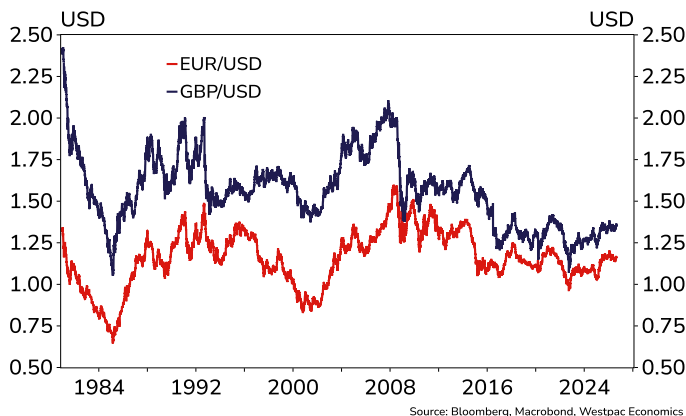
USD demand at limit?



Valuation remains stretched



Euro and UK risks to recede



... against the US dollar

is expected to hold at its current rate until this December, USD1.35, and then appreciate to USD1.39 through 2027 and to USD1.41 by mid-2028.

From their respective starting points, euro and sterling also likely have upside potential against the US dollar. Though it will take time to show, and only if downside risks crystallise for the US economy. The yen outperforming would arguably also benefit euro and sterling against the US dollar, pushing the DXY index away from its 10-year average at 98.7 and focusing participants attention on the 20-year average of 90.8, 8% below today's spot rate.

The rest of Asia is also expected to strengthen against the US dollar as developed-world inflation risks abate and future growth opportunities are focused on.

Closely tied to global growth and development, and with no concerns over inflation or its fiscal position, Singapore's dollar has already appreciated back near its 5-year high versus the US dollar, currently SGD1.2676. A run towards its all-time high is certainly on the cards, albeit not our base expectation, with USD/SGD forecast to trade at SGD1.25 in late-2028 compared to 2012's (brief) low of SGD1.22.

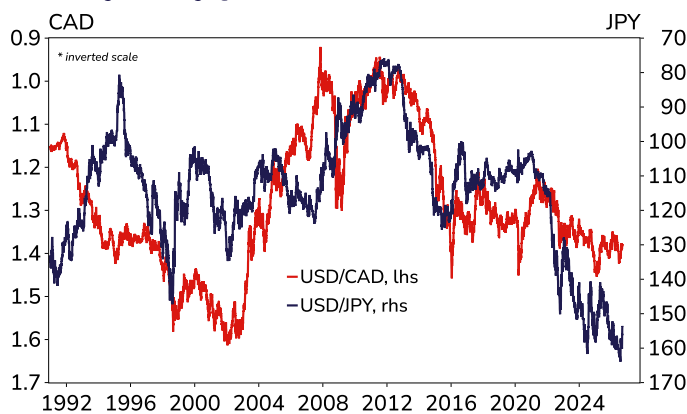
China's renminbi has appreciated at a slower rate than Singapore's dollar to date in 2026, USD/CNY falling from CNY6.99 to CNY6.71. But we expect there are significant gains to come, with the pair forecast to trade down to CNY6.30 in late-2028 on our baseline view, with the risks favouring a stronger renminbi.

For the renminbi to surprise to the upside, arguably China's authorities will need to show initiative with policy and remove some, or all, of the downside risks for domestic demand. Although, an easing of geopolitical tensions which the market has confidence in would also likely provide material benefit to China's valuation.

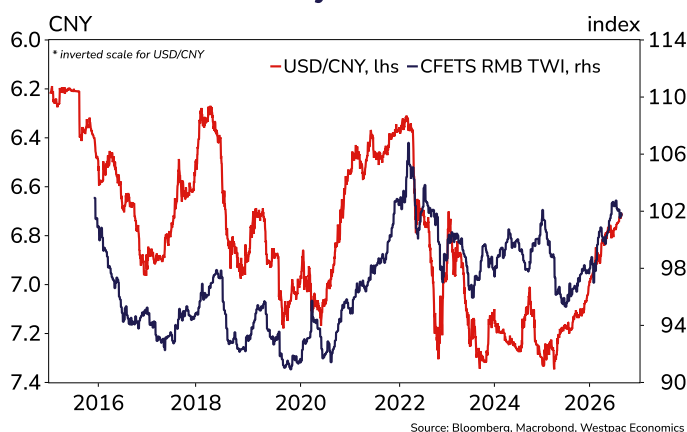
Asia more broadly has experienced mixed trading this year given weak starting levels and a mix of global and domestic risks. Still, if uncertainty recedes over the forecast horizon, and key nations such as Singapore, China, South Korea and Japan post economic wins, the rest of the region should experience a gradual appreciation in the months that follow.

Given the development opportunities before them, in time this could transition into a lasting structural uptrend. This would benefit the region's purchasing power and inflation management, albeit not at the expense of competitiveness, with productivity gains expected to outpace currency appreciation.

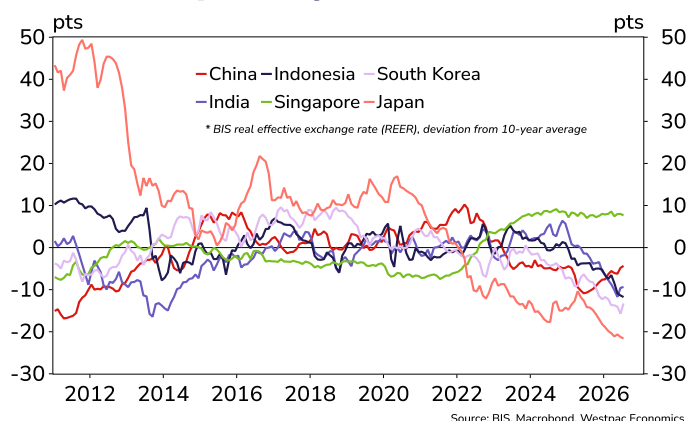
JPY may finally get a bid



Renminbi to sustain rally



Asia's outlook promising



NZ is shaking off the Middle East conflict ...

Darren Gibbs
Senior Economist

Since last month's Market Outlook we have released our flagship quarterly [Economic Overview](#), fully updating our forecasts for the New Zealand economy and monetary policy. With recent data printing close to expectations, revisions to our forecasts were incremental. Importantly, we continue to see welcome signs that the economy is shaking off the disruption caused by the Middle East conflict. And as previously forecast, growth is expected to gradually strengthen and broaden beyond the external sector, which has thus far borne most of the burden of carrying the economy forward.

For now, domestic demand remains patchy. This is particularly so for households, who face higher living costs and a labour market where hiring rates remain low. Growth in consumer spending remains constrained by a lack of growth in real labour incomes – indeed, real wages have fallen over the last year – while declining house prices mean that wealth effects are also absent as a potential growth driver. However, we have seen a notable lift in business investment in plant and equipment over the past year. And while non-residential building activity currently remains subdued, housing construction has begun to turn higher in response to the lower interest rates seen over the past year.

The situation in the export sector remains unequivocally positive. Strong commodity export prices across almost all of New Zealand's key primary products are supporting incomes, especially in regions with significant exposure to the rural economy. This year the dairy sector has also received an additional cash injection from the sale of Fonterra's consumer goods business, which returned \$3.2bn to the cooperative's farmers. In addition, despite upward pressure on airfares and other disruptions caused by the Middle East conflict, tourist inflows have continued to track well ahead of last year, helped by growth in arrivals from Australia and China. Moreover, industry anecdotes point to positive forward bookings ahead of the important summer tourism season. Tourist spending also accounts for the relative strength seen in the South Island, compared with the weaker conditions seen in the major North Island metropolitan centres.

In aggregate, we estimate that GDP grew modestly in the June quarter even as the Middle East conflict pushed up prices and weighed on confidence and spending. In addition, indicators of growth have strengthened in the current quarter. As a result, we forecast the economy to grow just over 2% this year. We see growth strengthening further to 3% in 2027. Over time we expect increased levels of activity to generate greater demand for labour, so while the unemployment rate is likely to remain elevated in the

near term, it should gradually decline from its present 5.6% – an 11-year high – to below 5% by the end of next year.

Despite the current level of excess capacity in the economy, headline inflation lifted to 4.1%yr in the June quarter – well outside the RBNZ's 1-3% target range. This reflects the sharp lift in prices for energy and associated products, together with the impact of ongoing large increases in administered prices (especially local authority rates and electricity prices). A weaker exchange rate has also contributed to a rise in prices for imported products. While most measures of core inflation remain inside the target range, they lie in the top half of the range. However, growth in unit labour costs, as represented by the Labour Cost Index, is presently consistent with core inflation settling near the target midpoint – assuming no acceleration in wage growth.

The current high level of headline inflation poses risks to the medium-term inflation outlook. Coming so soon after the pandemic inflation shock, it is possible that households and businesses might regard high inflation as the new normal, with those expectations feeding through to wage and price setting behaviour. And measures of inflation expectations – especially at short tenors – did move higher in the June quarter, before easing in the September quarter as retail fuel prices receded from their earlier highs. Longer-term inflation expectations have not moved higher since early 2026. This might provide a degree of reassurance for the RBNZ's policy makers, although some of those measures are relatively high.

So what does this mean for monetary policy? The RBNZ has made clear that it seeks to balance the upside risks to the medium-term inflation outlook associated with the current high level of inflation with the downside risks that might flow if the recovery were to falter, leaving the economy with prolonged excess capacity. Reflecting that careful balancing act, the RBNZ has elected to begin gradually moving monetary policy back towards more neutral settings, raising the OCR by 25bps at both the July and September meetings. The timing of the first hike was around six months earlier than the RBNZ had projected prior to the conflict.

With the OCR now at 2.75%, it is still below the RBNZ's long-run neutral rate estimate and below the range of shorter-run neutral rates that the RBNZ monitors. However, this month the MPC signalled that it would most likely pause at its next meeting in October to allow it to assess the impact of the tightening to date. This was in line with our expectations ahead of the meeting. That said, the MPC has made clear that policy is not on a predetermined path, and the flow of data and news over the coming weeks will dictate the outcome of

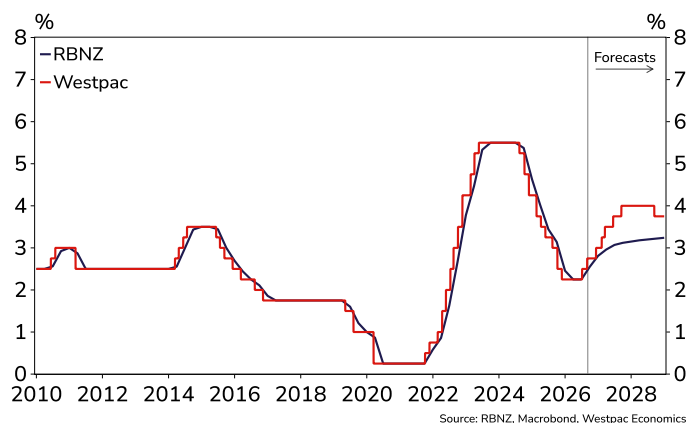
... as the RBNZ removes policy stimulus

that meeting. Given our expectations for the key data releases – notably the September quarter CPI report – we also think that the next rate hike will most likely occur at the December meeting, when the RBNZ will also publish updated economic forecasts.

Looking beyond this year, the RBNZ's current forecasts envisage just one further 25bp hike in the OCR to a peak of 3.25% and that CPI inflation will end next year near the 2% target midpoint. At this stage, the RBNZ does so not expect that restrictive interest rates will be required to bring core inflation down. However, we are less sanguine that inflation will return all the way to 2% without additional policy tightening. As a result, we continue to anticipate that the RBNZ will ultimately lift the OCR to 4%. Conditional on that forecast, we expect inflation to end next year at 1.7%, with the headline measure temporarily depressed by base effects as the current oil price shock is assumed to unwind. Excluding the impact of fuel prices, we expected that CPI inflation will continue to track above 2% next year. The lift in the OCR will maintain upward pressure on longer-term interest rates, which are also being influenced by higher global interest rates.

The New Zealand dollar has struggled this year despite buoyant export commodity prices, weighed down by an OCR at cyclically low levels, weak growth and high levels of conflict-related uncertainty. But with the economic outlook looking more constructive and domestic interest rates moving higher, a stronger NZD may now be in prospect. The NZD should rise versus a still-overvalued US dollar that is expected to weaken somewhat over the next couple of years. Our forecast is for NZD/USD to finish 2026 around 0.59 but then rise to approximately 0.65 by the end of 2027.

Official Cash Rate



The interest rate story is particularly important when considering prospects for the relative performance of New Zealand and Australian dollars. NZD/AUD fell to a 15-year low in May as the expected paths for RBNZ and RBA policy diverged. After rebounding somewhat, the cross has since fallen back as the RBNZ has chosen a more sedate pace higher and as markets have priced in interest rate increases in Australia. As the RBNZ continues raising rates in 2027 and the RBA's tightening cycle matures, yield differentials should become more supportive of the New Zealand dollar.

For exporters, a stronger currency will eventually act as a modest headwind. Nevertheless, strong commodity prices, resilient global growth and improving domestic confidence should continue to provide support. For importers and inflation-sensitive sectors, a firmer currency would help reduce imported inflation and assist the RBNZ in bringing inflation back towards target.

	2025				2026							
Monthly data	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug
REINZ house sales %mth	-2.1	6.4	0.0	0.6	-5.2	4.0	-2.3	-1.0	-3.8	-0.8	-4.6	-
Residential building consents %mth	7.7	-0.9	2.6	-4.3	2.1	2.7	-0.8	12.5	-5.1	-3.7	-4.3	-
Electronic card transactions %mth	-0.4	0.2	1.2	-0.1	-1.1	1.4	0.7	-1.3	1.6	-1.3	1.3	-
Private sector credit %yr	4.2	4.6	4.4	4.6	4.6	4.7	4.9	4.7	4.8	4.9	4.9	-
Commodity prices %mth	-1.1	-0.3	-1.6	-2.1	2.0	4.2	4.2	-0.8	0.8	-1.1	-4.0	-0.4
Trade balance \$m	267	-253	-355	-199	-345	-920	-398	147	-1163	-821	-1279	-
Quarterly data	Q1:24				Q2:24				Q3:25			
Westpac McDermott Miller Consumer Confidence	93.2	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7	80.4		
Quarterly Survey of Business Opinion	-27	-26	-29	-27	-22	-21	-15	-3	0	1		
Unemployment rate %	4.4	4.7	4.9	5.1	5.2	5.2	5.3	5.4	5.4	5.6		
CPI %yr	4.0	3.3	2.2	2.2	2.5	2.7	3.0	3.1	3.1	4.1		
Real GDP %yr	1.8	1.1	0.5	-0.3	-0.9	-1.1	-0.6	0.3	0.8	-		
Current account balance % of GDP	-5.7	-5.5	-5.2	-4.7	-4.2	-3.7	-3.5	-3.6	-3.6	-		

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Financial capacity is not a constraint ...

Elliot Clarke

Head of International Economics

Two areas of focus in our analysis of China throughout 2026 has been the absence of momentum in consumption and declining investment, particularly related to property. At July, annual nominal growth in retail sales stood at just 0.6% while total fixed asset investment was 6.7% lower year-to-date, with property investment down 19.2%ytd for a third successive year of double-digit declines.

Assessed in isolation, it would be easy to conclude from these outcomes that policy is restrictive. But this is not the case. Since the end of 2021, the weighted average mortgage rate has fallen more than 250bps to a record low circa 3.0%. Over a similar time period, the reserve requirement ratio for major banks has also been reduced by 350bps to a record-low of 9.0%. Capacity to lend has been further scaled up by repeated capital injections into the banking sector – the most recent occurring this month – and strong deposit growth.

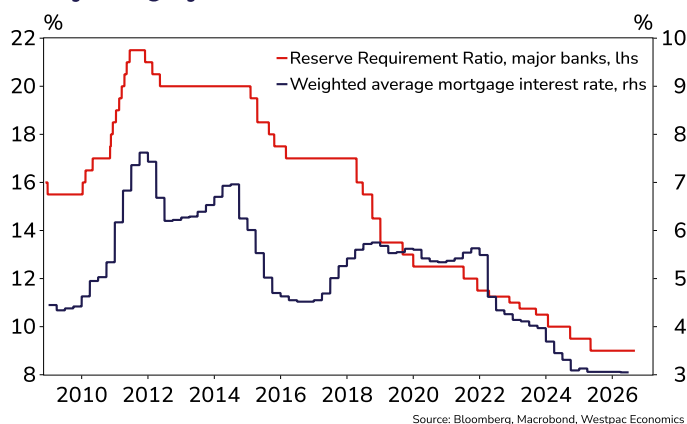
The trend for deposit growth highlights another home truth for China's economy: households are not short of cash. To the contrary, the stock of time deposits has compounded at 15% per annum since end-2019, on top of 6% average annual growth for demand (at call) deposits. Clearly, not investing in property and eschewing discretionary consumption has been a choice households have made of their own volition, not because they lacked available capital.

The PBoC's Urban Depositor Survey also highlights how entrenched households' pre-disposition to save has become, with 'more saving' at record highs (back to 2003) and still trending up. At the same time, 'more investment' is near its record low. Behind these outcomes is incredibly low confidence in the labour market and household income. While consumers fear for their finances, they are unlikely to spend freely, particularly with social safety nets absent and consumer inflation limited.

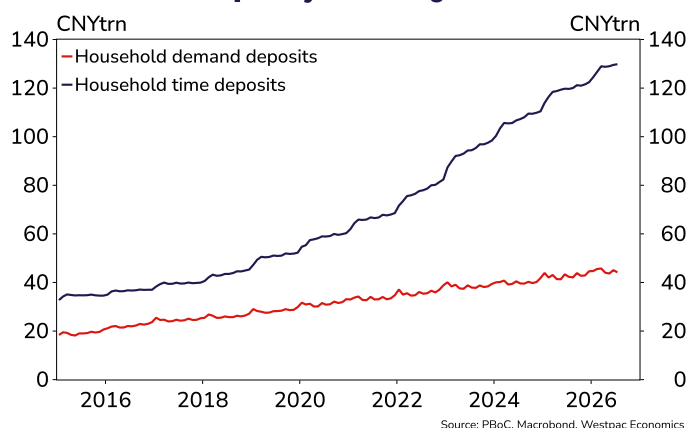
It is not just households that feel this way. Businesses and local governments are also circumspect on growth opportunities outside of tech-related export industries and associated infrastructure. Loan issuance remains weak and brittle, with businesses instead limiting investment to improve capacity and improve efficiency to free cash flows. Equity and bond issuance is also an option for large firms; though, as in the west, for many of these firms, the scale and growth of recurring earnings remain sufficient to cover new investment.

With the help of the Central Government, local authorities have, over a number of years, sought to refinance existing debt to longer maturities at cheaper interest rates. For both standard and special purpose bonds, yields are now at

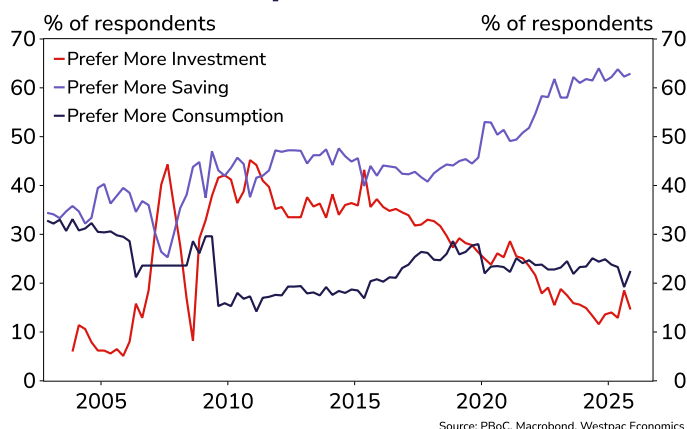
Policy is highly accommodative



Households have plenty of savings



Household financial preferences entrenched



... but confidence is

record lows. Despite this strong setup, there is little-to-no evidence of a growing interest in investment amongst these entities. Instead, they continue to hold back, waiting for a pick-up in end demand for housing and investment by private business before committing to new infrastructure projects.

Are there then any areas where Chinese domestic demand is breaking out? High-tech investment is certainly continuing at a historically-elevated level, but growth has dwindled. While the official data on foreign investment is dated, press reports imply China's private sector and state-owned enterprises continue to scale offshore investment.

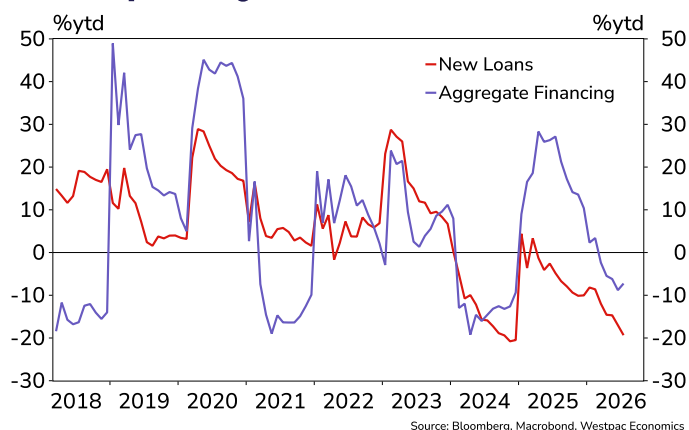
Chinese authorities' priorities for their foreign assets are clearly evident. Their holdings of US Treasury securities have now been in steady decline for over a decade, and the pace of roll-off accelerated through the pandemic. Some of this capital has been invested in gold and other commodities, strengthening China's financial resilience, with the remainder committed to real assets that benefit China economically and politically, based on anecdotes and market reports.

The patterns and priorities outlined above point to China having significant financial and economic capacity. Policy is also highly accommodative and, given inflation, there is no reason for a change of approach.

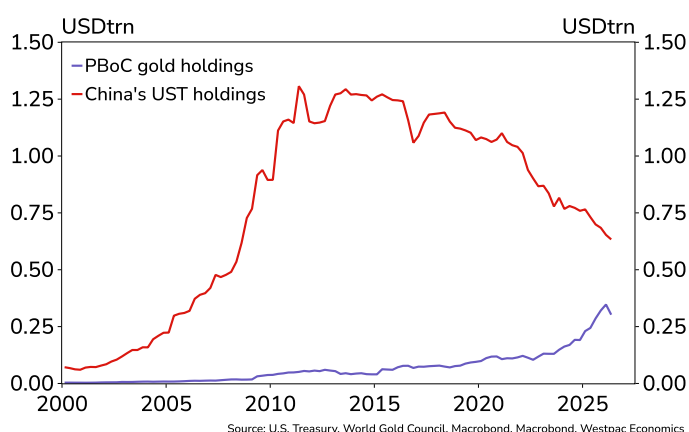
Instead, there is cause for authorities to set the nation apart in a time of global economic stress and deliver, or beat, their growth objectives. What is needed is a clear and decisive trigger to catalyse momentum. In doing so, there need be no concern of largesse or the risk of financial instability.

To the contrary, what should be feared is the potential loss of residual momentum and a further narrowing of the growth opportunities available. Without concerted action, China is at risk of ending up in a fragile, low-growth environment, to the detriment of its population and the world at large.

Credit impulse negative



Authorities favour metals and real assets



	2025				2026							
Monthly data %yr	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug
Headline CPI %yr	-0.3	0.2	0.7	0.8	0.2	1.3	1.0	1.2	1.2	1.0	0.5	0.8
M2 money supply %yr	8.4	8.2	8.0	8.5	9.0	9.0	8.5	8.6	8.6	8.0	7.7	-
Manufacturing PMI (official)	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0	50.3	49.2	49.8
Fixed asset investment ytd %yr	-0.5	-1.7	-2.6	-3.8	-3.8	1.8	1.7	-1.6	-4.1	-5.7	-6.7	-
Industrial production %yr	6.5	4.9	4.8	5.2	5.2	6.3	5.7	4.1	4.5	5.3	4.5	-
Exports %yr	8.2	-1.3	5.8	6.4	10.0	39.6	2.5	14.0	19.2	26.9	23.9	25.0
Imports %yr	8.0	1.8	2.6	6.4	26.9	14.6	28.3	25.3	27.3	35.8	27.6	28.2
Trade balance USDbn	88.7	88.0	109.9	111.9	120.2	89.5	50.0	84.5	105.2	125.5	112.3	119.1
Quarterly data	Mar-25		Jun-25		Sep-25		Dec-25		Mar-26		Jun-26	
Real GDP %yr	5.4		5.2		4.8		4.5		5.0		4.3	
Nominal GDP %yr	4.6		3.9		3.7		3.9		4.9		5.9	

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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Reflections on Chair Warsh ...

Elliot Clarke

Head of International Economics

FOMC Chair Warsh's first Jackson Hole address stretched across several major themes, including the AI infrastructure build-out, productivity and monetary policy forward guidance. But it was his 'Key Principles' for policy and take on 'The Economy Today' that were focused on.

From the Jackson Hole discussion on principles, "Nor should we rely on isolated data points" and "Trends matter most" speak to determining policy based on an all-encompassing view of the economy. It was also notable that Chair Warsh outlined that the "Federal Reserve's actions are intended to ensure... aggregate demand... is broadly consistent with aggregate supply"; but, with supply-side developments only inferred, real-time analysis and policy has to focus on demand.

In terms of gauging success. "The Fed's price-stability objective of 2 percent, as measured by the personal consumption expenditures (PCE) price index, is a firm, fixed target... [that] is not self-executing [or] necessarily mean-reverting". Achieving "maximum employment" is also required, but only in the medium term.

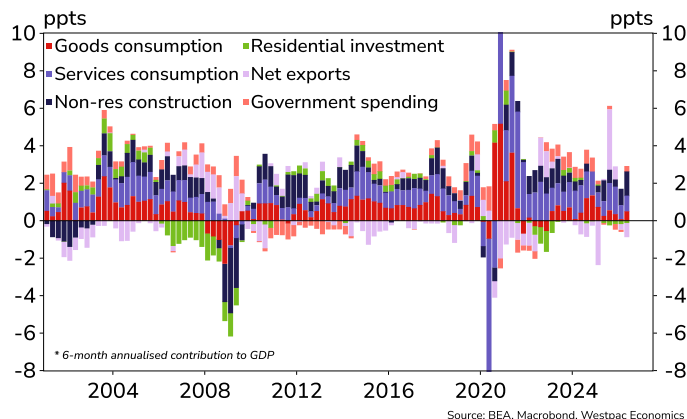
Having outlined these core tenets for policy, Chair Warsh went on to assess the current state of the economy. The first call out was that capital expenditure by businesses is "rising rapidly", with "More than half of the cap-ex growth this year... ascribed to the buildout related to AI". Chair Warsh recognised a need to monitor for any change in expectations for real investment and earnings. But, for now, as business borrowing costs and terms are favourable, the outlook for real investment is viewed constructively.

On the labour market, it is notable that the circa 1ppt decline in the participation rate since January 2025 was not cited as a factor behind the unemployment rate holding near 4.1%. Over this period, the employment-to-population ratio has instead declined 1ppt. In effect, reduced available supply has kept the labour market tight, to the detriment of household income.

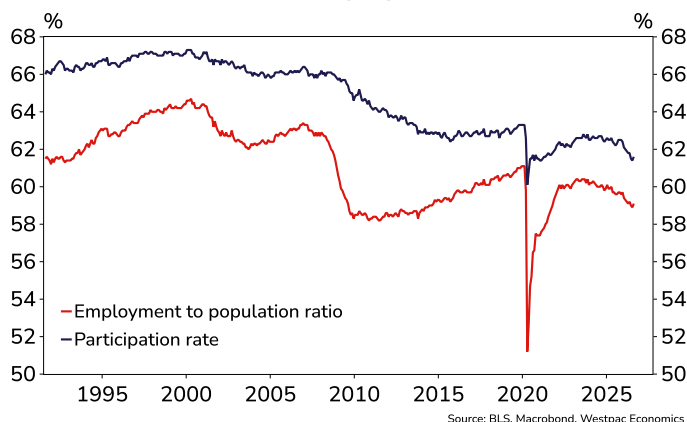
That then leaves the 'hot topic' of inflation. Chair Warsh's views were delivered top down, with the 12 and 6-month annualised change in headline PCE the benchmark references – respectively 3.7%yr and 4.1% annualised at July. The breadth of inflation was also called out, with "54 percent of goods and services in the PCE basket show[ing] price increases above 3 percent" over the year, "well below the post-pandemic highs of about 77 percent, but... well above the level of 32 percent in the two decades that preceded the pandemic".

As important as the measures chosen by Chair Warsh are the statistics excluded. Broadly, the metrics omitted instead suggest policy is well on its way to achieving the FOMC's

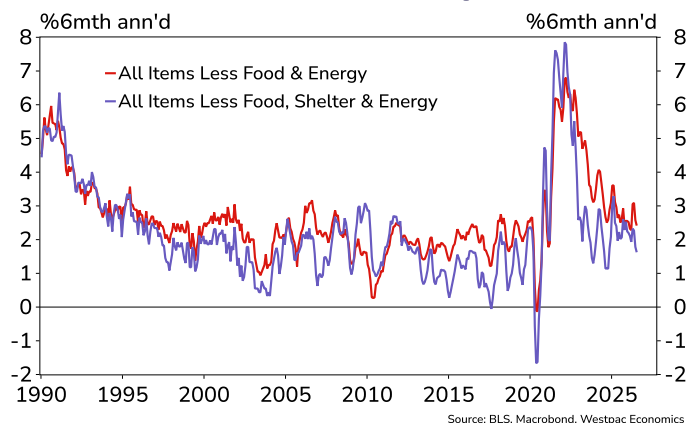
Investment driving GDP



Participation masks emerging slack



Ex shelter, core inflation below target



... at Jackson Hole

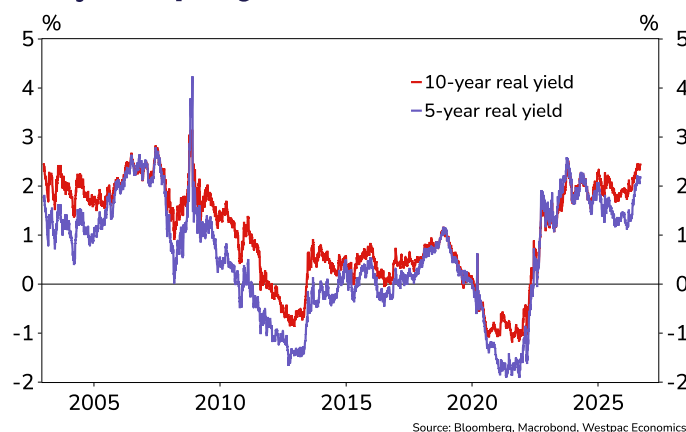
medium-term objective with the current stance of policy, particularly if expectations remain benign and stable.

Over the year, the CPI ex food, energy, and shelter has risen 3.5%yr; but for the 6 months to July, the annualised gain was just 1.6%. The PCE equivalent (ex-food, energy and housing) has held up more given compositional differences, but has still shown progress of late, coming in at 3.4% for the past 6 months but only 2.9% annualised in the past 4 months. Note as well that the Dallas Fed's trimmed mean measure is between 2.2% and 2.4% annualised on a 1-month, 6-month and 12-month basis at July. And the Cleveland Fed's median and trimmed mean measures are 2.7%yr and 2.6%yr.

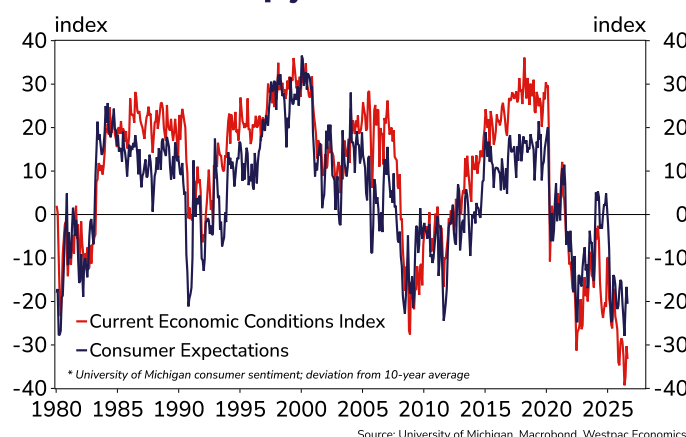
In concluding his speech, Chair Warsh made clear that the Committee "must be confident that underlying inflation is moving to our objective, clearly and at sufficient speed". "Otherwise, we have work to do." Characterising the policy task in this manner given the above context makes clear inflation risks are the FOMC's priority.

Prior to recent developments, we believed the FOMC could have achieved their inflation aim by remaining on hold with a hawkish bias. But the limited confidence market participants took from Chair Warsh's address and the immense volatility apparent in markets since necessitates a course correction. A hike in September and another in Q4 should allow time for the underlying disinflation evident above to be reflected in other measures. Acting now will also lean against any deterioration in expectations and the run higher in long-term yields. At present though, we do not believe the additional one-to-two hikes that the market has priced for 2027 are justified. A further sustained escalation of global conflict and evidence of secondary inflation effects are necessary to warrant such a course. At this stage, this is only a risk. If we are correct, a reversal of the two forecast hikes will be possible in 2028.

Real yields up on growth



Households are deeply concerned



	2025				2026							
Monthly data	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug
PCE deflator %yr	2.8	2.7	2.8	2.9	2.9	2.9	3.5	3.8	4.1	3.7	3.7	–
Unemployment rate %	4.4	4.5	4.5	4.4	4.3	4.4	4.3	4.3	4.3	4.2	4.1	4.1
Nonfarm payrolls chg '000	76	–140	41	–17	160	–156	214	148	63	31	21	162
House prices* %yr	1.4	1.3	1.5	1.5	1.3	1.0	1.0	1.2	1.6	2.1	–	–
Durables orders core 3mth %saar	10.9	9.8	9.8	8.9	5.5	8.5	22.0	20.6	22.2	12.4	15.0	–
ISM manufacturing composite	48.9	48.8	48.0	47.9	52.6	52.4	52.7	52.7	54.0	53.3	55.6	54.6
ISM non-manufacturing composite	50.4	52.0	52.4	53.8	53.8	56.1	54.0	53.6	54.5	54.0	54.1	55.4
Personal spending 3mth %saar	6.6	5.5	4.5	4.7	3.6	4.9	7.1	9.1	10.1	7.5	5.6	–
UoM Consumer Sentiment	55.1	53.6	51.0	52.9	56.4	56.6	53.3	49.8	44.8	49.5	55.2	51.7
Trade balance USDbn	–59.4	–37.4	–63.9	–76.1	–52.7	–52.5	–53.7	–52.9	–75.8	–71.2	–88.6	–
Quarterly data	Jun–25		Sep–25		Dec–25		Mar–26		Jun–26		Sep–26(f)	
Real GDP % saar	3.8		4.4		0.5		2.1		1.5		2.8	
Current account USDbn	–254.9		–262.9		–221.1		–226.8		–		–	

Sources: Government agencies, Bloomberg, *S&P Case-Shiller 20-city measure.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

The evolving determinants ...

Illiana Jain
Economist

Across much of Asia, growth forecasts have generally been revised higher over the past year, while corporate profitability remained robust and the AI investment cycle continued to support activity and confidence in the outlook. Yet exchange rates have largely failed to respond. Over the past year, the INR has depreciated 7.1% against the USD and the JPY 4.1%, while the KRW's 3.7% appreciation is nascent.

The disconnect reflects a structural shift in how capital is allocated. Historically, stronger growth and rising corporate profits attracted capital, benefitting exchange rates. Increasingly, though, domestic savings are being invested abroad, leading policymakers to focus less on attracting foreign investment and more on encouraging domestic capital to remain at home. The financial decisions of individuals and entities are therefore becoming as, or more, important for currencies than each nation's domestic economic performance.

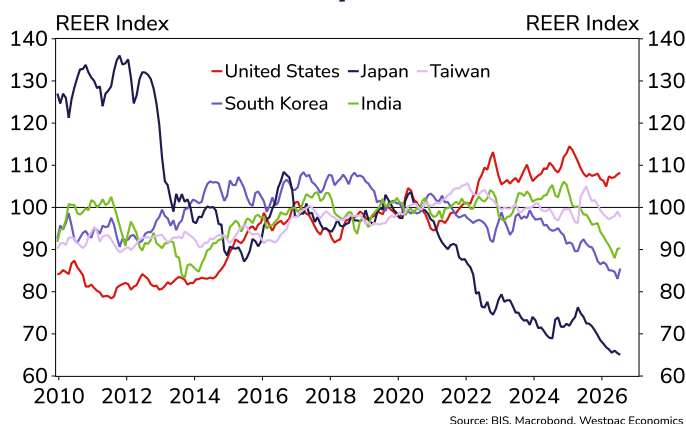
India has responded directly to this challenge. In June, the Reserve Bank of India introduced a concessional FX swap facility and removed the interest-rate ceiling on 3-5 year Foreign Currency Non-Resident (Bank) [FCNR(B)] deposits. By subsidising hedging costs, banks were able to offer deposit rates approaching 7%, encouraging their diaspora to place savings back in the Indian financial system.

Demand was so strong that the scheme closed a month earlier than anticipated in August 2026, with deposits accumulating to US\$127.2bn. The inflows have helped support the INR and reduced pressure on the RBI to intervene in FX markets, while still maintaining a relatively hawkish policy stance.

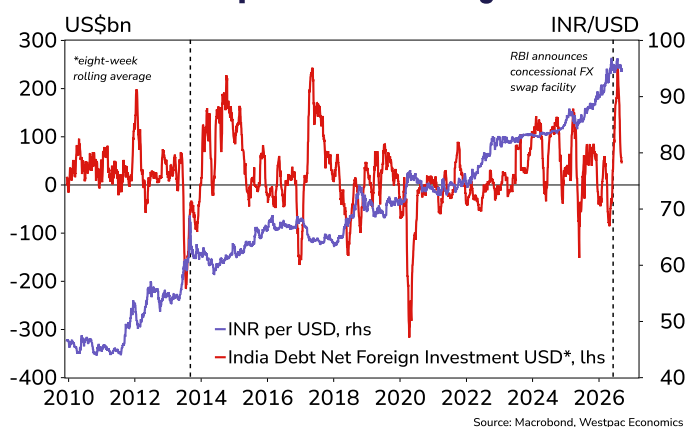
The issue is that these deposits mature over the next three to five years. Following a similar episode in 2013, when around US\$34bn of funds were raised, come 2016 when the scheme matured, sizeable outflows occurred. Then, adequate reserve accumulation and careful preparation were required to prevent a disorderly adjustment in INR. More generally, the scheme highlights a broad shift in India's external financing model, with remittances sourced from higher-income migrants in advanced economies increasingly being deployed as investment capital versus household transfers to fund domestic consumption. As domestic financial markets deepen, maturing FCNR(B) deposits may increasingly be rolled into local assets, transforming future maturity walls into refinancing events rather than outright capital flight.

South Korea illustrates how strong fundamentals no longer guarantee currency appreciation. Despite robust exports and record profitability among major technology firms, the KRW

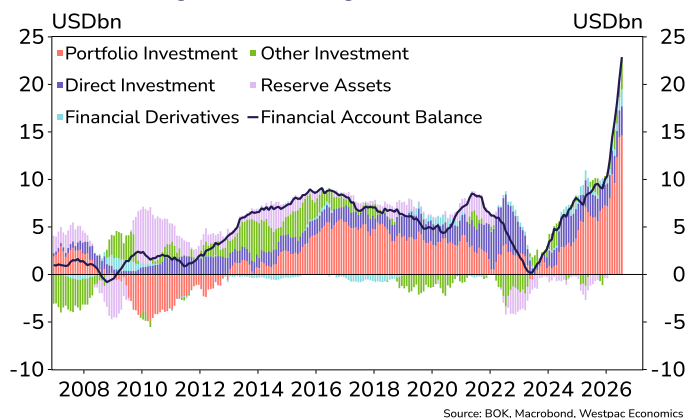
Asia FX remains weak despite fundamentals



India uses its diaspora to court foreign inflows



Korean savings are flowing offshore



... of Asia's FX story

has remained weak. The reason is increasingly visible in the balance of payments data.

The economy recorded a financial account surplus of US\$46.7bn over the past year, including a US\$29.9bn surplus in portfolio investment, reflecting continued purchases of foreign assets by residents. At the same time, South Korean holdings of US securities have climbed to almost US\$1tn. Rather than repatriating export earnings, households and institutions are increasingly recycling savings into offshore assets, particularly US equity markets.

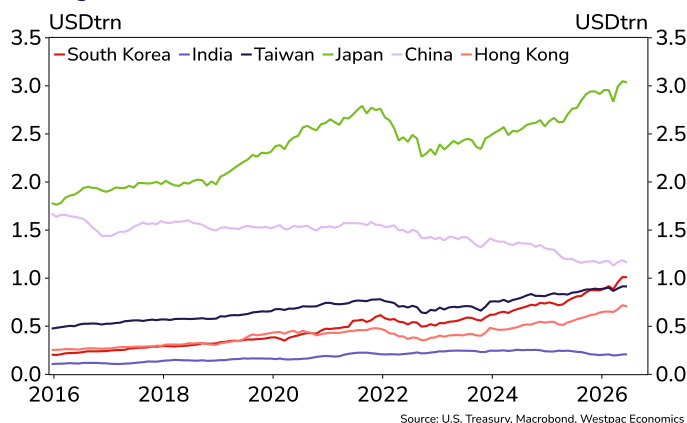
This behaviour weakens the traditional relationship between economic performance and the exchange rate. The challenge for South Korea is not a shortage of savings or investment capital. It is that a growing share of those savings is being invested abroad.

Japan's current account surplus is meanwhile less supportive for the yen than it appears because a growing share reflects reinvested earnings that never return to Japan. While the country earns substantial income from its overseas assets, much of that income remains offshore, meaning the current account overstates the amount of foreign currency being converted back into yen. The current account surplus came in at JPY8.7trn in Q2 2026, but the "cashflow" measure which strips out reinvested earnings sat at JPY5.4trn. In other words, Japan's external accounts have been generating foreign assets without generating commensurate demand for the yen.

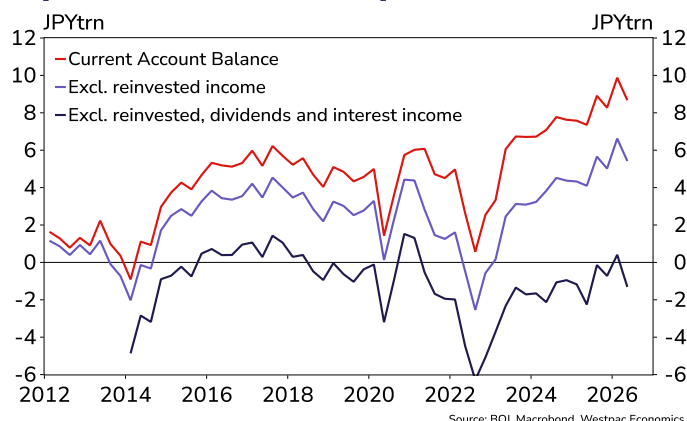
Weakness in the JPY since 2022 has largely reflected widening interest-rate differentials between Japan and the rest of the developed world. These differentials encouraged households, pension funds, insurers and corporates to allocate savings abroad, reinforcing capital outflows at the same time a growing share of Japan's overseas earnings remain offshore. However, rising JGB yields and elevated FX hedging costs are beginning to reduce the relative attractiveness of foreign debt assets. Most recently, higher JGB yields and a push from Japan's Ministry of Finance have seen the world's largest pension fund, GPIF, increase allocations to domestic assets while purchases of foreign bonds have slowed. To have an ongoing positive effect on the yen, this one-off change would need to repeat and scale up over time. Still, the shift in market psychology could moderate a structural headwind for the yen even if domestic investors only maintain this initial change.

Asian economies are increasingly characterised by abundant domestic savings, growing international investment capabilities and deeper financial integration with global markets. In that environment, currency outcomes are becoming less of a reflection of economic growth alone and instead a blend of real economy and financial market developments.

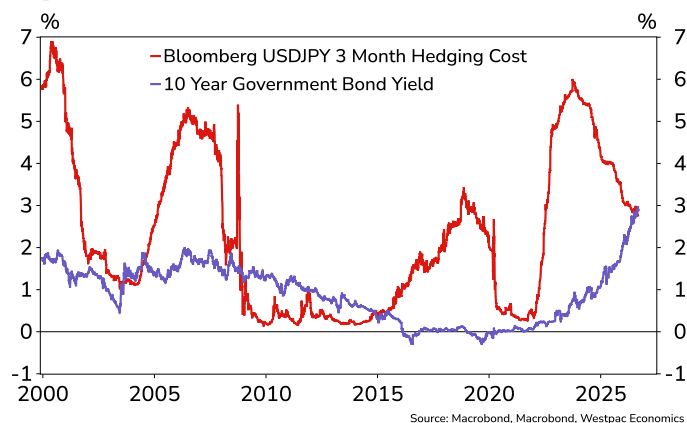
Foreign Holders of US Securities



Japan's current account surplus hides outflows



Japanese assets now look attractive



Rate hikes beyond December ...

Elliot Clarke

Head of International Economics

Market participants have ratcheted up policy expectations for the ECB over the past month. As we publish, almost 100bps of hikes on top of September's 25bp decision are priced by July 2027, up more than 50bps since mid-August.

Against this pricing, Westpac's own view is for one more 25bp hike in Q4 which we believe will allow the Council to achieve their medium-term 2.0%yr target, based on current data.

The ECB's justification to hike in September rested on annual inflation remaining meaningfully above the Governing Council's medium-term target and a clear skew in the risks.

Having troughed at 1.7%yr in January 2026, headline inflation has since risen to 3.3%yr, in large part due to the surge in energy prices related to the Middle East conflict and Russia-Ukraine war. More significantly, excluding food and energy, annual inflation only fell to 2.2%yr at the beginning of the year and has since lifted to 2.4%yr. This is a meaningful but not alarming deviation from target which a mildly contractionary stance from Q4 (a deposit rate circa 2.75%) should be able to resolve within a year or two. The ECB's latest forecasts are consistent with this assessment, seeing headline inflation back at 2.1%yr in 2028 after the September hike to 2.50%.

The additional three hikes market participants have priced from Q4 to mid-2027, more than 50bps of which has been added since mid-August, arguably rests on the recent escalation of tensions getting materially worse, spurring the price of Brent crude and European gas higher still.

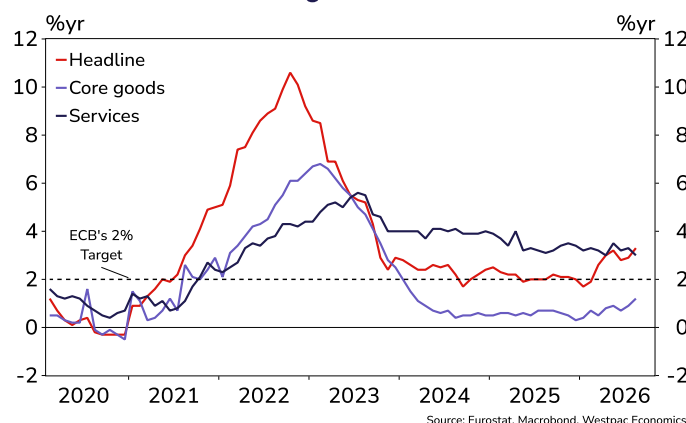
A second-round of commodity inflation will, all else equal, at least hold up the annual rate of headline inflation, and it materially raises the risk of secondary price pressures permeating through the rest of the consumer price basket.

While we recognise the presence of these pressures, at this stage we believe persistence is best regarded as a risk rather than being incorporated into the baseline view. Justifying this perspective are several factors.

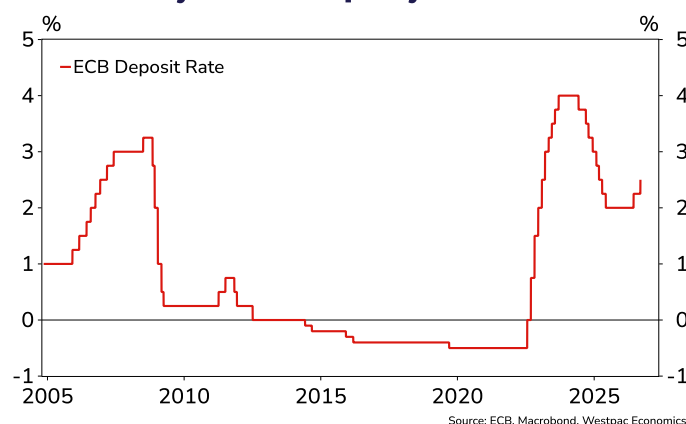
Currently, demand and supply in the Euro Area economy remain broadly balanced. Over the past two and a half years, annual GDP growth has averaged 1.2%yr, in line with potential. Within the detail, household spending has been resilient but the pace of growth has been solid rather than strong. While volatile, the investment data has meanwhile point to a sustained expansion of capacity across the economy with a replenishing pipeline.

A similar situation is evident in the labour market. The unemployment rate has now been broadly stable near its

Inflation to tend to target ...

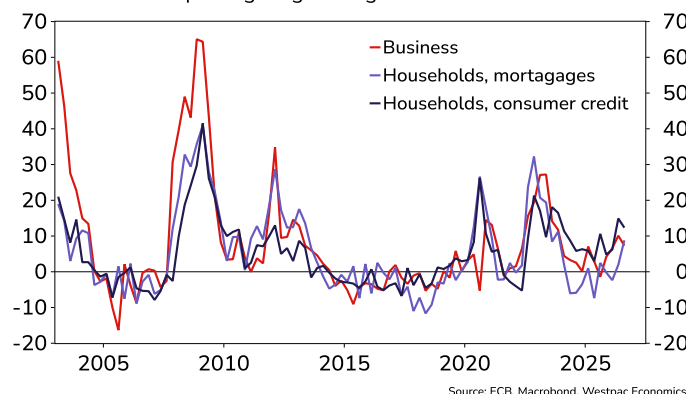


... with mildly restrictive policy



Credit standards have been tightened

Net % of banks reporting a tightening of credit standards



... to prove unnecessary

record low of 6.2% for several years as employment growth maintained a modest pace of gain, 0.5%yr in Q2 2026. Annual growth in negotiated wages was also in line with core inflation in Q2 at 2.4%yr.

Given these developments, it is not surprising that inflation expectations are well behaved and relatively stable, only marginally above the historic average on a 1-year and 3-year view. With policy makers rhetoric focused on doing what is necessary to manage inflation risks, a blow out in expectations amongst households and businesses seems highly unlikely.

It is also important to consider the impact of financial conditions on credit demand and its availability. At August, there was clear evidence from the ECB's Bank Lending Survey that lending conditions were a restrictive influence on the economy over and above the stance of monetary policy.

For households, Q2 saw a second consecutive quarter of credit standard tightening for mortgages across the Continent, principally due to heightened risk perceptions and reduced risk tolerance amongst the banks. Demand for mortgages unsurprisingly fell for a second quarter in a row, and respondents foresee a further reduction in Q3.

A more broad-based tightening of standards was evident for consumer credit. This looks to be partly related to current risks, but also a consequence of structural change, with standards having consistently been tightened quarter-on-quarter over the past two years. Demand for consumer credit contracted in the first half of 2026 after a lacklustre 2025.

A moderate tightening of credit standards is also apparent for businesses. Though, new business investment grew through 2024–26 while credit standards were tightened quarter-on-quarter, implying the impact on business investment of current decision making will likely be modest.

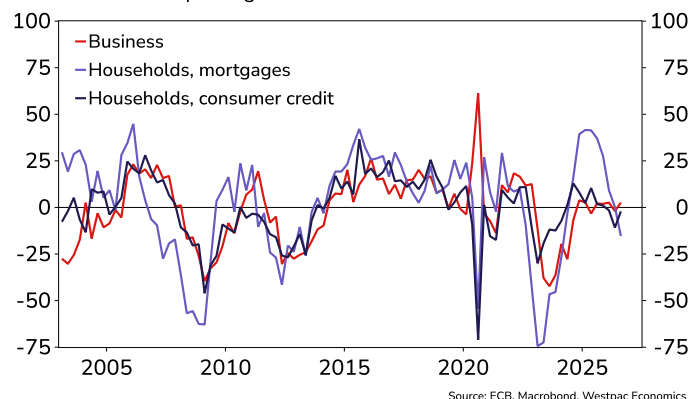
Continued credit growth amongst business while the consumer holds back should improve the Euro Area's ability to grow sustainably in the medium term and to control inflation pressures. Government support for the economy will also aid the region's health.

Indeed, Euro Area governments have capacity to do more on this front, particularly in Germany. This is because Euro Area yields are materially lower than in the US, and their fiscal calculus is more manageable. Highlighting the scale of difference, the 10-year German yield is currently at 3.5% while the US 10-year trades near 5.0%. Since June, the German yield has risen around 30bps compared to circa 60bps in the US.

All told, current data and financial conditions argue for one more hike then a steady hand from the ECB, allowing robust growth and full employment to persist across the region.

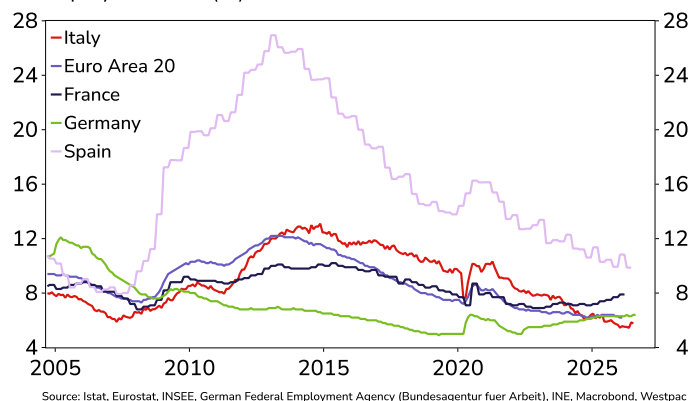
Loan demand mixed

Net % of banks reporting an increase in demand

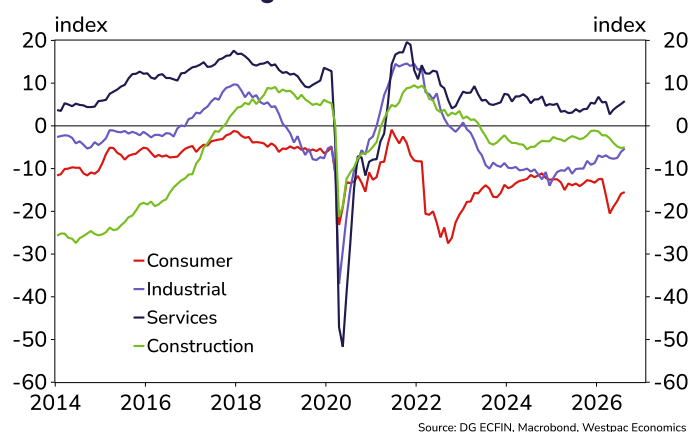


Labour markets fully employed

Unemployment rate (%)



Confidence showing resilience



Australia

Interest rate forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.60	4.60	4.60	4.35	4.10	3.85	3.85	3.85	3.85
90 Day BBSW	4.67	4.70	4.70	4.55	4.30	4.05	3.85	3.95	3.95	3.95
3 Year Swap	5.01	4.65	4.60	4.50	4.40	4.30	4.25	4.20	4.15	4.10
3 Year Bond	5.03	4.65	4.60	4.50	4.40	4.30	4.25	4.20	4.15	4.10
10 Year Bond	5.38	5.20	5.10	5.00	4.90	4.85	4.80	4.80	4.80	4.80
10 Year Spread to US (bps)	42	40	35	30	25	15	5	0	-5	-10

Currency forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD vs										
USD	0.7162	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
JPY	110.52	111	111	112	111	110	109	108	107	106
EUR	0.6165	0.61	0.61	0.61	0.61	0.60	0.60	0.60	0.60	0.60
NZD	1.2314	1.22	1.19	1.16	1.14	1.12	1.12	1.11	1.11	1.11
CAD	0.9909	0.99	0.99	0.99	0.99	0.98	0.97	0.96	0.96	0.96
GBP	0.5300	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52	0.52
CHF	0.5821	0.57	0.56	0.56	0.55	0.55	0.54	0.54	0.54	0.54
DKK	4.6087	4.57	4.56	4.59	4.55	4.51	4.47	4.45	4.46	4.48
SEK	6.9349	6.91	6.92	6.98	6.95	6.93	6.87	6.85	6.88	6.91
NOK	6.6466	6.62	6.63	6.70	6.67	6.64	6.59	6.57	6.60	6.62
ZAR	11.59	11.6	11.6	11.7	11.7	11.7	11.7	11.8	11.8	11.8
SGD	0.9078	0.91	0.91	0.92	0.92	0.92	0.91	0.91	0.91	0.91
HKD	5.6157	5.61	5.63	5.70	5.69	5.69	5.65	5.63	5.62	5.61
PHP	44.94	44.4	44.3	44.5	44.2	43.8	42.8	42.0	41.3	41.3
THB	23.73	23.3	23.0	23.0	22.6	22.4	22.1	21.9	21.7	21.7
MYR	2.9169	2.86	2.84	2.85	2.85	2.81	2.80	2.79	2.75	2.75
CNY	4.8064	4.80	4.75	4.75	4.71	4.67	4.61	4.60	4.56	4.56
IDR	12567	12458	12384	12410	12191	11972	11834	11729	11656	11656
TWD	22.66	22.6	22.3	22.3	21.9	21.5	21.1	20.6	20.4	20.4
KRW	965	967	968	978	975	971	962	956	952	952
INR	68.83	67.7	67.7	67.9	67.2	66.4	65.3	64.4	63.7	63.0

Australia

Activity forecasts

	2026				2027				Calendar years			
%qtr / %yr end	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Household consumption	0.4	0.4	0.8	0.4	0.4	0.5	0.5	0.6	2.5	2.0	2.0	2.9
Dwelling investment	1.5	1.6	1.2	0.9	0.8	0.8	0.9	0.7	5.2	5.3	3.2	5.5
Business investment *	6.2	-0.5	4.4	2.1	4.0	1.4	1.6	1.3	4.5	12.7	8.6	5.0
Private demand *	1.4	0.3	1.1	0.8	1.1	0.7	0.7	0.7	3.2	3.6	3.3	3.5
Public demand *	-0.5	0.2	0.7	0.7	0.6	0.6	0.6	0.6	2.4	1.1	2.5	2.6
Domestic demand	0.9	0.3	1.0	0.7	1.0	0.7	0.7	0.7	3.0	2.9	3.1	3.2
Stock contribution	-0.1	-0.1	-0.0	-0.1	0.0	0.0	-0.1	0.0	0.1	-0.2	-0.1	0.1
GNE	0.8	0.2	1.0	0.7	1.0	0.7	0.6	0.7	3.1	2.7	3.0	3.3
Exports	-1.1	0.8	0.5	0.8	0.4	0.7	0.7	0.6	5.2	1.1	2.4	2.4
Imports	2.0	0.5	2.6	2.1	2.7	1.8	1.3	1.5	6.8	7.3	7.5	5.5
Net exports contribution	-0.7	0.1	-0.5	-0.3	-0.6	-0.3	-0.2	-0.2	-0.3	-1.5	-1.3	-0.8
Real GDP %qtr / %yr avg	0.3	0.4	0.5	0.4	0.4	0.4	0.5	0.5	2.0	2.1	1.7	2.2
%yr end	2.5	2.1	2.1	1.5	1.7	1.6	1.6	1.7	2.6	1.5	1.7	2.5
Nominal GDP %qtr / %yr avg	0.6	0.8	1.5	0.9	0.6	0.8	0.7	0.9	4.8	4.8	3.5	4.3
%yr end	5.4	5.3	4.9	3.8	3.8	3.9	3.1	3.1	6.2	3.8	3.1	5.0
Real household disp. income	-0.3	0.6	1.4	-0.3	0.5	0.8	1.4	-0.1	4.0	1.3	2.6	3.0

Other macroeconomic variables

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Employment %qtr **	0.6	0.3	0.5	0.4	0.5	0.4	0.5	0.5	-	-	-	-
%yr end **	1.5	1.1	1.6	1.8	1.8	1.9	2.0	2.0	1.1	1.8	2.0	2.5
Unemployment rate % **	4.2	4.4	4.5	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	0.5	0.7	0.6	0.7	0.4	-	-	-	-
%yr end	4.1	3.9	3.9	3.7	3.0	3.0	2.5	2.4	3.6	3.7	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.7	0.8	0.7	0.6	0.6	-	-	-	-
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.8	2.7	3.3	3.3	2.7	2.3
Current account \$bn, qtr	-25.4	-27.2	-22.0	-25.9	-30.2	-32.2	-35.7	-35.9	-	-	-	-
% of GDP	-3.5	-3.7	-2.9	-3.4	-3.9	-4.2	-4.6	-4.6	-3.1	-3.4	-4.6	-4.3
Terms of trade %yr avg	-1.2	-0.6	0.1	0.8	0.2	0.1	-1.9	-3.6	-2.5	0.8	-3.6	-2.0
Population growth %yr end	1.5	1.5	1.5	1.5	1.4	1.4	1.4	1.4	1.5	1.5	1.4	1.4

Calendar year changes are annual through-the-year percentage changes unless otherwise specified.

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter-averages.

Macroeconomic variables – recent history

	2025					2026						
Monthly data	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul
CPI %yr	3.8	3.4	3.8	3.8	3.7	4.6	4.2	4.0	3.8	3.5	-	-
Employment '000 chg	33.2	-39.2	57.3	36.1	22.1	20.0	-34.9	38.2	80.2	-15.8	-	-
Unemployment rate %	4.3	4.3	4.1	4.1	4.3	4.3	4.5	4.4	4.4	4.5	-	-
Westpac-MI Consumer Sentiment	92.1	103.8	94.5	92.9	90.5	91.6	80.2	83.0	80.6	83.9	89.0	84.4
Household spending %mth	1.3	1.0	-0.4	0.3	0.3	1.7	-1.0	1.2	1.0	1.1	-	-
Dwelling approvals %mth	-9.5	15.5	-15.6	-13.5	44.0	-13.5	1.2	-1.5	6.9	-3.6	-	-
Private sector credit %mth	0.7	0.7	0.8	0.5	0.7	0.8	0.7	0.8	0.8	0.6	-	-
Trade in goods balance AUDbn	4.3	2.3	3.3	2.5	5.1	-1.7	1.2	-2.4	2.3	1.9	-	-

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

New Zealand

Interest rate forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.09	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.05	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	5.02	4.75	4.90	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US	6	-5	15	30	40	35	30	25	20	15
10 Year Spread to Aust	-36	-45	-20	0	15	20	25	25	25	25

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
NZD vs										
USD	0.5816	0.59	0.61	0.63	0.64	0.65	0.65	0.65	0.65	0.65
JPY	89.75	91	93	96	98	98	98	97	96	95
EUR	0.5007	0.50	0.51	0.53	0.54	0.54	0.53	0.53	0.54	0.54
AUD	0.8121	0.82	0.84	0.86	0.88	0.89	0.90	0.90	0.90	0.90
CAD	0.8047	0.81	0.83	0.85	0.87	0.87	0.86	0.86	0.86	0.86
GBP	0.4304	0.43	0.44	0.46	0.47	0.47	0.46	0.46	0.46	0.46
CNY	3.9038	3.92	3.99	4.08	4.14	4.16	4.13	4.13	4.10	4.10

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Private consumption	0.5	0.1	0.5	0.8	0.8	1.0	1.0	1.0	1.4	1.1	3.2	4.0
Government consumption	1.5	-0.2	0.3	0.3	0.3	0.3	0.6	0.5	2.5	4.0	1.3	2.2
Residential investment	-3.1	3.0	3.0	4.0	4.0	3.0	2.5	2.0	-5.4	2.3	13.9	6.0
Business investment	3.7	0.7	0.8	1.5	1.6	1.4	1.1	0.9	0.5	4.2	5.2	4.0
Stocks (ppt contribution)	0.0	-0.7	0.5	0.0	0.2	0.0	0.1	-0.1	-0.1	0.2	0.3	-0.1
GNE	0.9	-0.4	1.1	1.0	1.2	1.0	1.1	0.9	0.9	2.6	4.0	3.7
Exports	3.1	1.6	-1.9	-0.2	0.9	0.9	0.8	0.8	2.8	4.6	1.5	3.1
Imports	4.2	0.5	0.4	0.6	1.4	2.3	2.1	1.4	3.3	6.0	5.1	4.8
GDP (production)	0.8	0.2	0.6	0.8	1.1	0.5	0.6	0.7	0.3	2.1	2.7	3.1
Employment annual %	0.5	1.2	1.7	1.8	2.3	2.5	2.6	2.6	0.2	1.8	2.6	2.3
Unemployment rate % s.a.	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
LCI, all sect incl o/t, ann %	2.0	2.0	2.2	2.3	2.3	2.3	2.3	2.3	2.0	2.3	2.3	2.3
CPI annual %	3.1	4.1	3.7	3.7	3.2	2.1	2.0	1.7	3.1	3.7	1.7	2.1
Current account % of GDP	-3.6	-3.7	-4.1	-4.4	-4.5	-4.7	-4.6	-4.4	-3.6	-4.4	-4.4	-4.2
Terms of trade annual %	2.0	-3.6	-3.1	-1.4	2.6	6.3	7.4	5.7	3.4	-1.4	5.7	1.6

Sources: Statistics NZ, Westpac Economics.

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Commodity prices

Quarter average	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Australian commodities index#	438	415	395	377	368	363	360	358	356	356
Bulk commodities index#	416	388	358	333	328	327	329	331	334	336
iron ore finesTSI @ 62% US\$/t	101	97	89	83	83	83	84	84	85	86
Premium low vol met coal (US\$/t)	267	250	225	203	195	191	192	193	195	196
Newcastle spot thermal coal (US\$/t)	146	127	121	116	116	116	116	117	117	118
crude oil (US\$/bbl) Brent	94	90	85	80	77	75	72	70	68	67
LNG in Japan US\$mmbtu	23.9	19.8	18.7	17.0	15.6	14.6	13.9	13.0	12.2	11.9
gold (US\$/oz)	4,414	4,500	4,410	4,390	4,370	4,350	4,370	4,400	4,430	4,460
Base metals index#	277	278	267	258	254	250	247	245	242	241
copper (US\$/t)	14,416	14,810	13,780	13,090	12,960	12,890	12,840	12,810	12,770	12,750
aluminium (US\$/t)	3,299	3,300	3,330	3,290	3,230	3,130	3,050	3,000	2,950	2,930
nickel (US\$/t)	16,661	16,570	16,740	16,860	16,950	17,030	17,120	17,200	17,290	17,380
zinc (US\$/t)	4,008	4,060	3,860	3,670	3,480	3,340	3,220	3,130	3,050	3,000
lead (US\$/t)	1,878	1,870	1,880	1,890	1,910	1,920	1,890	1,870	1,850	1,840
Rural commodities index#	155	152	149	146	141	137	136	134	132	131
NZ commodities index ##	388	397	400	403	406	409	411	412	412	413
dairy price index ##	316	318	322	329	335	341	345	346	348	350
whole milk powder USD/t	3,585	3,530	3,530	3,580	3,640	3,720	3,770	3,810	3,850	3,890
skim milk powder USD/t	3,695	3,300	3,110	3,140	3,180	3,230	3,270	3,300	3,330	3,370
lamb price index ##	725	716	714	709	705	701	694	686	677	669
beef price index ##	376	408	407	408	408	408	407	405	402	400
forestry price index ##	165	159	160	160	160	161	161	162	163	164

	levels				% change			
Annual averages	2025	2026(f)	2027(f)	2028(f)	2025	2026(f)	2027(f)	2028(f)
Australian commodities index#	324	410	376	357	4.1	26.8	-8.5	-4.9
Bulk commodities index#	378	397	337	333	-12.7	5.1	-15.2	-1.2
iron ore finesTSI @ 62% US\$/t	102	102	85	85	-6.8	0.5	-17.1	0.0
Premium low vol met coal (US\$/t)	189	241	203	194	-22.5	27.8	-15.6	-4.6
Newcastle spot thermal coal (US\$/t)	106	129	117	117	-21.6	21.7	-9.5	0.0
crude oil (US\$/bbl) Brent	68	88	79	69	-14.6	28.7	-10.0	-12.6
LNG in Japan US\$mmbtu	12.3	18.0	16.5	12.7	3.1	47.0	-8.6	-22.8
gold (US\$/oz)	3,440	4,550	4,380	4,420	43.9	32.3	-3.7	0.9
Base metals index#	208	266	257	244	3.0	27.9	-3.4	-5.2
copper (US\$/t)	9,960	13,780	13,180	12,790	8.6	38.4	-4.4	-3.0
aluminium (US\$/t)	2,630	3,330	3,250	2,980	8.2	26.6	-2.4	-8.3
nickel (US\$/t)	15,200	17,210	16,900	17,250	-9.9	13.2	-1.8	2.1
zinc (US\$/t)	2,860	3,660	3,590	3,100	2.5	28.0	-1.9	-13.6
lead (US\$/t)	1,970	1,910	1,900	1,860	-5.3	-3.0	-0.5	-2.1
Rural commodities index#	120	144	144	127	-4.9	20.1	-0.3	-11.3
NZ commodities index ##	390	398	405	412	9.2	2.0	1.7	1.8
dairy price index ##	348	326	332	347	9.7	-6.5	1.9	4.7
whole milk powder USD/t	3902	3593	3617	3829	13.5	-7.9	0.7	5.9
skim milk powder USD/t	2702	3278	3165	3319	0.7	21.3	-3.4	4.8
lamb price index ##	587	685	707	681	27.0	16.7	3.2	-3.6
beef price index ##	337	393	408	403	19.1	16.4	3.8	-1.1
forestry price index ##	152	159	160	162	-4.9	5.0	0.5	1.4

Chain weighted index: weights are Australian export shares. * Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. ** WCFI – Westpac commodities futures index. *** Latest figures are weekly averages. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

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United States

Interest rate forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Fed Funds*	3.625	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
10 Year Bond	4.96	4.80	4.75	4.70	4.65	4.70	4.75	4.80	4.85	4.90

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
USD vs										
DXY index	99.05	98.5	97.8	97.0	96.2	95.4	94.9	94.7	94.8	94.8
JPY	154.32	155	154	153	152	151	150	149	148	146
EUR	1.1615	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
AUD	0.7162	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD	0.5816	0.59	0.61	0.63	0.64	0.65	0.65	0.65	0.65	0.65
CAD	1.3837	1.38	1.37	1.36	1.35	1.34	1.33	1.32	1.32	1.32
GBP	1.3513	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
CHF	0.8127	0.79	0.78	0.77	0.76	0.75	0.75	0.75	0.75	0.75
ZAR	16.19	16.2	16.1	16.0	16.0	16.0	16.2	16.2	16.2	16.2
SGD	1.2676	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8413	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75
PHP	62.76	62.0	61.5	61.0	60.5	60.0	59.0	58.0	57.0	57.0
THB	33.13	32.5	32.0	31.5	31.0	30.7	30.4	30.2	30.0	30.0
MYR	4.0733	4.00	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80
CNY	6.7114	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	17547	17400	17200	17000	16700	16400	16300	16200	16100	16100
TWD	31.64	31.5	31.0	30.5	30.0	29.5	29.0	28.5	28.2	28.2
KRW	1348	1350	1345	1340	1335	1330	1325	1320	1315	1315
INR	95.45	94.5	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Activity forecasts

	2026				2027				Calendar years			
% annualised, s/adj	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Private consumption	0.5	3.4	1.8	1.6	1.7	1.7	2.1	2.1	2.6	2.0	1.9	2.0
Dwelling investment	-7.8	1.3	0.0	0.8	0.8	1.2	1.6	2.0	-2.2	-3.3	1.0	2.0
Business investment	10.6	8.5	6.9	6.5	5.0	4.6	4.7	4.7	4.1	6.8	5.6	4.7
Public demand	4.4	-1.0	0.4	0.4	0.4	0.4	0.4	0.4	1.1	0.2	0.3	0.4
Domestic final demand	2.3	3.4	2.3	2.1	1.9	2.0	2.2	2.2	2.4	2.3	2.2	2.2
Inventories contribution ppt	-0.8	-0.1	0.1	0.1	0.1	0.2	0.0	0.0	-0.1	0.1	0.0	0.1
Net exports contribution ppt	1.6	-0.1	-0.6	-0.7	-0.7	-0.5	-0.4	-0.5	0.4	-0.7	-0.5	-0.5
GDP	2.1	1.5	2.8	1.9	1.6	1.7	1.8	1.8	2.1	2.1	1.8	1.9
%yr annual chg	2.7	2.1	1.7	2.0	1.9	2.0	1.7	1.7	-	-	-	-

Other macroeconomic variables

Non-farm payrolls mth avg	43	96	90	80	90	100	105	110	26	98	108	120
Unemployment rate %	4.3	4.3	4.4	4.4	4.5	4.5	4.6	4.6	4.3	4.4	4.6	4.5
CPI headline %yr	2.7	3.9	3.5	3.2	2.9	2.3	2.3	2.2	2.7	3.4	2.4	2.2
PCE deflator, core %yr	3.1	3.3	3.1	3.0	2.7	2.4	2.3	2.2	2.8	3.1	2.4	2.2

Sources: Official agencies, Factset, Westpac Economics.

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Europe & the United Kingdom

Interest rate forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Euro Area										
ECB Deposit Rate	2.50	2.75	2.75	2.75	2.75	2.75	2.50	2.25	2.25	2.25
10 Year Bund	3.50	3.30	3.20	3.10	3.00	3.00	3.00	3.00	3.00	3.00
10 Year Spread to US	-146	-150	-155	-160	-165	-170	-175	-180	-185	-190
United Kingdom										
BoE Bank Rate	3.75	4.00	4.00	4.00	4.00	3.75	3.50	3.25	3.25	3.25
10 Year Gilt	5.37	5.20	5.10	5.00	4.90	4.85	4.80	4.75	4.75	4.75
10 Year Spread to US	41	40	35	30	25	15	5	-5	-10	-15

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
euro vs										
USD	1.1615	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
JPY	179.24	181	182	182	182	183	182	181	179	177
GBP	0.8596	0.86	0.87	0.87	0.87	0.87	0.87	0.86	0.86	0.86
CHF	0.9441	0.92	0.92	0.92	0.91	0.91	0.91	0.91	0.91	0.91
DKK	7.4748	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47
SEK	11.25	11.3	11.3	11.4	11.4	11.5	11.5	11.5	11.5	11.5
NOK	10.78	10.8	10.9	10.9	11.0	11.0	11.0	11.0	11.0	11.1
sterling vs										
USD	1.3513	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
JPY	208.53	210	209	210	210	210	210	209	208	204
CHF	1.0983	1.07	1.06	1.05	1.05	1.04	1.04	1.05	1.05	1.05
AUD	0.5300	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Euro area GDP	3.7	0.5	1.1	1.3	0.9	1.2	1.5
<i>private consumption</i>	5.3	0.7	1.5	1.4	1.0	1.1	1.4
<i>fixed investment</i>	2.4	2.8	-2.0	2.9	0.7	1.7	2.3
<i>government consumption</i>	1.2	1.2	2.7	1.5	2.0	2.0	2.0
<i>net exports contribution ppt</i>	-0.1	0.3	0.3	-0.6	0.1	0.1	-0.3
Germany GDP	2.0	-0.8	0.0	0.3	1.0	1.2	1.7
France GDP	2.8	1.8	1.4	0.9	0.4	0.8	1.2
Italy GDP	5.0	1.0	0.6	0.7	0.9	0.7	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.5	2.0	2.1
Netherlands GDP	5.0	-0.6	1.1	1.6	1.3	1.2	1.6
United Kingdom GDP	5.1	0.3	1.0	1.4	1.2	1.0	1.5

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Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	-0.3	0.1	0.1	1.2	1.3	1.6
Producer prices %yr	10.3	-0.7	-2.7	-2.3	-2.6	2.2	1.2	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.3	5.0	4.8
Retail sales	12.5	-0.2	7.2	3.5	3.7	2.0	3.8	4.2
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.4
Fixed asset investment	4.9	5.1	3.0	3.2	-1.4	-2.0	4.0	4.5
Exports %yr	20.9	-9.9	-2.3	10.7	5.2	14.0	5.0	3.5
Imports %yr	19.5	-7.5	0.2	0.9	-0.1	17.0	4.0	3.0

Source: Macrobond, Bloomberg. Year-to-date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1-year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Policy Rate	1.00	1.25	1.25	1.50	1.50	1.50	1.50	1.50	1.50	1.50
10 Year Bond Yield	2.92	2.75	2.70	2.65	2.60	2.58	2.56	2.54	2.53	2.52

Currency forecasts

	Latest (11 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
JPY	154.32	155	154	153	152	151	150	149	148	146
SGD	1.2676	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8413	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75
PHP	62.76	62.0	61.5	61.0	60.5	60.0	59.00	58.00	57.00	57.00
THB	33.13	32.5	32.0	31.5	31.0	30.7	30.4	30.2	30.0	30.0
MYR	4.0733	4.00	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80
CNY	6.7114	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	17547	17400	17200	17000	16700	16400	16300	16200	16100	16100
TWD	31.64	31.5	31.0	30.5	30.0	29.5	29.0	28.5	28.2	28.2
KRW	1348	1350	1345	1340	1335	1330	1325	1320	1315	1315
INR	95.45	94.5	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Source: Bloomberg, Westpac Economics.

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Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
World	6.7	3.8	3.3	3.4	3.4	3.3	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.1	1.8	1.9
Japan	3.6	1.3	0.7	-0.2	1.1	0.7	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.3	0.9	1.2	1.5
Group of 3	5.9	2.8	1.8	1.7	1.7	1.5	1.5	1.6
United Kingdom	8.5	5.1	0.3	1.0	1.3	1.2	1.0	1.5
Canada	6.0	4.7	2.0	2.0	1.9	0.9	1.6	1.8
Australia	5.4	4.2	2.1	1.0	2.0	2.1	1.7	2.2
New Zealand	5.5	2.6	2.2	-0.3	0.3	2.1	2.7	3.1
OECD total	6.2	3.2	1.9	1.8	1.7	1.6	1.5	1.7
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	3.5	2.5	2.2
Taiwan	6.7	2.7	1.1	5.3	8.8	10.0	5.0	4.0
Hong Kong	6.5	-3.7	3.2	2.6	3.6	4.0	3.0	2.6
Singapore	10.1	4.0	1.5	5.3	5.0	5.0	3.0	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.2	5.2	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	2.0	2.0	2.2
Malaysia	3.3	9.0	3.5	5.1	5.2	5.0	4.8	4.6
Philippines	5.7	7.6	5.5	5.7	4.4	3.6	4.0	4.5
Vietnam	2.6	8.5	5.1	7.0	8.0	8.0	7.5	7.2
East Asia	7.1	3.6	4.7	4.8	4.9	4.9	4.5	4.3
East Asia ex China	4.4	4.6	3.4	4.5	4.7	5.2	4.3	4.2
NIEs*	6.1	2.3	1.6	3.4	4.1	5.8	3.4	2.8
India	9.7	7.6	7.2	7.1	7.6	7.1	7.0	6.6
Russia	5.9	-1.4	4.1	4.9	1.0	0.6	0.9	1.1
Brazil	4.8	3.0	3.2	3.4	2.3	1.9	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	-1.9	-1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex-East Asia	6.8	3.7	3.7	4.7	4.4	4.2	4.3	4.3
Other countries	6.7	5.2	4.9	2.0	2.3	2.8	3.0	3.1
World	6.7	3.8	3.3	3.4	3.4	3.3	3.3	3.3

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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25 September 2026

WESTPAC HOUSING PULSE

Australia's quarterly housing market report

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The **Westpac Housing Pulse** report is produced by Westpac Economics.

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The next issue will be published 20 November 2026.

'Air pocket'

Housing market developments have continued to come thick and fast over the last few months. One by-product of this has been a delay to our latest report which has required a few refreshes. The bottom line is that the correction that began in early 2026 has broadened and intensified. While there are some signs, including from our sentiment-based indicators, that turnover is starting to stabilise, it is at a weak level with prices still moving lower and the near term outlook challenging.

A big part of the challenge now sits with the wider economic and financial backdrop. The economy held up better than expected in the June quarter with consumer spending soft rather than weak and income gains supported by a business investment upswing, led by data centres and renewable energy projects, that is gaining momentum.

Meanwhile inflation remains a pressing concern. Underlying measures are still above the RBA's 2-3% target band and oil prices are again pushing above US\$100/bbl following another deterioration in the Middle East situation.

The combination is widely expected to see the RBA Board deliver another rate rise at its September meeting with a clear risk of a further increase.

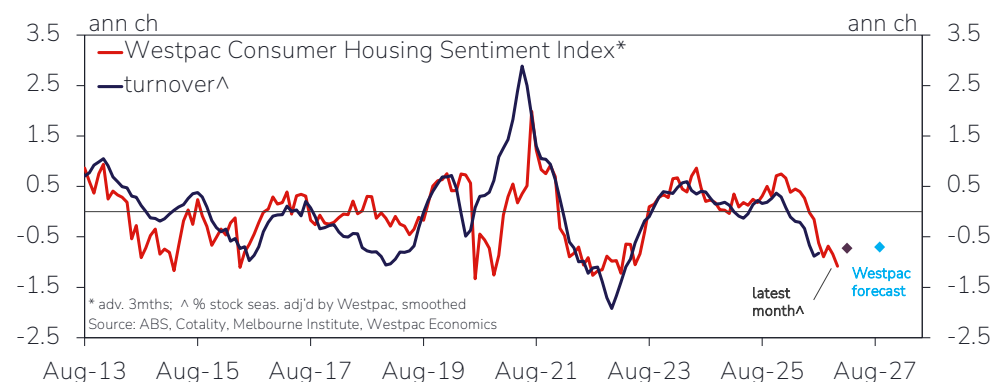
The timing could not be much worse for housing. As we warned in our last report, markets were already at risk of hitting an 'air pocket' as the downdraft from rate rises combined with heightened uncertainty about the impact of housing-related tax policy changes. A steeper drop in activity could see 'thin' trading conditions, raising the risk of more volatile and weaker price outcomes and an air of panic.

Our **Housing Pulse** shows things are delicately poised. The **Westpac Consumer Housing Sentiment Index** is shading lower, suggesting the pull-back in turnover is tilting towards a marginally bigger 25% decline vs our initial forecast of 20%. However, consumers' house price expectations have stabilised at levels that are below average but not at the outright negative reads seen during previous corrections.

There are other factors that should also limit the correction. Selling pressure is minimal and both the physical and on-market supply-demand balance remains relatively tight.

Overall, we have revised down our forecast for prices which are now expected to see a 7.3% decline peak-to-trough, similar to the correction in 2022. The run into year-end is shaping as a particularly nervy one for housing markets.

1. Australia: national housing conditions



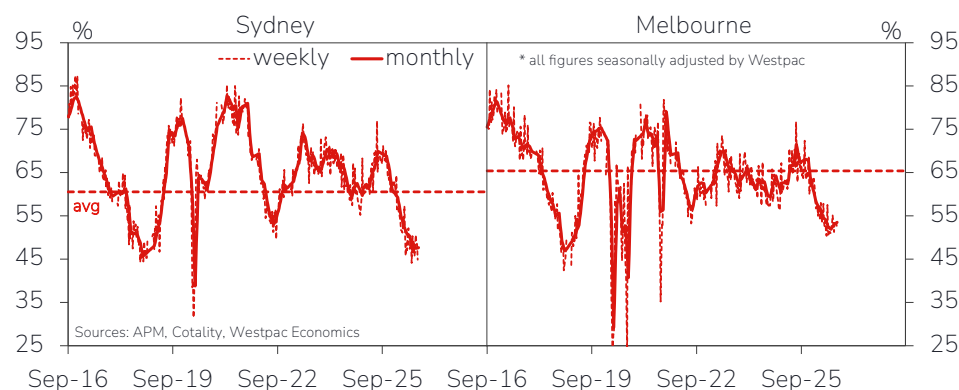
"... near term outlook challenging."

*The **Westpac Consumer Housing Sentiment Index** is a composite measure based on four housing-related components of the Westpac Consumer Sentiment survey. See Appendix on p38 for more details.

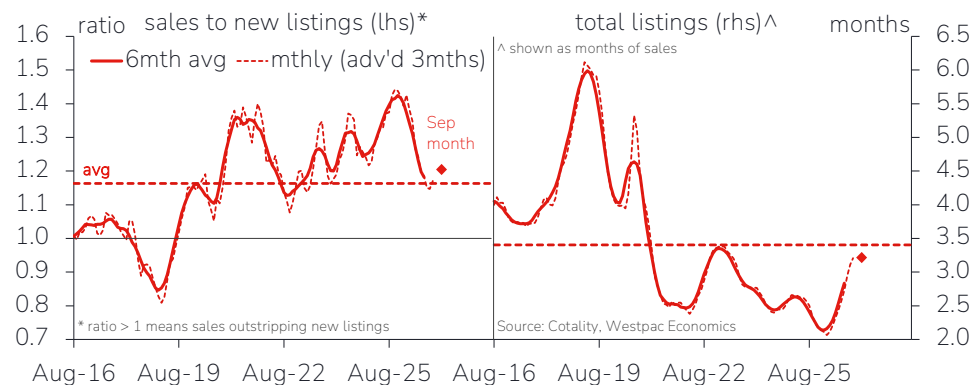
Losing altitude

- Our last report found housing markets entering a more uncertain period as a re-tightening in interest rates combined with a global energy shock and major tax policy changes. The combined effect was seeing a significant weakening in both markets and housing-related sentiment. Three months on and the downturn has deepened and broadened. While there have been some tentative signs of stabilisation, particularly around sales volumes (see p6), momentum remains firmly negative and is likely to remain so with a further rise in interest rates now expected in coming months.
- Nationally, the initial dip in prices in Apr-May has accelerated materially with prices falling 3.8% over the 3mths to Aug (albeit with about 0.6ppts of that seasonal) to be 4.7% below their peak. Annual growth has slowed to 1%yr and is likely to move into negative in Sep (see [here](#) for more details).
- The price correction has also broadened. Initial declines centred on the 'top tier' segments of the Sydney and Melbourne markets. Those markets are now seeing all price tiers recording declines. Meanwhile, Brisbane, Adelaide and Perth, which were all still recording positive price growth three months ago, are now seeing modest declines as well. Prices are also dipping across most of Australia's smaller capital cities and regional areas.
- Turnover has weakened materially as well. Revised estimates show quarterly volumes have been declining at a 6%qtr average pace in 2026 and are down 17% from last year's high to a near 3½yr low. The initial downturn was a little more pronounced in Sydney and Melbourne but is now coming across nearly all major city markets.
- Auction markets are also stressed. These are more reflective of conditions in the 'top tier' segments of the Sydney and Melbourne markets that have seen bigger corrections to date. Clearance rates have dropped well below avg to be near the lows seen in 2018-19 (slightly higher in Melbourne). Auction volumes are also down 35% vs a year ago. Pre-auction withdrawals rose sharply in Jun but have moderated again since (see p6).
- Around on-market supply, listings have started to pull back with new listings across the major capital cities over the 3mths to Aug down 8.9% from a peak in Apr. This is the lowest pace for new listings since mid-2023. However, the much sharper pull back in sales means total listings on market are still rising, up 28% since the start of the year (adjusting for seasonality). Current inventory now sits at 3.2 months of sales, a touch below historical averages but up sharply on the 2 months of sales that were on hand late last year.

2. Auction clearance rates

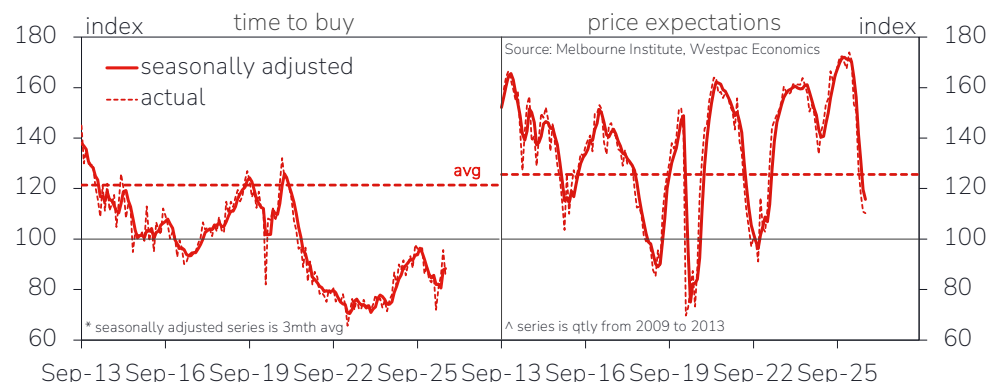


3. Residential property listings

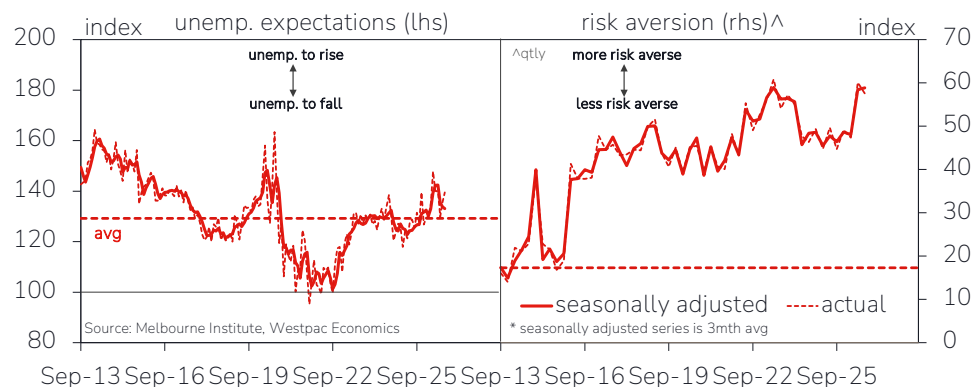


- Housing-related sentiment has also deteriorated since May although there have been significant differences across particular aspects.
- The biggest deterioration has been around price expectations. Recall that these were coming from a very high starting point earlier in the year. The **Westpac-MI Consumer House Price Expectations Index** plunged 27% over the 3mths to Aug following a 13% drop over the previous 3mths but held about steady in Sep. At 110.3, the index is now well below the long run avg of 126. However, it remains comfortably above the 100 level, meaning those expecting prices to rise still outnumber those expecting them to fall. This may well change, but as it stands, the absence of a consensus view that prices will be low in a year's time will tend to limit rather than add to downside momentum (as it did in 2019, 2020 and 2022).
- Risk aversion has also spiked. The **Westpac Consumer Risk Aversion Index** jumped 12.7pts from 47.4 in Mar to 60.1 in Jun, dipping back only slightly to 57.5 in Sep. This compares to the 52yr high of 60.8 recorded 3yrs ago. Responses to the 'wisest place for savings' question used to compile this measure show safe options heavily favoured: 65% nominating 'bank deposits', 'pay down debt' or 'super'. Only 4.7% nominated 'real estate', a record low.
- These moves were partially offset by a less pessimistic take on 'time to buy' and easing job loss fears.
- The **Westpac-MI 'time to buy a dwelling' index** posted a big rebound over the 3mths to Aug but was coming from an extremely weak starting point and unwound some of the gain in Sep. The index jumped from 72 in May (close to previous lows) to 95.7 in Aug, moving back to 85.5 in Sep. The volatility reflects both uncertainty about the impact of recent tax policy changes and the outlook for inflation and interest rates (the 'time to buy' index typically captures the affordability proposition for owner occupiers). The moves suggest some of the initial uncertainty around tax changes has eased. That said, the Index is still a long way from outright positive and the long run avg of 121.
- Sentiment around jobs recovered from a minor scare earlier in the year, likely linked to the energy crisis and interest rate rises, but has weakened again in Sep. The **Westpac-MI Unemployment Expectations Index** dropped 12% over the 3mths to Jul, but has backed up 7.3% again since then. At 139.4 the index is above the long-run avg of 129 but not overly high. The latest deterioration has been more pronounced amongst those working in the construction and hospitality sectors.

4. Consumer sentiment: housing



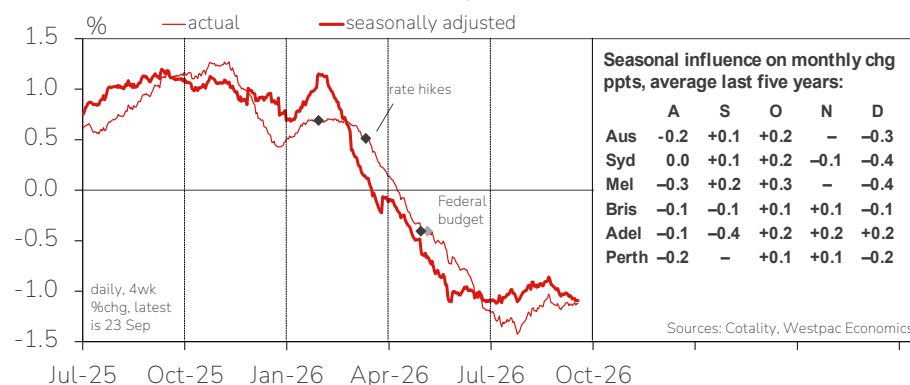
5. Consumer sentiment: jobs & risk aversion



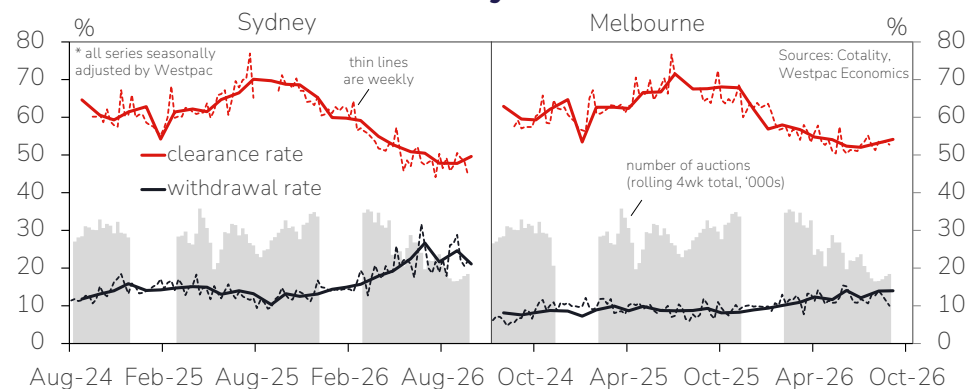
Stabilisation or 'second leg'?

- Australia's housing markets are now six months into a correction phase, the fourth market-wide correction in the last 10 years. Our sentiment-based indicators continue to suggest turnover will start to stabilise in coming months, albeit at low levels and with an uncertain outlook for prices. What do the timeliest real market data sources show? And more generally, when it comes to markets forming a base, what do previous cycles suggest we should be looking for?
- There are four areas where particularly timely data is available: prices; auction markets; listings and new home loan credit enquiries. Price estimates are provided daily while the other data is available weekly with updates released a few days after the observation week. Much of this information is regularly discussed elsewhere in this report. However, it is worth exploring some aspects in a little more detail.
- The Cotality daily price data is the most timely. As discussed previously it often picks turning points a few weeks ahead of monthly updates. As with most high frequency data, these signals are much clearer once seasonal variations are removed. Indeed, seasonality is a more general issue that, while often difficult to adjust for, needs to be kept in mind when assessing 'real' market data, including with the timelier, high frequency measures.
- Chart 6 shows how seasonal variations are currently accentuating price weakness in the daily measure – an effect that was worth up to 0.3ppts in early Aug. Importantly, this effect is shifting from a slight headwind to a tailwind worth 0.1ppts in Sep and 0.2ppts in Oct. While that is unlikely to 'flip the script' when prices are tracking lower at around 1% a month the 0.5ppt net swing over two months will tend to accentuate any improvement. Note that this swing also reverses significantly as we head into year end and is more pronounced in Melbourne and both more muted and slower to show through in Brisbane, Adelaide and Perth.
- The underlying driver of these fluctuations are differences in seasonal variation between buyers and sellers. Buyers are faster to mobilise than sellers, meaning they are more prevalent in early Spring. Conversely, sellers are also slower to withdraw into year-end, with those that are still active more likely to accept a lower price in order to sell before Christmas.
- Auction markets also reflect this seasonality. However, in this instance seasonal effects become less positive through Sep, turning to a dampener in Oct-Nov. As such, the slight improvement in clearance rates in recent weeks is a valid, albeit still very tentative sign of some stabilisation (Chart 7).

6. Dwelling prices: daily

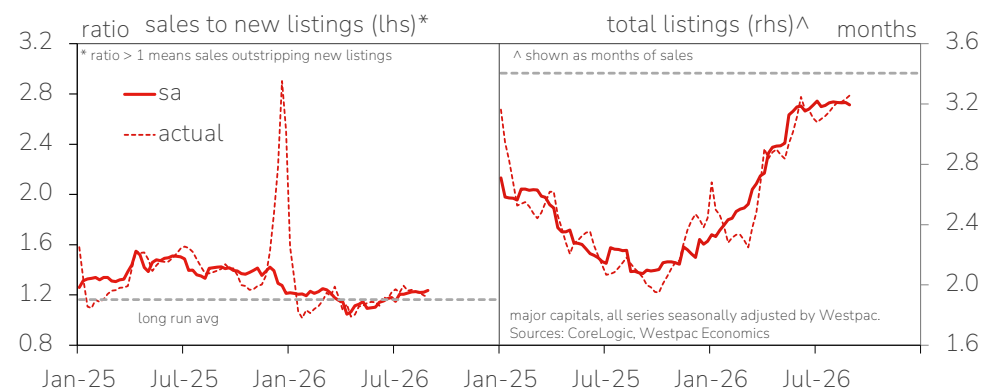


7. Auction market activity

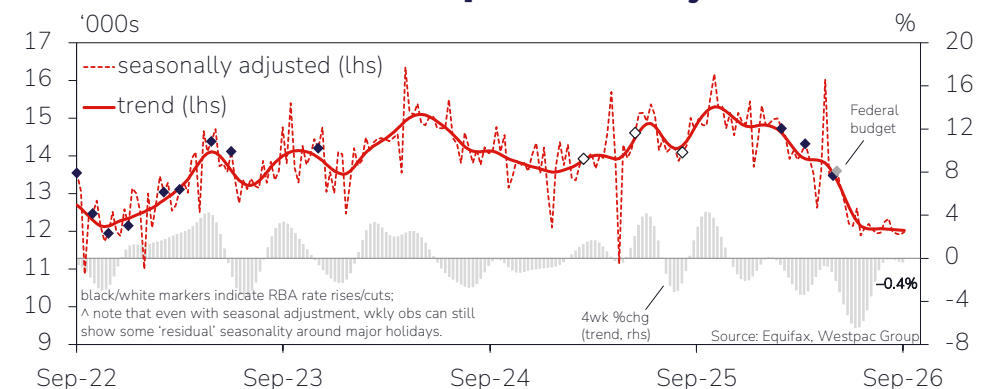


- As discussed in the past, clearance rates around long avg levels (~60% in Sydney and ~65% in Melbourne) are broadly consistent with stable prices. That would require a further 7-8pt improvement from current levels.
- Two other elements are worth keeping an eye on in auction markets at the moment as well: pre-auction withdrawals and volumes (both shown on Chart 7).
- A high rate of pre-auction withdrawals is often a sign of a more distressed market where buyers are in such short supply that auctions are being abandoned altogether. Often this occurs when sellers have been caught out by a sudden shift in market conditions. We saw clear instances of this in 2022 and 2018-19, and an extreme example during COVID. Withdrawal rates currently remain relatively high in both Sydney and Melbourne, albeit with some signs they may have passed their peaks.
- Auction volumes more generally also give a sense of how sellers are approaching the market. As discussed, auction volumes in both Sydney and Melbourne are currently tracking a touch below 2022 lows but slightly above 2019 levels. While this underscores the weakness of demand in these sub-markets, it also indicates that sellers are also withdrawing with signs that more activity is transacting via private sale.
- For the record, auction markets were the first to pick the stabilisation in markets coming out of the 2022 correction, with price and sentiment measures confirming the shift in late 2022/early 2023.
- Data on both new and total listings is available weekly, albeit as a rolling 4wk avg. Our preferred metrics here compare these to total sales to get a sense of how the entry of new sellers is tracking relative to sales activity and the wider balance of on-market supply and demand. These metrics are also highly seasonal, particularly around the turn of the year (Chart 8). Latest updates suggest both new and total listings have steadied with no signs of a 'seller-driven' shift.
- On the demand side, home loan credit enquiries are the best early gauge, as highlighted in previous reports (see [here](#)). Here the latest data (up to the first week of Sep) is quite promising with volumes showing a stabilisation since Jul, albeit at a weak level a touch below previous lows excluding COVID (the data goes back to Apr 2019). Interestingly, the average loan size across enquiries has been rising since mid-Jul although this may be more due to the mix with more weakness starting to show through in lower priced sub-markets. Again, it should be noted that seasonality turns strongly positive for loan enquiries through Oct-Nov as well.

8. Property listings: weekly



9. Home loan credit enquiries: weekly



Housing forecast update

- There have been further changes to the housing outlook since our last report. Prices nationally are now expected to decline 6% in calendar 2026 (compared to a –3% fall in our Jun report) with a peak to trough decline of 7.3%. Turnover is now expected to fall 24% compared to the 20% decline predicted back in Jun.
- Recall that our last **Housing Pulse** (see [here](#)) was released just weeks after the Federal budget announced major tax policy changes. While much of our initial assessment of the impact of the changes still holds, the housing market correction that has unfolded as these have combined with rate rises and increased uncertainty has been more pronounced than we expected.
- Note that the revised track is despite an interest rate path that is slightly less restrictive than we had back in Jun. At the time, we were concerned about evidence of a high pass-through from a spike in fuel prices to non-fuel prices domestically. A less threatening than feared June quarter CPI update allayed those fears. However, since then the wider data flow domestically and the materialisation of upside risks around global energy prices has seen the inflation threat re-escalate. While the situation is fluid, the risk is of a slower path back to the RBA's 2-3% target.
- Overall, we now expect another 25bp hike in Sep with risks of a further rise. Compared to Jun, the interest rate peak comes a little later but is 25bps lower. GDP growth is expected to be soft rather than weak in 2026 (1.5%yr rather than 0.7%yr) with a slightly lower peak in the unemployment rate (4.7% vs 4.9%). See [here](#) for more details on the latest shift in view and [here](#) for the reasoning behind the next expected hike being brought forward from Nov to Sep.
- The table right shows how our revised forecasts place the current housing downturn relative to the last six corrections. The projected peak-to-trough decline in prices is now on a par with 2022 but milder than 2018-19. The peak-to-trough decline in turnover is similar across all three episodes although each correction clearly has its own characteristics, complicating comparisons.
- It is worth noting that, in terms of the five capital city price measure, the expected decline 'gives back' just over 1½ years of price gains, similar to 2022 and 2008-09 but small compared to the 2½ years of gains retraced in 2018-19 and 2010-12. The projected retracement metric differs materially across cities, Sydney forecast to roll back 3 years of gains but Melbourne closer to 6 years. Brisbane, Adelaide and Perth all retrace about 1 year of gains. ▶

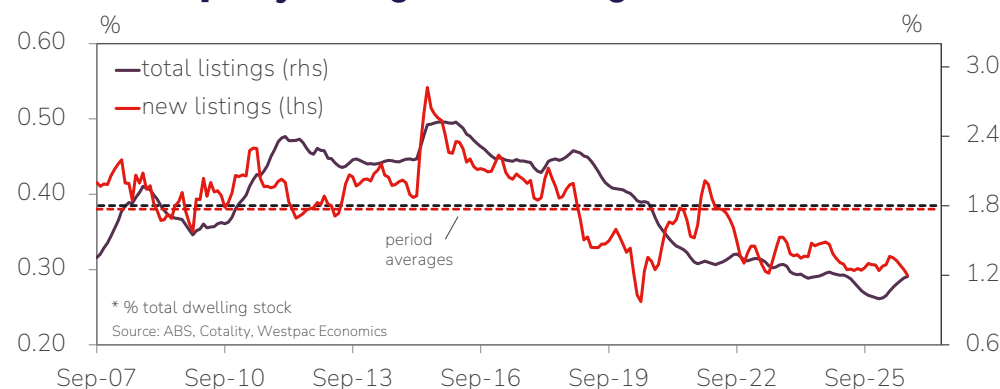
10. Dwelling market corrections

		months	price*	sales*	comments
2008-09	High interest rates, GFC	12	–6.9%	–31	Sustained period of high interest rates followed by GFC shock.
2010-12	Post-GFC re-tightening	20	–5.5%	–20	Re-tightening in interest rates coming out of GFC lows.
2015-16	Macro-pru. tightening	4	–1.3%	–15	Investor credit growth limits, price declines mainly in Sydney and Perth markets.
2018-19	Micro, macro pru., tax fears	19	–8.6%	–25	Limited to Sydney, Melbourne; end of high rise boom; tighter foreign buyer rules.
2020	COVID pandemic	5	–2.4%	–42	Brief price decline, steep sales fall during COVID lockdowns in 2020.
2022	Post-COVID tightening	10	–7.5%	–29	Limited to Sydney, Melbourne and Brisbane housing markets
2026f	Int. rate, tax policy changes	12	–7.3%	–24	Correction to date: months 5; prices – 4.7%; sales –11%

* peak to trough move in five major capital city measure

Source: Cotality, Westpac Economics

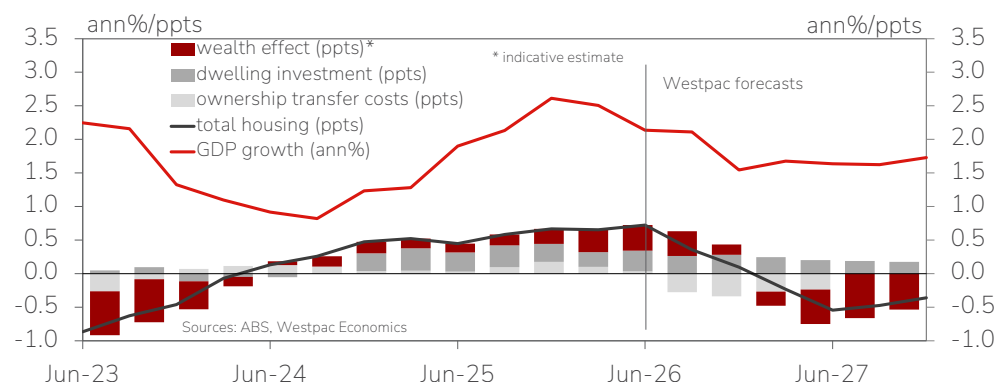
11. Property listings: % dwelling stock



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

- While the demand side is looking weaker, the supply side, including on-market supply, continues to run low. We expect this to limit price declines. Certainly, the sort of sell-side pressures – from urgent sellers and/or a market with a large overhang of unsold stock – that tend to drive large declines remain absent.
- The on-market supply situation is clearest when listings are viewed as a proportion of the total dwelling stock (Chart 11). Currently, just 1.2% of all dwellings are listed for sale, well below the 1.8% average over the last 20 years. The quarterly flow of new listings is running at around 0.3% of the dwelling stock, also below the long run average, which is closer to 0.4%, and tracking lower.
- Both metrics are at or near historical lows. The takeout is that sellers have also vacated the market. With physical supply still tight – best captured by continued low rental vacancy rates – and the mix of new dwelling construction and population growth unlikely to see this shift much the most likely way this standoff unfolds is with demand coming back into the market first rather than sellers. That's unlikely to occur while interest rate rises are in play, suggesting stabilisation is a 2027 story. Aside from interest rates and buyer sentiment, the key question is what price-level will start to draw more buyers in.
- The housing downturn will have consequences for the wider economy as well. The main impacts come via a drop in turnover, spillover effects on residential building and the dampening effect of falling household wealth on consumer demand. There are some potential indirect or 'second round' impacts as well via the impact on government revenues (especially state governments, see [here](#)) and income growth more broadly.
- As discussed previously, Westpac expects dwelling investment to sustain some positive momentum due to the large pipeline of dwellings already under construction (up 27% over the last two years). There are formidable headwinds coming from interest rates, construction costs, uncertainty and the downturn in established markets but activity coming into this appears to have been bolstered by a range of state and federal government policy initiatives.
- This means the main drag on growth will come from other channels. As Chart 12 shows, we expect the combined effect to shift from a growth 'tailwind' of around 0.7ppts to a drag of 0.6ppts in 2027, a 1.3pt swing. This effect is set to be more material in NSW and Vic with the Sydney and Melbourne housing markets experiencing materially larger corrections (see Table 13).

12. Housing-related contributions to GDP growth



13. Dwelling price forecasts

	avg [^]	2023	2024	2025	2026f	2027f	comments
Sydney	3.7	11.3	2.8	6.5	-10	2	Leading the price correction to date, especially top end of market.
Melbourne	2.4	4.2	-2.0	5.2	-8	5	Weaker starting point and less tight S-D balance. More scope for gains med term.
Brisbane	7.8	13.5	11.4	14.9	2	3	Abrupt slowdown after strong first half. Market still very tight.
Perth	7.3	16.2	18.4	17.6	3	5	Similar story to Brisbane but more extreme in terms of previous run up and tightness.
Adelaide	7.6	8.8	13.6	8.6	3	4	Still looks more resilient than other markets. Tight supply but new build lifting.
Hobart	6.8	-1.8	0.6	7.2	4	3	Relatively unperturbed so far. Coming into latest shocks with recovery forming.
Australia	4.6	10.1	5.1	8.9	-6	3	Rate rises and tax changes impacting more heavily: -7.3% peak to trough.

All dwellings, Australia is five major capital cities combined measure;
[^]10yr avg

Source: Cotality, Westpac Economics

Prudential policy update

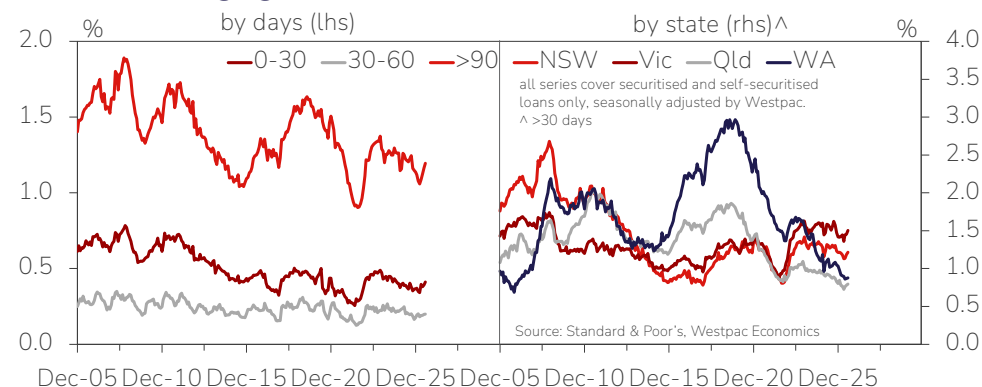
- Macro-prudential policy remains well and truly sidelined with the regulator in observation mode as impacts from the interest rate tightening cycle and housing-related tax policy changes play out.
- As noted previously, there were some prudential actions early in the year with a 20% cap on high debt-to-income (DTI) loans coming into effect in Feb but the move was mostly symbolic, characterised as a 'guard rail' with the cap far from binding for most lenders.
- The statement issued following the Sep meeting of the Council of Financial Regulators ([here](#)) assessed current macroprudential settings as appropriate with the current focus on monitoring financial stability implications arising from lending practices and changes in borrower finances. The focus here looks to be two-fold: 1) on the potential for some loosening in standards as lenders compete in a contracting market; and 2) the potential for borrower stress to play into the wider financial system. To be clear, there is little sign of either to date but regulators will be monitoring things a little more closely. The Council also highlighted global financial stability risks, geopolitical tensions and challenges from rapid technological change that mean local institutions will need to continue strengthening cyber and operational resilience.
- While this arm of policy remains sidelined, our assessments will continue to focus on stress indicators, including mortgage arrears, insolvencies and other aspects of housing market conditions.
- Latest figures on housing credit, to July, show growth starting to tip over, the annual pace having peaked at 7.5%yr, the last six months tracking a 7% annual pace and the last three months 6.6%.
- Not surprisingly, the turnaround is being led by investor activity which saw annual growth peak at over 10%yr but already running at a markedly slower 8.5% annual pace over the last three months.
- We will see a bigger step down in growth as the pull-back in new finance activity shows through more fully in Aug and Sep (noting that credit growth is the change in the total stock of outstanding credit so relates to the level of new finance rather than the change, i.e. a 20% fall in new finance shows through, roughly proportional drop in the growth rate, e.g. from 10% to 8%). Aug credit data will be released on Sep 30.
- Mortgage arrears data is also only available up to July. It shows a modest up-tick, broadly consistent with higher interest rates, the detail suggests this is making it more difficult for loans in arrears to exit (Chart 15).

14. Summary of prudential policy measures

	cash rate	'macro' prudential	'micro' prudential and other
2015	–50bps to 2%	10% limit on investor loan growth	Tightened serviceability guidelines and improved consistency.
2016	–50bps to 1.5%	–	Tightened serviceability guidelines incl. scaling of min. expenses.
2017	–	30% limit on 'interest only' loans	Restrictions on high LVR interest only and investor loans.
2018	–	Investor loan growth limit removed	Improved verification of expenses, income & existing debt.
2019	–75bps to 0.75%	'Interest only' limit removed	Serviceability buffer lifted from 2 to 2.5%, 7% 'floor' removed.
2020	–65bps to 0.1%	Capital buffers available to draw	COVID repayment holidays; arrears excl. from capital treatment.
2021	–	–	COVID measures ended. Serviceability buffer raised from 2.5 to 3%
2022	+300bps to 3.1%	–	–
2023	+125bps to 4.35%	–	Basel III capital framework increased risk-weighting for some loans.
2024	–	–	–
2025	–75bps to 3.6%	–	FHB 5% deposit scheme expanded, student loan treatment clarified.
2026	+75bps to 4.35%	20% limit on loans with DTI>6	Negative gearing and CGT changes for investor housing, AML/CTF obligations widened to real estate and others from July 1.

Source: APRA, RBA, Westpac Economics

15. Mortgage arrears

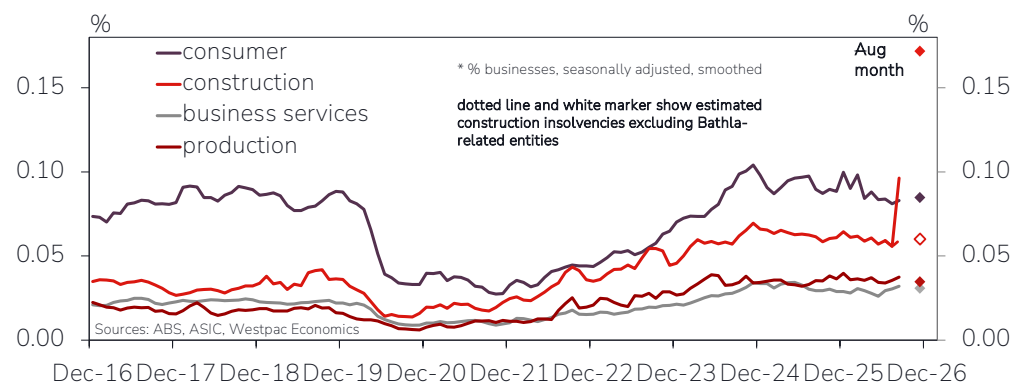


- The state breakdown on mortgage arrears does show a little more stress in Vic. This likely reflects both the weaker state economy – Vic's unemployment rate in particular has shown a more pronounced rise to a relatively high 5.2% – and the weaker general performance of the housing market, Melbourne dwelling prices largely unchanged over the last five years (see our latest [Coast to Coast](#) report for a more comprehensive update on the performance of Australia's state economies).
- Other indicators of financial stress also look fairly benign. The number of company insolvencies rose sharply in Aug but the bulk of this related to the collapse of homebuilder Bathla, whose operations ran through 540 separate (much smaller) related entities (see [here](#)).
- While the development is still a negative for the sector, particularly from a buyer confidence point of view, it is not indicative of a step up in wider stress issues such as those seen during the large cost shock to fixed-price contracts seen in 2022-24.
- Sectorally, insolvency rates are still elevated compared to the 2016-19 period for construction and across industrial production sectors (agriculture, utilities, manufacturing and mining) but are broadly comparable for consumer and business

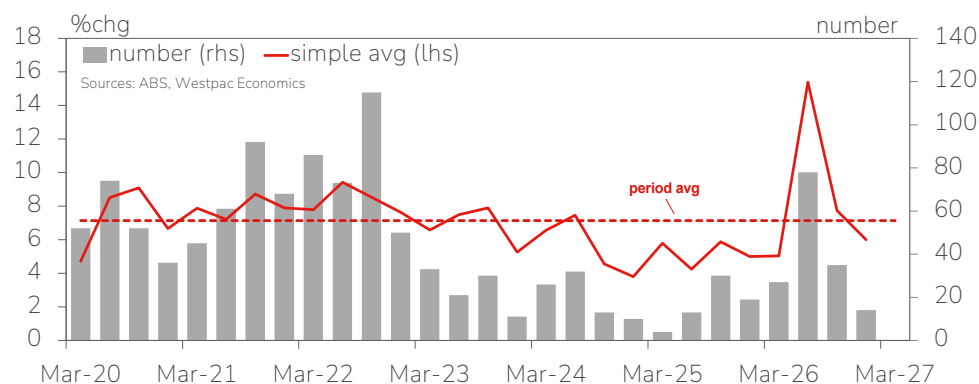
services sectors. This is broadly consistent with persistent price pressures, including the recent rise in oil-related prices, impacting more heavily on the construction and industrial production sectors.

- On cost pressures, one area we were concerned about earlier in the year was the apparent pass-through of higher fuel prices to the cost of building supplies. Chart 17 shows the number and average price change notifications posted to the portal used by national plumbing and building materials supplier Tradelink. The June quarter showed a clear spike in notifications with the average change also jumping to 15.4% compared to the 4-6% range that has prevailed since mid-2024. While it is still early days for the latest run-up in fuel prices to show through, the Sep quarter has so far seen a more subdued pulse for both notifications and average price changes.
- As we warned at the time, this unstructured data should be treated with caution. The June quarter increases centred on large rises for PVC and plumbing products, which was largely confirmed by the official price data, but where there were price increases for items like timber and roofing products these proved to be outliers. Conversely, notifications may not fully capture other pricing changes such as temporary additional fuel levy charges.

16. Company insolvencies: broad sector



17. Australia: Tradelink price notifications



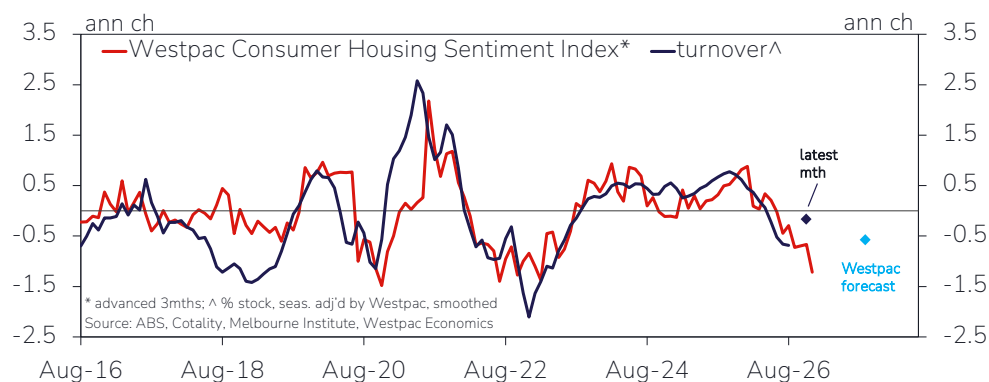
Buyers' market

- The housing correction has deepened in NSW with both prices and turnover now showing declines comparable to those seen in 2022-23 and 2018-19.
- Sydney dwelling prices declined 1.4% in Aug after a downwardly revised 1.8% drop in Jul, taking annual growth into firm negative at -4.6%yr. Sep is tracking another 1.5% decline. Even allowing for seasonality, the few months have been tracking a 16% annualised rate of contraction.
- All segments and tiers recorded falls in Aug but with top and middle tiers still tracking a faster pace of decline, especially houses, which are down 9.5%yr.
- Geographically, this is reflected in particularly eye-catching price declines in Sydney's eastern suburbs and Baulkham Hills but the city's south west has seen a notable weakening in recent months. The central coast remains notably firmer.
- Regional NSW is also looking more resilient although prices are now slipping lower as well. Some pockets, like the Riverina region, have bucked the trend and managed to still post reasonably solid gains.
- The value of new housing finance dropped 11.6%qtr in Q1, investor loans down 14.4%, the biggest pull-back across the major states.
- The sudden stop is evident in turnover as well with rolling 3mth sales now down 19% from last year's peak. That in turn has seen a rapid shift in the balance between on-market supply and demand. After running well ahead for several years, the ratio of sales to new listings is back near its long run avg in Sydney while the total stock of listings is now running at 3.3 months of sales, decisively above the long run avg of 2.8. While this is mostly due to the drop in sales rather than an overhang of supply, Sydney is very much a buyers' market.
- Around physical supply, Sydney's rental vacancy rate remains on the tight side at around 1.7% vs the long-term avg of 2.2%. New dwelling supply remains dormant with any meaningful lift in completions still likely a year off.
- Homebuyer sentiment has weakened over the last few months with a big pull-back in price expectations more than offsetting a slight improvement in assessments of 'time to buy'. Overall, the **NSW Consumer Housing Sentiment Index** suggests there are material downside risks to an already weak outlook for turnover. While rate rises are widely expected by consumers, the NSW market may be particularly sensitive to further RBA moves.

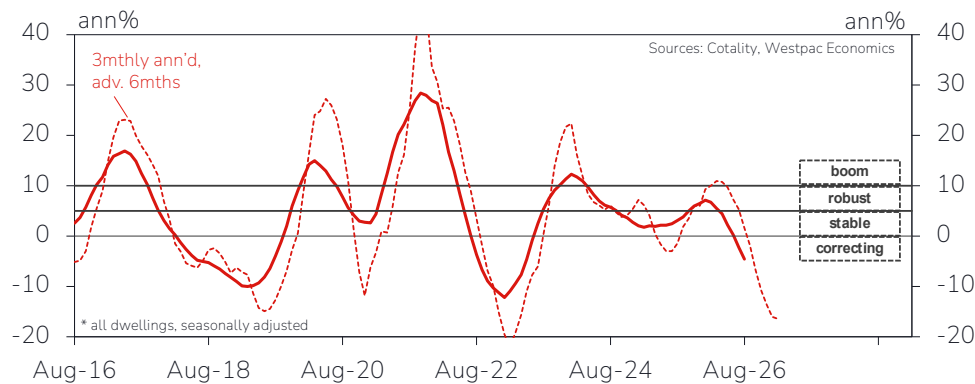
18. NSW consumer: housing-related sentiment



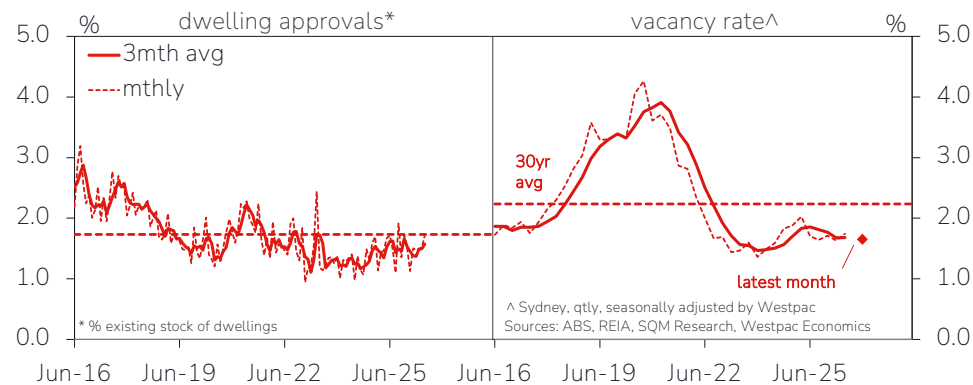
19. NSW housing composite vs turnover



20. Sydney dwelling prices



21. NSW: dwelling approvals, vacancy rate



Population: 8.7mn
Net migration: +74k pa
GSP: \$829bn (31% of Aus)
Dwellings: 3.6mn, \$4.6trn
Capital: Sydney

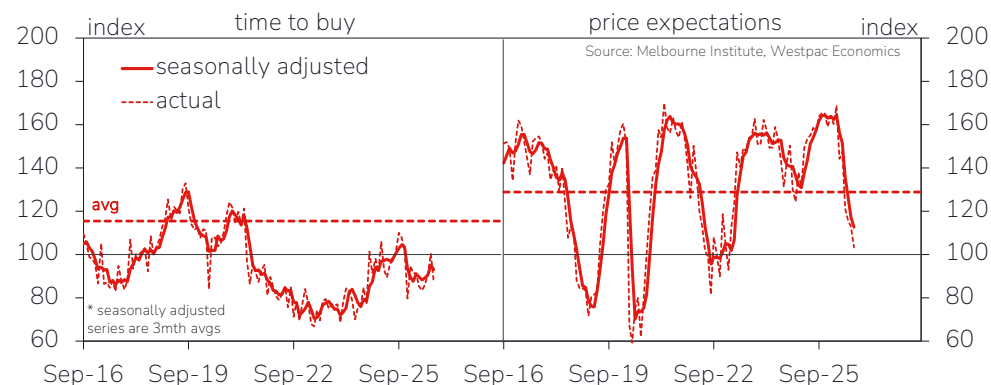
June years	avg*	2023	2024	2025	latest
GSP, ann%	2.0	4.1	1.1	0.9	n.a.
State final demand, ann%	2.6	5.4	1.0	1.2	3.3
Employment, ann%	1.6	3.9	1.2	1.5	2.1
Unemployment rate, %	5.9	3.1	3.9	4.1	4.2
Population, ann%	1.2	2.1	1.6	1.2	1.2
Dwelling prices, ann%	5.1	-0.9	7.0	2.2	-4.6
Rental yield, %	4.7	4.5	4.5	4.6	4.7
Sales/new listings, ratio	1.29	1.39	1.34	1.44	1.30
Total listings, mths sales	2.7	2.5	2.4	2.5	3.3

* avg last 25yrs; # June qtr readings
 Sources: ABS, Cotality, REIA, Westpac Economics

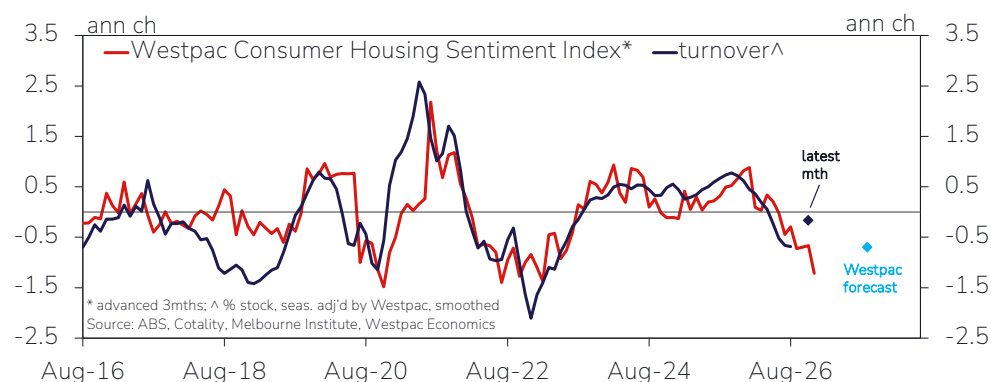
Testing limits

- After being a persistent underperformer over the last two cycles, the Vic housing market is again weakening with price declines running ahead of national avg. That said, turnover, has been steadier than across other markets. While this partly reflects a lower starting point for activity, there have been some signs that prices in Vic, having never risen as much during the most recent upswings, are closer to a point that would draw some buyers back in than they are in other markets.
- State-wide, prices declined a further 3% over the 3mths to Aug having decline 2% over the previous 3mths to May. Melbourne is tracking a further 0.9% fall in Sep, a slightly milder monthly pace of decline than previous months although some of this looks to be seasonal.
- Melbourne dwelling prices are already down over 6%yr. 'Top tier' house prices are also leading the way but relativities are wider across tiers with prices even holding steady for 'low tier' units. Remarkably, prices market-wide have seen no net gain since mid-2021, and have only just kept pace with inflation since 2015.
- Regionally, Melbourne's inner east and inner south are seeing more rapid falls while the west and the expansion areas to the north and north west have seen milder price declines.
- Regional Vic is generally holding better as well although the Mornington Peninsula, which is often considered a part of metro Melbourne is seeing material price declines.
- Notably, turnover in the state has recorded a relatively mild 3% decline on a rolling 3mth basis. However, sales are running at just 4% of the total dwelling stock, below the other major eastern states.
- The value of new housing finance approvals fell 7.4%qtr in Q2, led by a big 12.5% drop in investor loans (the biggest drop across the major states). While Q3 looks set to see another decline, loan enquiries appear to have firmed slightly over the last month.
- On-market supply is again looking tricky. New listings have pulled back 11% since May but the drop in turnover has still seen total stock on market continue to creep higher. At 3.6 months of sales it is a tick above the long run avg.
- Rental conditions remain more balanced with Melbourne's vacancy rates still hovering around 2.5%, close to long run avg levels rather than tight.
- Despite the firmer signal from loan enquiries, the **Vic Consumer Housing Sentiment Index** suggest demand is likely to weaken further near term.

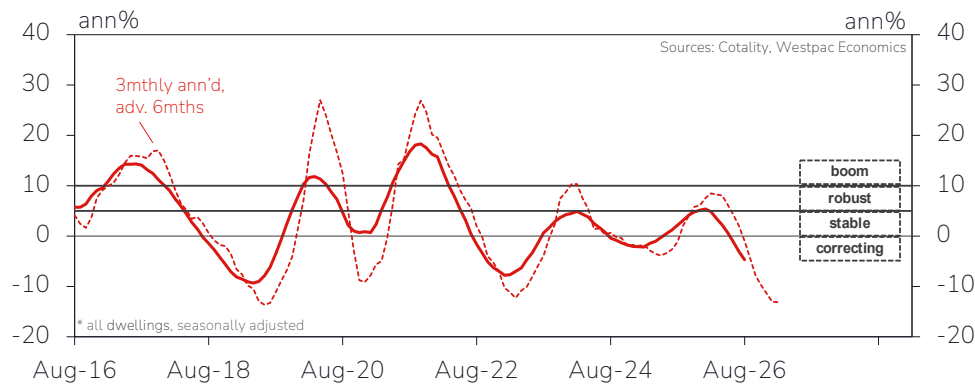
22. Vic consumer: housing-related sentiment



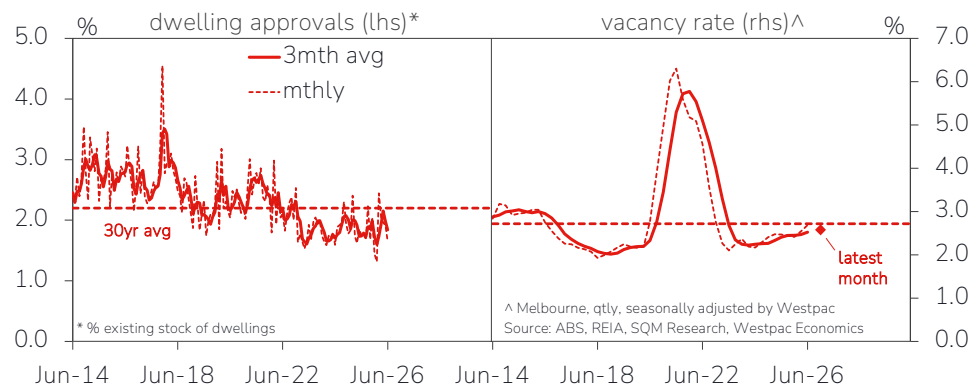
23. Vic housing composite vs turnover



24. Melbourne dwelling prices



25. Vic: dwelling approvals, vacancy rate



Population: 7.2mn
Net migration: +86k pa
GSP: \$615bn (23% Aus)
Dwellings: 3.0mn, \$2.8trn
Capital: Melbourne

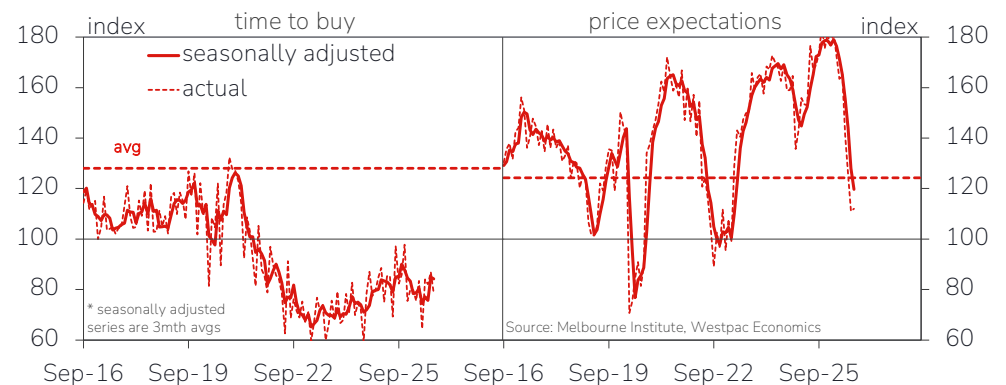
June years	avg*	2023	2024	2025	latest
GSP, ann%	2.6	3.6	1.4	1.1	1.7
State final demand, ann%	3.2	4.6	1.7	1.7	3.0
Employment, ann%	2.2	3.9	2.4	2.1	0.9
Unemployment rate, %	6.4	3.8	4.4	4.4	5.1
Population, ann%	1.6	2.8	2.3	1.6	1.6
Dwelling prices, ann%	4.9	-3.3	1.7	0.4	-4.7
Rental yield, %	4.8	4.8	5.0	5.1	5.3
Sales/new listings, ratio	1.07	1.03	1.03	1.25	1.17
Total listings, mths sales	3.5	3.9	3.4	2.9	3.6

* avg last 25yrs; # June qtr readings
 Sources: ABS, Cotality, REIA, Westpac Economics

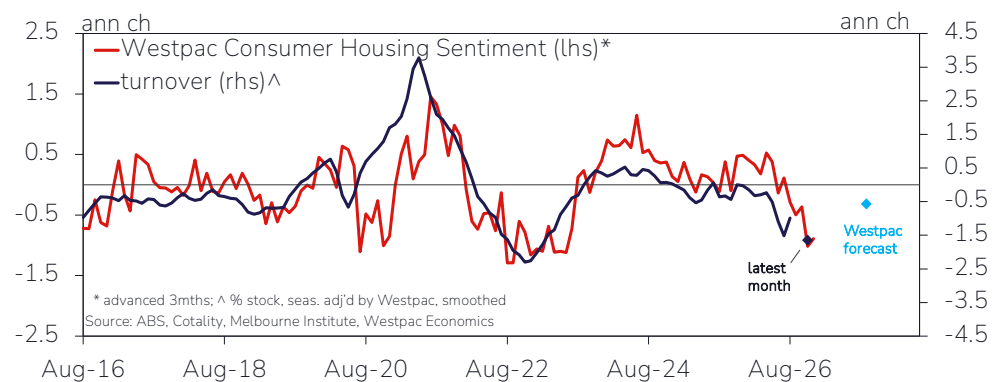
Sudden stop

- Qld housing markets have come off sharply with both prices and turnover breaking lower. The turnaround from what was a hot starting point earlier in the year has been abrupt. While the demand side is moving quickly, supply still looks to be relatively tight.
- Qld dwelling prices dropped 1.5% over the 3mths to Aug, having risen 16%yr over the previous 12mths, Brisbane is tracking a further 1.3% decline in Sep with annual growth set to drop into single-digits for the first time since Aug 2025.
- The detail continues to show relatively uniform declines across tiers and dwelling types.
- The divergences that were being seen between weaker areas like Brisbane's inner city and south, and firmer areas like Moreton Bay and Ipswich, have largely closed.
- Regionally, the Gold and Sunshine Coasts have also slowed abruptly but areas further from Brisbane have generally been more resilient, Darling Downs for example still recording double digit price growth.
- Sales volumes are falling rapidly, down 10%qtr, 17%yr. The value of housing finance approvals dropped 4.7% in Q2 led by an 8.6% fall in investor loans, owner occupier loans steadier, only off 2%qtr.
- Credit enquiries suggest activity saw a more pronounced weakening than other states through Q3.
- This is driving a rapid shift in what was still an extremely tight market at the start of the year. Despite an 8% pull back in new listings, total stock on market is up nearly 30% since May. At 3.6 months of sales, it is still below the long run avg of 4.4 months but in stark contrast to the extreme lows of 1.8 months recorded late last year.
- Physical supply remains extremely tight, rental vacancy rates still stuck around 0.9%. Dwelling completions are set to rise this year with the pipeline of dwellings under construction surging 25% over the year to March. However, this will be slow to rebalance the physical supply situation with the state's population growth still tracking strongly at 1.8%yr.
- The **Qld Consumer Housing Sentiment Index** has fallen into deeper negative suggesting turnover will remain weak near term. With supply tight, this will be an interesting market to watch for gauging the tug of war between demand and still relatively tight supply.

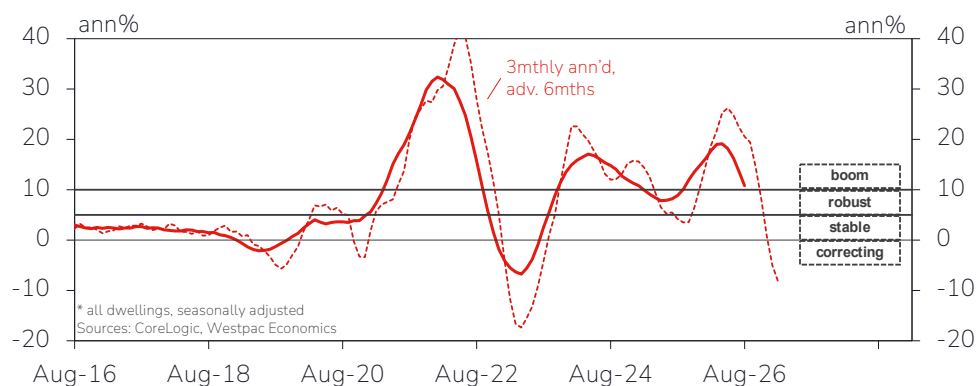
26. Qld consumers: housing-related sentiment



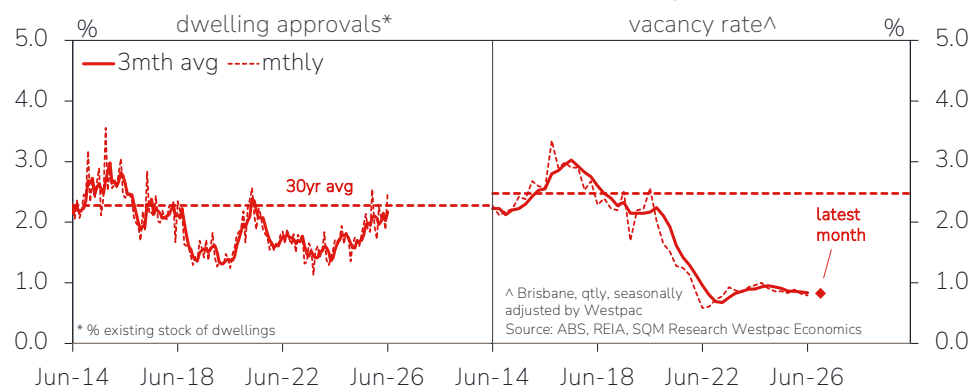
27. Qld housing composite vs turnover



28. Brisbane dwelling prices



29. Qld: dwelling approvals, vacancy rate



Population: 5.8mn
Net migration: +79k pa
GSP: \$524bn (19% Aus)
Dwellings: 2.3mn, \$2.6trn
Capital: Brisbane



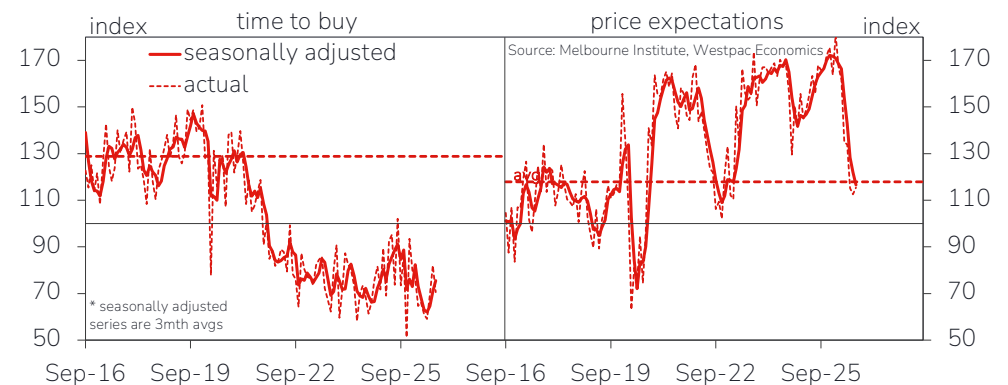
June years	avg*	2023	2024	2025	latest
GSP, ann%	3.3	2.9	1.7	2.2	2.5
State final demand, ann%	3.6	3.7	3.3	2.5	3.3
Employment, ann%	2.4	2.8	3.7	2.4	1.7
Unemployment rate, %	6.6	3.8	4.0	4.0	4.3
Population, ann%	1.9	2.6	2.2	1.8	1.8
Dwelling prices, ann%	6.7	-3.8	16.1	7.9	10.8
Rental yield, %	5.1	5.8	5.3	4.8	4.2
Sales/new listings, ratio	1.04	1.45	1.31	1.40	1.01
Total listings, mths sales	4.4	2.6	2.2	2.3	3.8

* avg last 25yrs; # June qtr readings
 Sources: ABS, Cotality, REIA, Westpac Economics

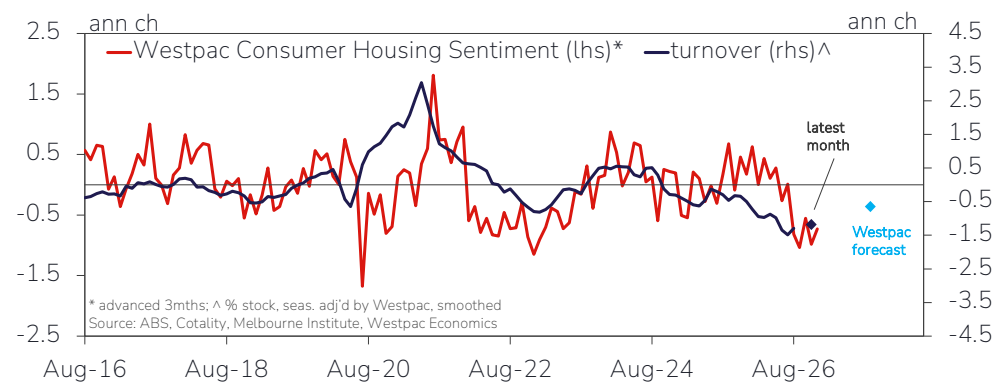
Abrupt weakening

- Similar to Qld, the WA housing market has also had an abrupt turnaround since our last report. And while conditions have held up a bit better than the larger states, WA has led the downturn among the smaller states over the past 3mths.
- Dwelling prices have fallen –2.8% over the past 3mth in WA – the weakest 3mth period since the GFC. However, this recent weakness has done little to dent annual price growth which is still running at a nation high of 15.8%yr.
- Perth has now posted four consecutive monthly price declines. Although the pace of decline eased in Aug, the daily data suggest downward momentum has re-accelerated in Sep, pointing to a fall of around 1.2%moth. Regional WA is holding up a bit better with prices down only –0.2% in the 3mths to Aug (compared to –3.2% for Perth). The Mandurah and Bunbury regions have seen a more pronounced slowing recently, with the Wheat Belt holding up a bit better.
- Sales volume have fallen notably in WA, down –6.9%qtr (3mths to Jul) and –24.7%yr – the weakest since the post mining boom. Somewhat surprisingly, regional WA has seen a more pronounced decline in turnover at –10.6%qtr vs –5.8%qtr.
- Over the same period, new listings rose 7.0%qtr in WA. However, Aug and Sep show a notable drop-off in new listings with the last 3mth read at just 0.1% with Perth seeing a stronger easing.
- Overall, sales are running ahead of new listings with the ratio declining to 0.9 to below its long-run average. However, it appears homes are struggling to clear, with total listings up over 20% in the three months to August. Even with this, total listings are still only just 3.6 months of sales, well-below the historical avg of 5.3.
- Rental market conditions continue to point to a severe physical housing shortage, with Perth's vacancy rate declining further since our last report to around 0.4%. Rental inflation remains the strongest in the nation at around 9%yr, although growth appears to have topped out. The pipeline for new homes remains solid, particularly for low-mid rise approvals which have been tracking a strong uptrend since late last year. This should help to reduce some rental supply pressures gradually.
- Homebuyer sentiment remains deeply depressed, but the decline appears to have run its course, with the **WA Consumer Housing Sentiment Index** moving broadly sideways since our last report. This suggests that turnover may have found a floor, but the overall level of activity may remain soft for some time.

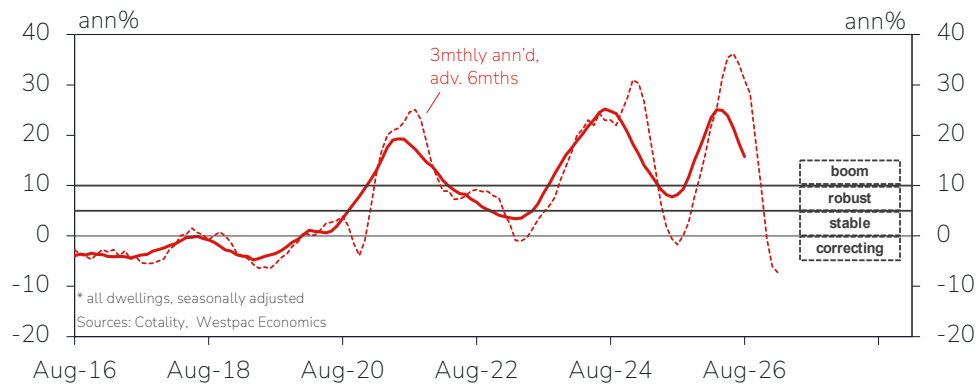
30. WA consumers: housing-related sentiment



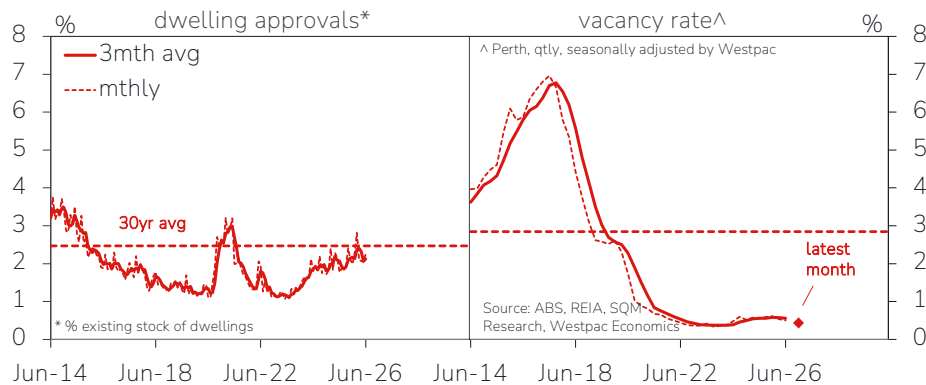
31. WA housing composite vs turnover



32. Perth dwelling prices



33. WA: dwelling approvals, vacancy rate



Population: 3.1mn
Net migration: +56k pa
GSP: \$462bn (17% Aus)
Dwellings: 1.2mn, \$1.4trn
Capital: Perth



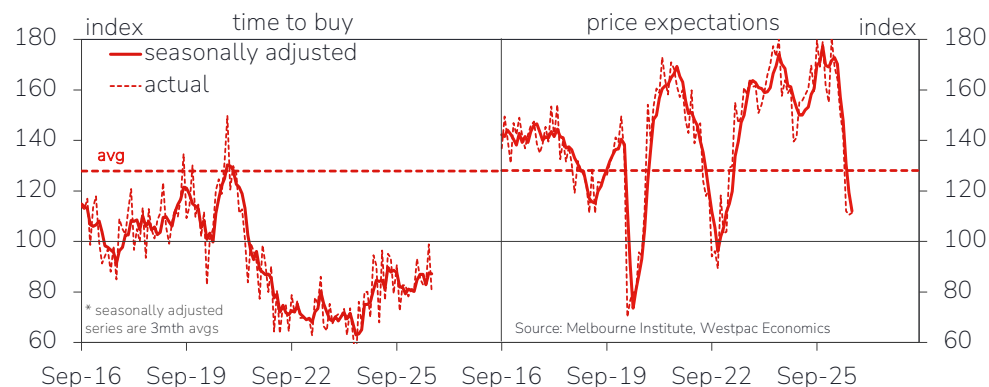
June years	avg*	2023	2024	2025	latest
GSP, ann%	3.7	4.0	1.2	1.3	2.4
State final demand, ann%	3.8	4.2	5.7	3.0	3.5
Employment, ann%	2.4	2.8	4.0	2.7	2.0
Unemployment rate, %	5.6	3.6	3.7	4.0	4.4
Population, ann%	1.9	3.5	3.0	2.2	2.2
Dwelling prices, ann%#	6.7	4.9	24.6	8.2	15.8
Rental yield, %	4.8	6.6	6.1	5.8	5.0
Sales/new listings, ratio#	0.94	1.24	1.18	1.28	0.91
Total listings, mths sales#	5.3	3.1	2.2	2.3	3.6

* avg last 25yrs; # June qtr readings
 Sources: ABS, Cotality, REIA, Westpac Economics

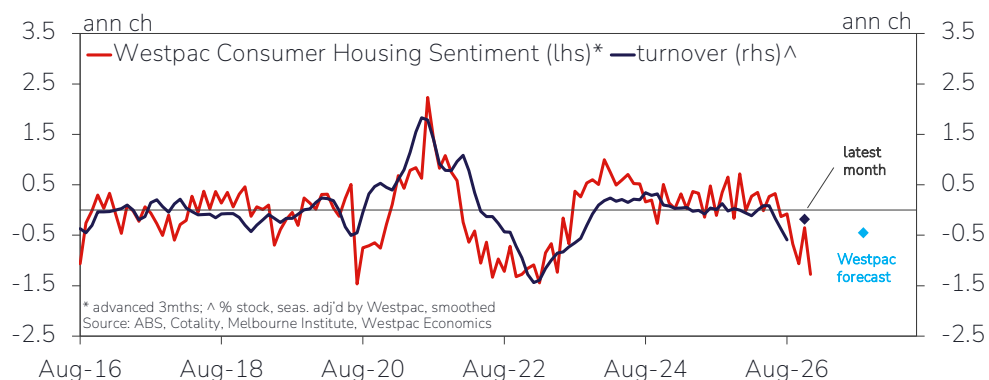
Goldilocks?

- The SA housing market has been occupying something of a middle ground over the last year with almost a goldilocks mix of 'not too hot/not too cold' price growth and turnover, while a lift in new construction has started to make inroads on a very tight supply-demand balance.
- That may be starting to shift though with signs that the shock from higher interest rates and tax policy changes stared to land more heavily through Aug-Sep. Notably, SA had a relatively high share of investor activity coming into this, accounting for 36% of finance loans last year compared to closer to 30% nationally.
- Adelaide dwelling prices declined 0.8% in Aug, annual growth moderating to 8.6%yr. The city's price correction only began in May and remains noticeably milder. That said, declines accelerated through Jun-Jul and are becoming more widespread with all sub-markets now seeing some slippage.
- Sep is tracking a more material 1.4% decline which would lower annual growth into the 6-6.5% range.
- The moderation has been across all types and segments although price growth is still slower up through price tiers. It iss a similar story within the city with the previous wedge between the outperforming northern suburbs closing up.
- Turnover had been more resilient than in other states but recorded a sharp pull-back over the 3mths to Aug, declining 11.3%qtr. At 3.7%, turnover as a proportion of the dwelling stock is now well below the long run avg of 4.6%.
- The value of new finance approvals held about steady in Q2 despite an 8.1% drop in investor loans. That looks to have given way to a more material, likely broader weakening in Q3.
- The shift has caught sellers on the hop with new listings still rising 2.3% over the 3mths to Aug to be 11%yr. The mix has seen total listings jump over 20%qtr to be up 30%yr. In level terms, both are still low relative to sales (total listings are running at 2.4 months of sales, up sharply from 1.5 earlier in the year but still well below the long run avg of 3.6).
- Physical supply shortages are also becoming a little less intense with rental vacancy rates drifting up and dwelling approvals well above avg since mid-2024.
- The **SA Consumer Housing Sentiment Index** points to a further decline in turnover near term. Notably though, assessments of 'time to buy' remain less pessimistic compared to both recent history and other states.

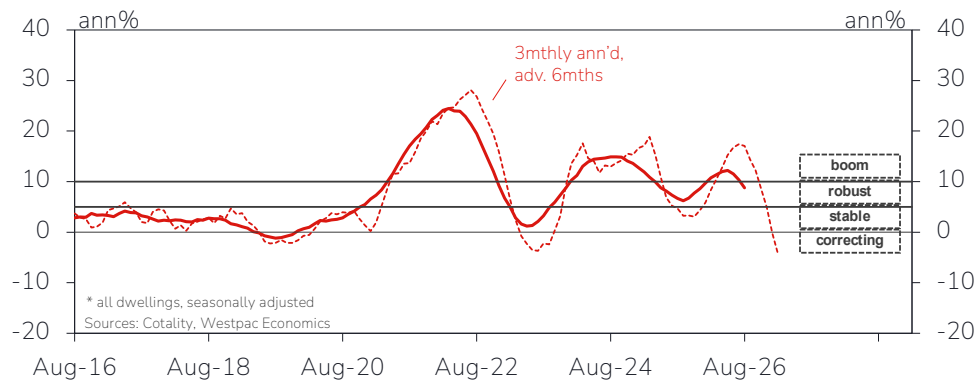
34. SA consumers: housing-related sentiment



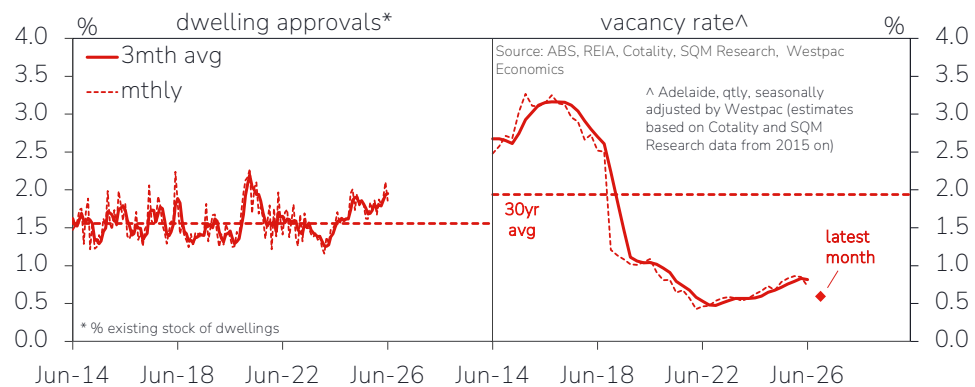
35. SA housing composite vs turnover



36. Adelaide dwelling prices



37. SA: dwelling approvals, vacancy rate



Population: 1.9mn
Net migration: 17k pa
GSP: \$152bn (6% Aus)
Dwellings: 0.8mn, \$0.8trn
Capital: Adelaide



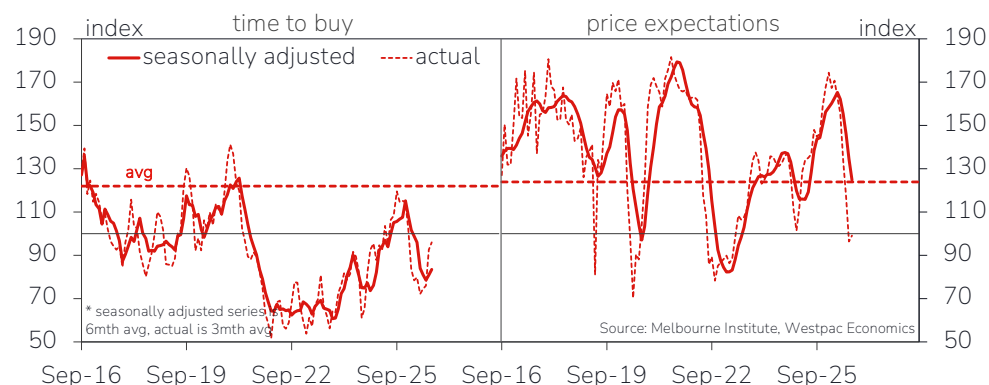
June years	avg*	2023	2024	2025	latest
GSP, ann%	2.2	3.8	1.3	1.0	2.8
State final demand, ann%	2.8	3.3	2.0	3.0	3.7
Employment, ann%	1.5	4.4	-0.7	3.4	1.0
Unemployment rate, %	6.9	4.1	4.0	4.2	4.4
Population, ann%	0.9	1.8	1.3	1.0	1.0
Dwelling prices, ann%	6.5	1.3	14.6	8.2	8.8
Rental yield, %	5.3	5.3	4.5	4.3	3.9
Sales/new listings, ratio	1.12	1.49	1.41	1.49	1.19
Total listings, mths sales	3.6	2.1	1.7	1.7	2.4

* avg last 25yrs; # June qtr readings
 Sources: ABS, Cotality, REIA, Westpac Economics

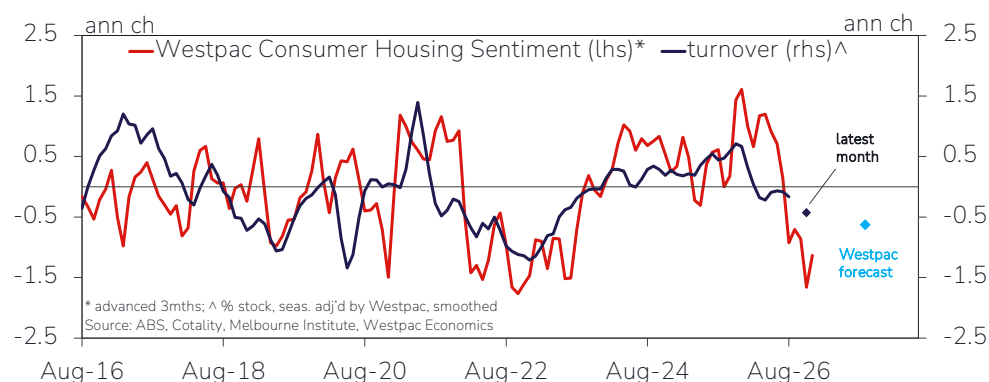
Housing sentiment lifts slightly

- The slowdown in the Tas housing market has been milder than the mainland states. Tas has generally lagged other states during previous housing cycles and the same looks to be holding in the currently.
- Dwelling prices have fallen a shallow –0.2% over each of the past 2mths to still be 0.3% higher in the 3mths to Aug. Annual growth also appears healthy at 10.5%yr.
- The weakness has been centred in Hobart, down –0.2% and –0.4% over the past two month respectively. The daily data suggests this decline has tapered off in September, signalling a flat read for the month. The downturn has been centred on houses with prices down –0.5% over the past 3mths, compared to a solid 1% rise for units.
- Within Hobart, most of the weakness looks to be focused on the inner region where prices are down –3.5% on a six-month annualised basis. By comparison, the North East and South & West regions are still seeing gains between 5-7%. Regional Tas markets are also holding up, with Launceston and the West & North West regions seeing gains of closer to 9%.
- Robust demand is providing upside support, with turnover up 8.4%qtr in July. This was driven by a 12%qtr rise in regional Tas and 3.5%qtr rise in Hobart.
- Similar support is coming from the supply side. New listings have fallen by almost 7% over the period, although the pace of decline has moderated materially once the August and September data are incorporated, leaving listings down a more modest 2.4%qtr. Total listings have also declined, with the sharpest falls occurring in Hobart.
- On balance, the sales-to-new-listings ratio is running at 1.59, with total listings at 2.2 months of sales. Both measures are running tighter than historical averages, with Tas being the only market where conditions have tightened since our last update.
- Hobart's rental vacancy has been holding relatively stable in 2026. At around 2%, it is holding well-below the long-run average of 2.8%. Rent growth is running second strongest nationally, at 8.6%yr. Unlike WA, growth does not look to have topped out just yet.
- After declining sharply since January, the **Tas Westpac Consumer Housing Sentiment Index** has rebounded moderately over the past three months. The rise has been led by an improvement in time to buy assessments, while price expectations have continued to soften. Overall, the stabilisation in sentiment suggests the downside risks to turnover may be abating.

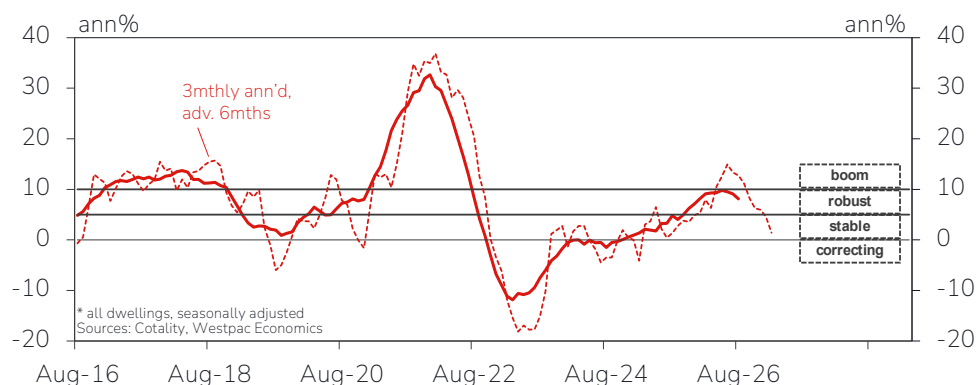
38. Tas consumers: housing-related sentiment



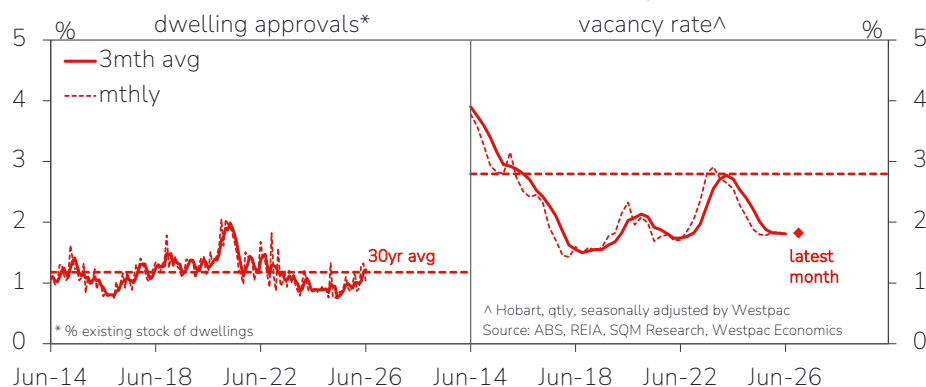
39. Tas housing composite vs turnover



40. Hobart dwelling prices



41. Tas: dwelling approvals, vacancy rate



Population: 0.6mn
Net migration: 2k pa
GSP: \$43bn (2% Aus)
Dwellings: 0.3mn, \$198bn
Capital: Hobart

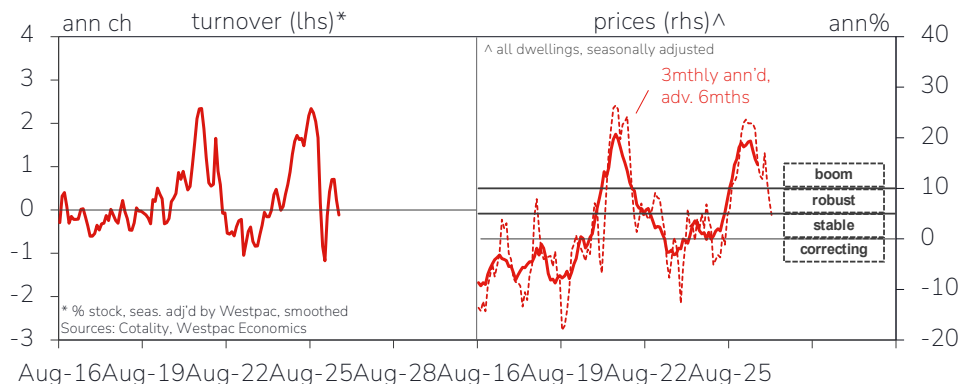


June years	avg*	2023	2024	2025	latest
GSP, ann%	2.4	2.2	1.2	1.0	2.5
State final demand, ann%	2.9	3.0	0.6	3.8	-0.2
Employment, ann%	1.4	2.5	-1.5	0.4	-1.3
Unemployment rate, %	7.5	4.0	4.0	3.8	5.0
Population, ann%	0.8	0.3	0.2	0.5	0.5
Dwelling prices, ann%	6.6	-10.5	-0.6	3.2	8.1
Rental yield, %	5.8	4.3	4.3	4.6	4.6
Sales/new listings, ratio	1.09	1.08	1.13	1.48	1.59
Total listings, mths sales	4.7	4.3	4.0	2.8	2.2

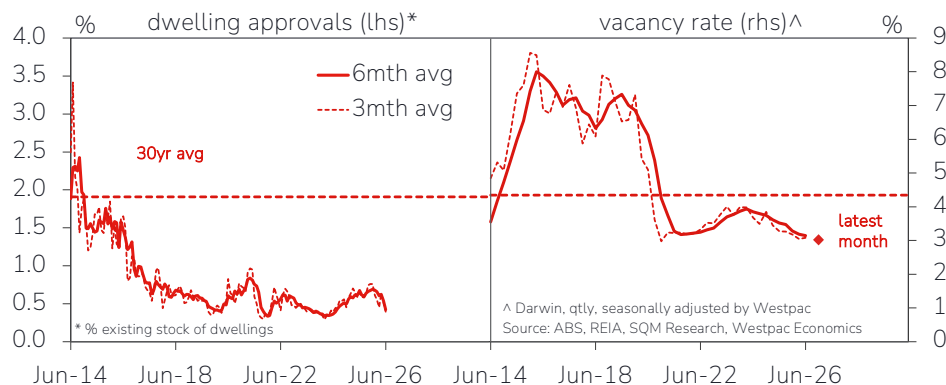
* avg last 25yrs; # June qtr readings
 Sources: ABS, Cotality, REIA, Westpac Economics

NT slows; ACT contracts

42. Turnover, Darwin dwelling prices



43. NT: dwelling approvals, vacancy rate



Population: 0.3mn
 Net migration: 3k pa
 GSP: \$34bn (1% Aus)
 Dwellings: 0.1mn, \$56bn
 Capital: Darwin

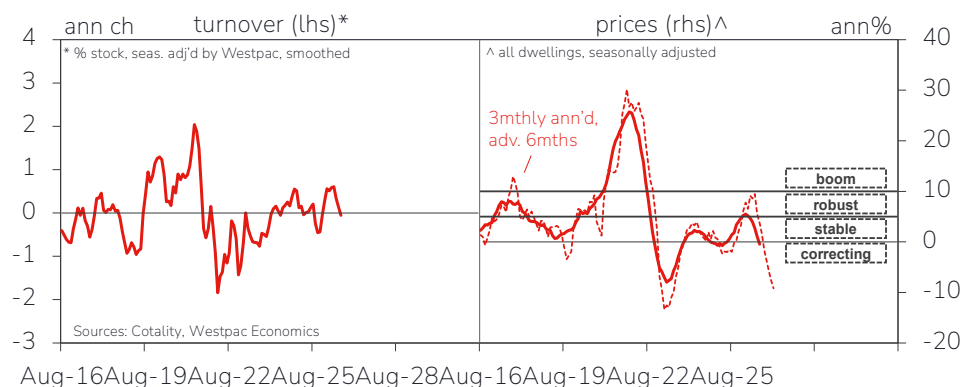


June years	avg*	2023	2024	2025	latest
GSP, ann%	2.9	-4.4	0.8	1.0	n.a.
State final demand, ann%	2.8	2.3	4.9	2.6	-1.9
Employment, ann%	1.5	2.6	-0.9	0.6	0.5
Unemployment rate, %#	6.7	4.2	4.1	3.9	4.9
Population, ann%	1.2	1.7	1.3	2.0	1.7
Dwelling prices, ann%	4.7	-2.6	2.7	5.2	14.7
Sales/new listings, ratio#	1.29	1.36	1.31	2.63	2.31
Total listings, mths sales#	5.1	5.0	3.6	1.5	1.4

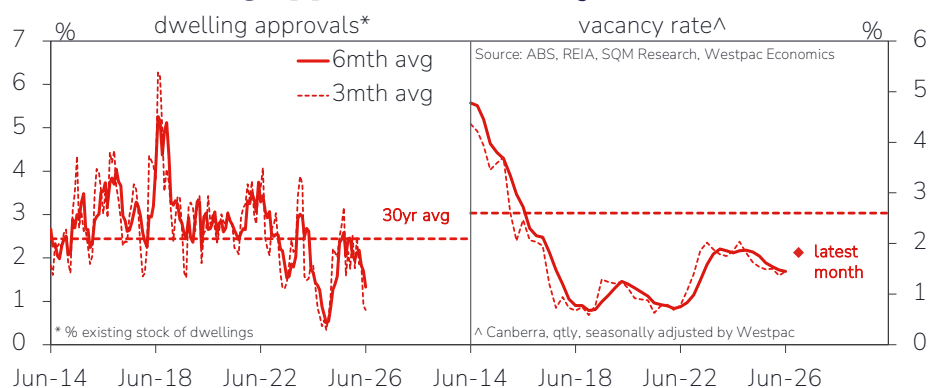
* avg last 25yrs; # June qtr readings
 Sources: ABS, Cotality, REIA, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

44. Turnover, Canberra dwelling prices



45. Dwelling approvals, vacancy rate



Population: 0.5mn
Net migration: 4k pa
GSP: \$58bn (2% Aus)
Dwellings: 0.2mn, \$203bn
Capital: Canberra



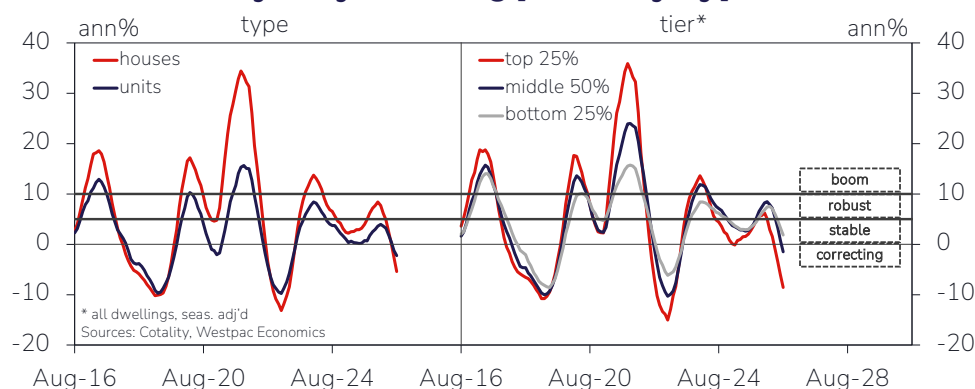
June years	avg*	2023	2024	2025	latest
GSP, ann%	3.8	5.2	3.6	3.5	n.a.
State final demand, ann%	3.7	3.1	2.6	3.7	2.5
Employment, ann%	1.6	3.0	-0.3	0.1	1.6
Unemployment rate, %	6.6	3.9	3.9	3.8	4.7
Population, ann%	1.7	2.2	1.5	1.3	1.4
Dwelling prices, ann%	5.1	-7.3	2.1	0.0	-0.4
Sales/new listings, ratio	1.44	1.30	1.37	1.57	1.60
Total listings, mths sales	2.5	2.6	2.5	2.6	2.6

* avg last 25yrs;

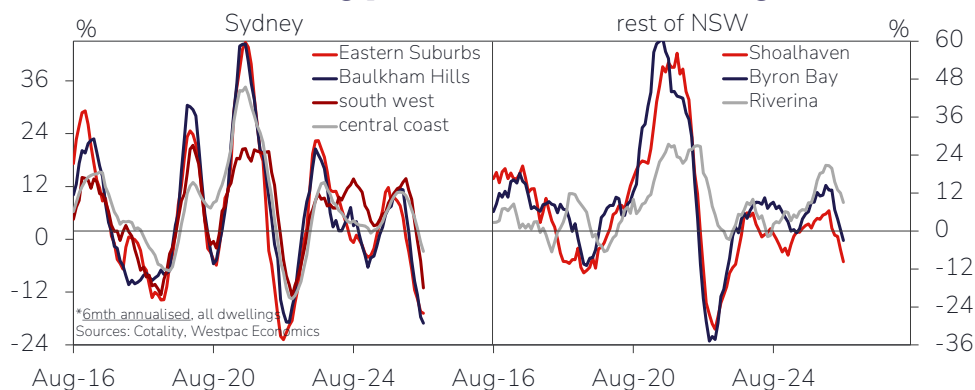
June qtr readings

Sources: ABS, Cotality, REIA, Westpac Economics

46. NSW: Sydney dwelling prices by type, tier



47. NSW dwelling prices, selected sub-region

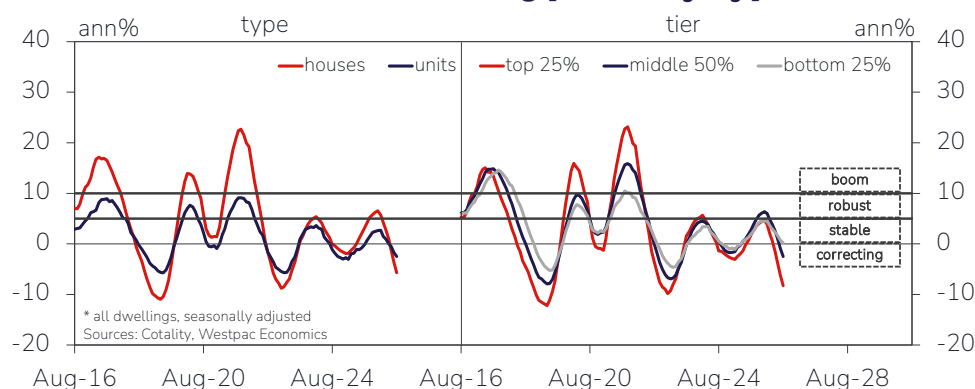


	Sydney	rest of NSW
Population:	5.6mn	3.0mn
Net migration*:	+45k pa	+21k pa
Employ (%state):	68%	32%
Dwellings, no.:	2.1mn	1.4mn
Dwellings, value:	\$3.2trn	\$1.3trn

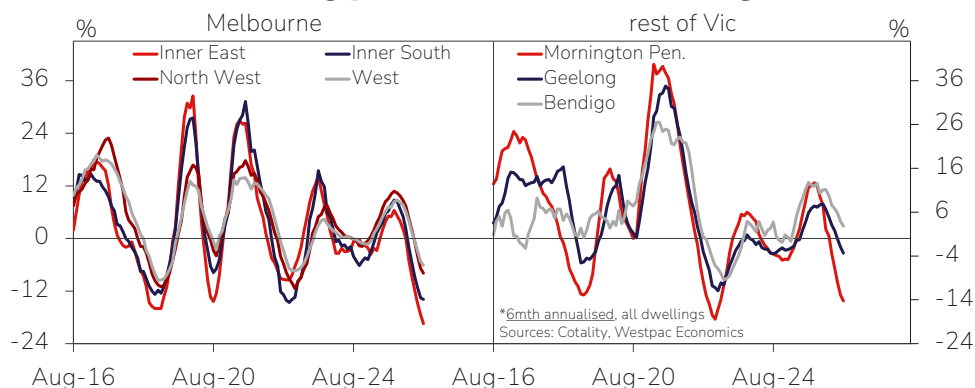
June years	avg [^]	2023	2024	2025	latest
Sydney					
Employment, ann%	1.8	4.3	0.7	2.5	1.7
Unemployment rate, %	5.3	3.5	4.1	4.2	4.2
Houses – prices, ann%	5.5	-0.9	7.8	2.9	-5.4
– sales/new listings, ratio	1.14	1.32	1.25	1.39	1.14
– total listings, mths sales	3.1	2.5	2.5	2.5	3.4
Units – prices, ann%	4.1	-1.0	4.6	0.2	-2.3
– sales/new listings, ratio	1.54	1.51	1.43	1.50	1.40
– total listings, mths sales	2.4	2.6	2.2	2.6	2.8
rest of NSW					
Employment, ann%	1.4	2.9	2.2	-0.4	1.2
Unemployment rate, %	7.1	2.6	3.5	3.8	3.9
Dwelling prices, ann%	5.8	-6.5	4.1	3.9	5.3

* estimates as at Jun 2025 and may not sum to more recent state totals, migration includes flows within states;
[^] avg last 25yrs (last 10yrs for listings).
 Sources: ABS, Cotality, Westpac Economics

48. Vic: Melbourne dwelling prices by type, tier



49. Vic dwelling prices, selected sub-region

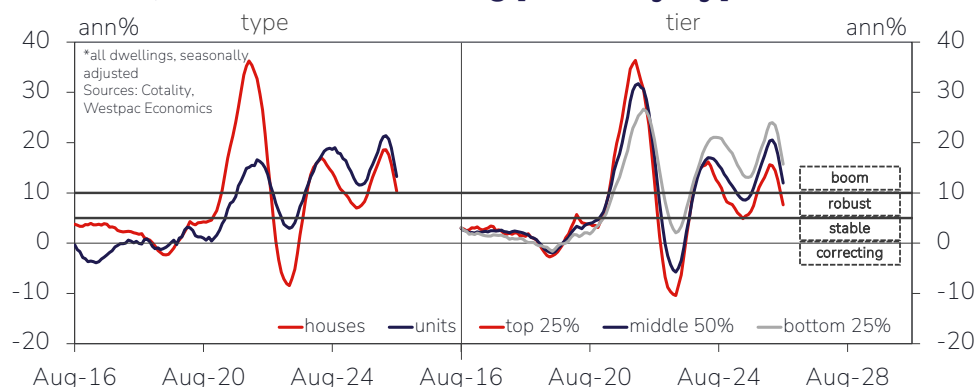


	Melbourne	rest of VIC
Population:	5.4mn	1.6mn
Net migration*:	+73k pa	+14k pa
Employ (%state):	79%	21%
Dwellings, no.:	2.1mn	0.9mn
Dwellings, value:	\$2.1trn	\$0.6trn

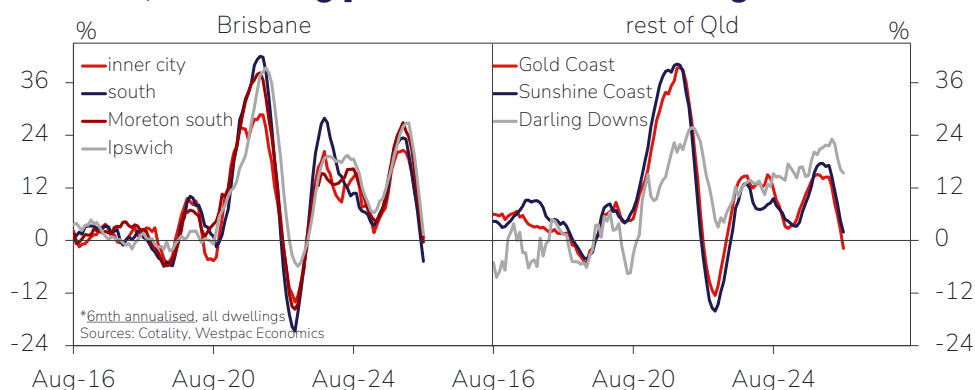
June years	avg [^]	2023	2024	2025	latest
Melbourne					
Employment, ann%	2.3	4.3	2.4	3.2	0.8
Unemployment rate, %	6.2	4.0	4.5	4.6	5.3
Houses – prices, ann%	5.5	-3.6	2.1	1.1	-5.7
– sales/new listings, ratio	1.07	1.05	1.01	1.31	1.11
– total listings, mths sales	3.3	3.6	3.3	2.7	3.5
Units – prices, ann%	3.7	-2.6	0.7	-1.1	-2.5
– sales/new listings, ratio	1.07	0.98	1.01	1.18	1.04
– total listings, mths sales	3.7	4.5	3.5	3.3	3.6
rest of VIC					
Employment, ann%	1.5	2.5	2.3	-2.0	1.4
Unemployment rate, %	6.7	2.7	4.0	3.6	3.7
Dwelling prices, ann%	5.3	-5.8	-0.4	1.7	4.6

* estimates as at Jun 2024 and may not sum to more recent state totals, migration includes flows within states;
[^] avg last 25yrs (last 10yrs for listings).
 Sources: ABS, Cotality, Westpac Economics

50. Qld: Brisbane dwelling prices by type, tier



51. Qld dwelling prices, selected sub-region

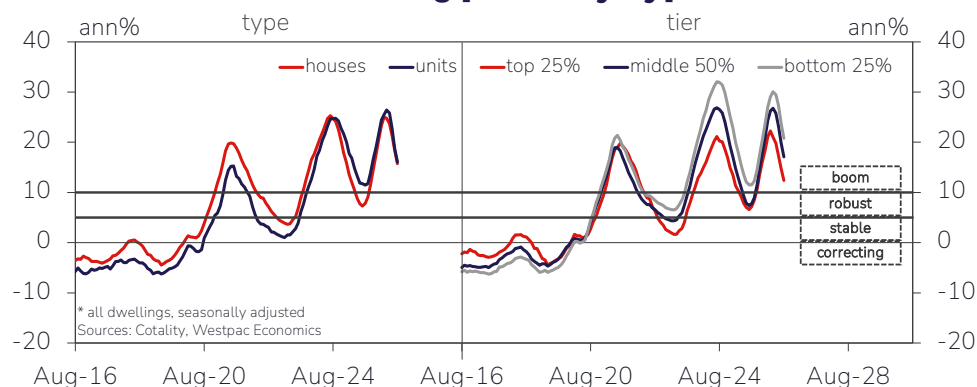


	Brisbane	rest of QLD
Population:	2.8mn	2.8mn
Net migration*:	+45k pa	+32k pa
Employ (%state):	52%	48%
Dwellings, no.:	1.1mn	1.3mn
Dwellings, value:	\$1.3trn	\$1.3trn

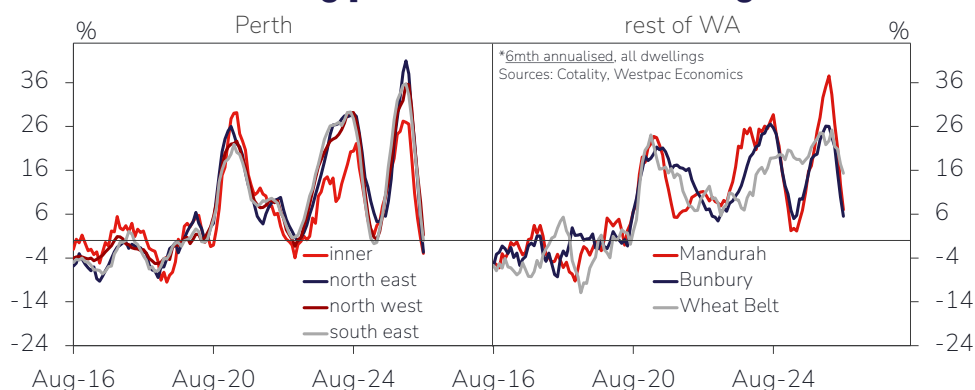
June years	avg [^]	2023	2024	2025	latest
Brisbane					
Employment, ann%	2.8	3.7	4.2	3.6	1.8
Unemployment rate, %	6.2	3.7	4.5	4.0	4.6
Houses – prices, ann%	7.1	-5.2	15.6	7.2	10.3
– sales/new listings, ratio	0.96	1.39	1.25	1.39	0.92
– total listings, mths sales	4.9	2.8	2.4	2.3	3.5
Units – prices, ann%	5.5	4.1	18.7	11.6	13.3
– sales/new listings, ratio	1.43	1.49	1.41	1.38	1.01
– total listings, mths sales	3.6	2.1	1.8	2.0	2.9
rest of Qld					
Employment, ann%	2.1	2.0	3.3	1.2	1.1
Unemployment rate, %	6.9	3.9	3.5	4.1	3.7
Dwelling prices, ann%	6.1	-1.8	12.3	8.7	9.1

* estimates as at Jun 2024 and may not sum to more recent state totals, migration includes flows within states;
[^] avg last 25yrs (last 10yrs for listings).
 Sources: ABS, Cotality, Westpac Economics

52. WA: Perth dwelling prices by type, tier



53. WA dwelling prices, selected sub-region

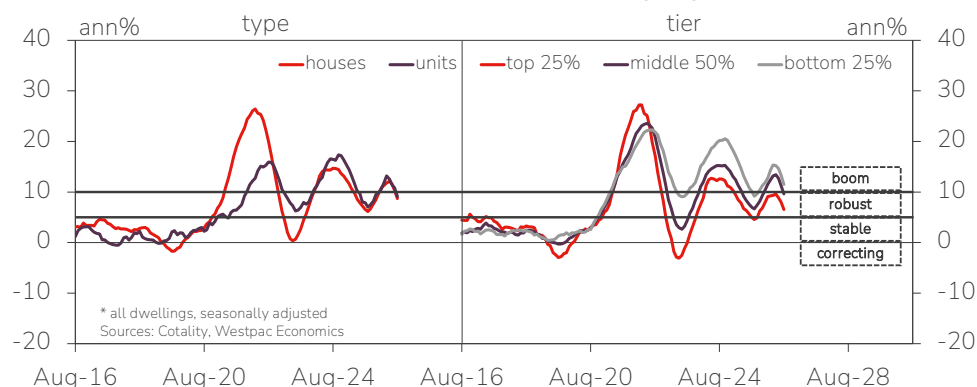


	Perth	rest of WA
Population:	2.5mn	0.6mn
Net migration*:	+46k pa	+6k pa
Employ (%state):	82%	18%
Dwellings, no.:	0.9mn	0.3mn
Dwellings, value:	\$1.2trn	\$0.2trn

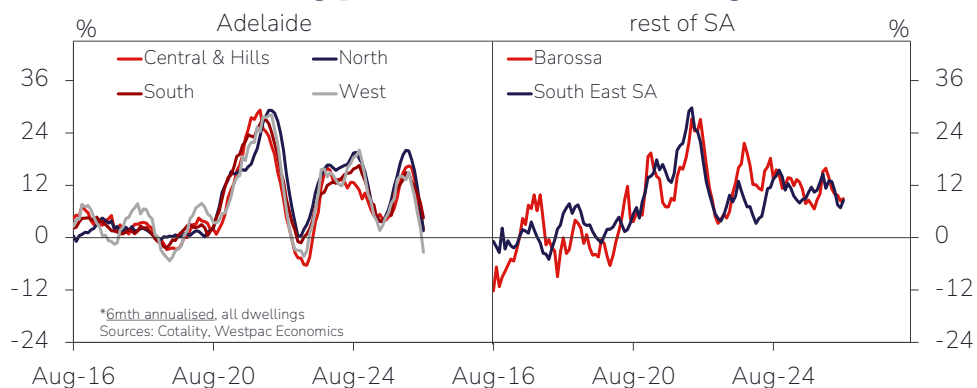
June years	avg [^]	2023	2024	2025	latest
Perth					
Employment, ann%	2.7	3.2	4.6	3.0	1.9
Unemployment rate, %	5.8	3.6	3.9	4.2	4.3
Houses – prices, ann%#	6.9	5.2	24.7	7.8	15.7
– sales/new listings, ratio	0.91	1.20	1.16	1.27	1.02
– total listings, mths sales	5.5	2.9	2.2	2.2	2.7
Units – prices, ann%#	5.6	2.7	23.2	11.9	16.1
– sales/new listings, ratio	1.07	1.33	1.24	1.27	0.69
– total listings, mths sales	4.9	3.2	2.2	2.3	4.0
rest of WA					
Employment, ann%	1.3	1.0	1.2	1.2	-0.5
Unemployment rate, %	5.2	3.5	2.9	3.4	4.5
Dwelling prices, ann%	6.0	6.8	16.7	12.7	16.7

* estimates as at Jun 2024 and may not sum to more recent state totals, migration includes flows within states;
[^] avg last 25yrs (last 10yrs for listings).
 Sources: ABS, Cotality, Westpac Economics

54. SA: Adelaide dwelling prices by type, tier



55. SA dwelling prices, selected sub-region

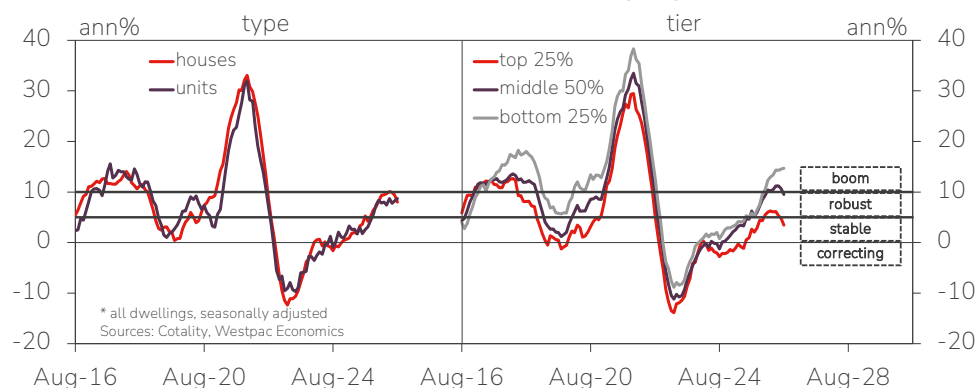


	Adelaide	rest of SA
Population:	1.5mn	0.4mn
Net migration*:	+15k pa	+2k pa
Employ (%state):	80%	20%
Dwellings, no.:	0.6mn	0.2mn
Dwellings, value:	\$0.6trn	\$0.1trn

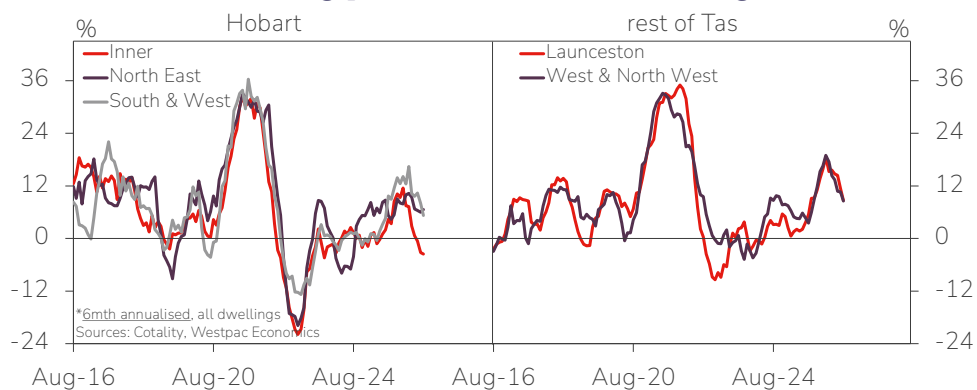
June years	avg [^]	2023	2024	2025	latest
Adelaide					
Employment, ann%	1.8	4.3	-1.0	4.2	1.7
Unemployment rate, %	7.1	4.0	4.0	3.8	4.1
Houses – prices, ann%	6.5	0.6	14.4	7.9	8.7
– sales/new listings, ratio	1.10	1.44	1.38	1.46	1.25
– total listings, mths sales	3.5	2.1	1.8	1.7	2.1
Units – prices, ann%	7.7	6.2	15.8	9.7	9.1
– sales/new listings, ratio	1.19	1.71	1.59	1.72	1.25
– total listings, mths sales	3.9	1.8	1.5	1.5	2.0
rest of SA					
Employment, ann%	0.8	4.9	0.3	0.3	-1.2
Unemployment rate, %	6.3	3.8	3.3	5.4	4.1
Dwelling prices, ann%	7.7	7.5	10.7	11.0	11.4

* estimates as at Jun 2024 and may not sum to more recent state totals, migration includes flows within states;
[^] avg last 25yrs (last 10yrs for listings).
 Sources: ABS, Cotality, Westpac Economics

56. Tas: Hobart dwelling prices by type, tier



57. Tas dwelling prices, selected sub-region



	Hobart	rest of TAS
Population:	255k	321k
Net migration*:	flat pa	+1k pa
Employ (%state):	46%	54%
Dwellings, no.:	108k	165k
Dwellings, value:	\$86bn	\$110bn

June years	avg [^]	2023	2024	2025	latest
Hobart					
Employment, ann%	1.8	3.7	1.1	-1.9	-1.1
Unemployment rate, %	6.9	3.9	4.1	4.0	5.6
Houses – prices, ann%	6.7	-10.6	-0.6	3.3	8.0
– sales/new listings, ratio	1.06	1.05	1.09	1.54	1.34
– total listings, mths sales	4.9	4.6	4.2	2.6	2.2
Units – prices, ann%	6.1	-9.7	-0.3	3.0	8.7
– sales/new listings, ratio	1.19	1.23	1.29	1.32	1.44
– total listings, mths sales	4.1	3.2	3.9	2.9	1.9
rest of Tas					
Employment, ann%	1.1	1.4	-3.7	2.6	-1.0
Unemployment rate, %	8.0	4.1	3.9	3.7	4.8
Dwelling prices, ann%	6.9	-3.3	-0.4	4.2	12.7

* estimates as at Jun 2024 and may not sum to more recent state totals, migration includes flows within states;
[^] avg last 25yrs (last 10yrs for listings).
 Sources: ABS, Cotality, Westpac Economics

Economic and financial forecasts

Interest rate forecasts

	Latest (18 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Australia										
Cash	4.35	4.60	4.60	4.60	4.35	4.10	3.85	3.85	3.85	3.85
90 Day BBSW	4.69	4.70	4.70	4.55	4.30	4.05	3.85	3.95	3.95	3.95
3 Year Bond	4.94	4.65	4.60	4.50	4.40	4.30	4.25	4.20	4.15	4.10
3 Year Swap	4.94	4.65	4.60	4.50	4.40	4.30	4.25	4.20	4.15	4.10
10 Year Bond	5.27	5.20	5.10	5.00	4.90	4.85	4.80	4.80	4.80	4.80
10 Year Spread to US (bps)	33	40	35	30	25	15	5	0	-5	-10
US										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	4.94	4.80	4.75	4.70	4.65	4.70	4.75	4.80	4.85	4.90

Exchange rate forecasts

	Latest (18 Sep)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7133	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5731	0.59	0.61	0.63	0.64	0.65	0.65	0.65	0.65	0.65
USD/JPY	157.06	155	154	153	152	151	150	149	148	146
EUR/USD	1.1488	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3371	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6977	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2446	1.22	1.19	1.16	1.14	1.12	1.12	1.11	1.11	1.11

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Economic and financial forecasts

Australian economic growth forecasts*

	2026				2027			
	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)
GDP %qtr	0.3	0.4	0.5	0.4	0.4	0.4	0.5	0.5
%yr end	2.5	2.1	2.1	1.5	1.7	1.6	1.6	1.7
Unemployment Rate %	4.2	4.4	4.5	4.7	4.7	4.8	4.8	4.7
Wages (WPI) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2
CPI Headline %qtr	1.4	0.6	1.3	0.5	0.7	0.6	0.7	0.4
%yr end	4.1	3.9	3.9	3.7	3.0	3.0	2.5	2.4
CPI Trimmed Mean %qtr	0.8	0.8	0.9	0.7	0.8	0.7	0.6	0.6
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.8	2.7

	Calendar years			
	2025	2026f	2027f	2028f
GDP % qtr	–	–	–	–
%yr end	2.6	1.5	1.7	2.5
Unemployment rate %	4.3	4.7	4.7	4.5
Wages (WPI)	–	–	–	–
annual chg	3.4	3.4	3.2	3.4
CPI Headline	–	–	–	–
annual chg	3.6	3.7	2.4	2.3
Trimmed mean	–	–	–	–
annual chg	3.3	3.3	2.7	2.3

* currently under review

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Consumer sentiment: housing-related measures

index*	2025					2026						
	avg	Jan	Apr	Jul	Oct	Jan	Apr	Jul	Aug	Sep	%mth	%yr
'Time to buy a dwelling'												
Australia	116.1	89.9	85.7	88.5	96.5	89.6	85.8	85.4	95.7	85.5	-10.7	-11.0
– New South Wales	115.8	91.1	87.2	93.2	98.1	96.9	92.6	89.5	98.3	91.6	-6.8	-7.7
– Victoria	115.5	98.0	92.8	97.1	107.8	94.7	85.3	91.0	100.4	87.2	-13.2	-20.8
– Queensland	128.0	79.6	75.2	69.3	85.9	80.1	83.4	82.2	86.9	78.5	-9.6	-4.6
– Western Australia	128.8	81.6	69.0	73.8	86.6	80.0	66.1	69.6	82.0	70.5	-14.0	-4.1
– South Australia	127.9	94.5	96.4	93.5	72.5	78.2	93.1	83.0	98.9	79.6	-19.5	-12.3
– Tasmania	122.0	100.6	93.8	127.7	113.1	75.0	79.0	83.4	99.0	105.6	6.7	-0.1
House price expectations												
Australia	125.6	133.7	153.4	162.8	171.9	167.5	153.5	118.0	110.8	110.3	-0.4	-34.5
– New South Wales	128.4	139.8	157.0	164.8	173.5	169.8	150.7	118.6	112.0	116.3	3.9	-30.6
– Victoria	128.9	124.5	149.4	158.4	165.3	163.8	144.2	115.7	113.0	103.3	-8.6	-37.0
– Queensland	124.3	135.7	153.4	167.0	184.2	176.1	163.4	125.8	111.0	112.1	0.9	-35.5
– Western Australia	117.9	141.5	148.9	155.7	166.1	163.8	161.7	115.1	112.5	115.5	2.6	-30.4
– South Australia	128.1	139.6	155.8	169.7	169.1	155.1	164.3	112.0	110.6	111.3	0.7	-38.0
– Tasmania	128.1	100.9	141.7	145.9	143.6	166.9	160.3	102.7	90.0	100.5	11.7	-30.8

* indexes based on net balance of % assessing 'good time to buy'/'house prices to rise' and % assessing 'bad time to buy'/'house prices to decline'.

Sources: Melbourne Institute, Westpac Economics

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Consumer sentiment: other components

index*	2025					2026						
	avg	Jan	Apr	Jul	Oct	Jan	Apr	Jul	Aug	Sep	%mth	%yr
Unemployment expectations												
Australia	129.2	127.2	123.9	128.7	127.6	129.4	147.8	129.9	135.7	139.4	2.8	6.1
– New South Wales	129.6	128.9	121.7	129.3	129.9	132.1	143.6	126.3	131.0	138.0	5.4	10.1
– Victoria	131.2	124.6	125.1	128.9	125.6	132.4	154.6	133.2	142.9	146.8	2.7	3.0
– Queensland	133.2	134.7	121.8	126.2	134.6	129.5	148.8	131.8	131.4	129.0	–1.8	–2.7
– Western Australia	128.1	109.6	127.6	134.6	116.5	124.5	138.8	128.1	149.0	142.0	–4.7	15.0
– South Australia	135.3	135.8	126.9	124.2	130.8	122.5	152.1	127.2	126.0	143.7	14.1	14.9
– Tasmania	138.3	120.0	116.0	140.9	108.3	113.0	162.2	144.5	151.0	143.4	–5.0	32.2
Risk aversion											qtr ch	ann ch
Australia	17.3	47.6	46.3	47.3	47.1	48.5	51.5	58.6	58.7	58.8	0.1	12.5
– New South Wales	11.7	53.2	55.8	51.0	48.1	45.3	50.8	57.4	60.3	63.2	2.9	12.9
– Victoria	11.0	45.8	43.1	51.4	54.4	56.2	58.4	60.2	57.6	55.1	–2.5	1.7
– Queensland	12.7	42.4	37.4	40.4	44.6	44.5	47.3	57.9	59.7	61.5	1.8	17.3
– Western Australia	7.0	44.5	48.5	42.7	40.7	58.2	53.7	59.6	58.7	57.8	–0.9	27.8
– South Australia	14.4	44.7	39.4	45.8	43.2	47.6	53.2	57.1	54.8	52.5	–2.3	10.9
– Tasmania	15.5	46.9	35.6	29.8	31.5	15.0	32.8	67.4	58.0	48.7	–9.3	10.0

* indexes based on net balance of % assessing 'unemployment to rise' and % assessing 'unemployment to fall';

^ measure based on responses to 'wisest place for savings' question.

Sources: Melbourne Institute, Westpac Economics.

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Dwelling prices and turnover

	2024			2025			2026					
	avg	Jul	Oct	Jan	Apr	Jul	Oct	Jan	Apr	Jul	Aug	Sep
Dwelling prices, ann%*												
Australia	5.7	8.1	6.2	4.3	3.5	3.8	6.6	9.8	9.0	3.3	1.1	-1.4
– Sydney	5.1	6.1	4.1	2.1	2.0	2.4	4.9	7.2	4.5	-2.3	-4.6	-6.9
– Melbourne	4.9	0.8	-1.4	-2.1	-1.1	1.2	4.2	5.4	2.2	-3.1	-4.7	-6.3
– Brisbane	6.7	15.3	12.8	10.9	8.4	8.1	11.9	16.2	19.0	13.6	10.8	7.3
– Perth	6.7	25.1	22.5	16.5	11.1	7.5	11.6	20.6	25.0	18.3	15.6	11.7
– Adelaide	6.5	14.6	14.8	12.8	10.1	7.3	6.7	9.7	12.1	10.3	8.6	6.4
– Hobart	6.6	-0.6	-0.3	0.9	1.9	3.2	5.0	8.2	9.3	9.1	8.1	n.a.
Turnover, %stock^												
Australia	5.5	4.8	4.7	4.7	4.7	5.1	5.0	4.7	4.5	4.2	4.2	n.a.
– New South Wales	5.7	4.8	4.6	4.5	4.6	4.9	5.1	4.8	4.4	4.1	4.1	n.a.
– Victoria	4.6	4.1	4.1	4.2	4.3	4.7	4.9	4.6	4.4	4.1	4.1	n.a.
– Queensland	6.5	5.8	5.6	5.4	5.3	5.9	5.2	5.3	5.1	4.4	4.4	n.a.
– Western Australia	6.2	5.9	5.5	5.4	5.4	5.6	5.2	4.7	4.5	4.2	4.2	n.a.
– South Australia	4.6	4.2	4.3	4.2	4.1	4.2	4.3	4.1	4.1	3.8	3.7	n.a.
– Tasmania	5.5	3.7	3.8	3.9	4.1	4.3	4.4	4.2	3.9	4.2	4.1	n.a.

* 'all dwellings' measures, ann% ch, latest is month to date.

^ % dwelling stock; most recent months are estimates modelled on preliminary data.

Sources: Cotality, ABS, Westpac Economics

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Residential property listings

	2024			2025			2026					
	avg	Jul	Oct	Jan	Apr	Jul	Oct	Jan	Apr	Jul	Aug	Sep
Sales/new listings ratio*												
Australia^	1.16	1.27	1.22	1.30	1.37	1.44	1.39	1.35	1.20	1.15	1.17	1.20
– Sydney	1.29	1.34	1.22	1.34	1.36	1.44	1.38	1.39	1.19	1.22	1.27	1.30
– Melbourne	1.07	1.03	1.08	1.17	1.23	1.27	1.22	1.19	1.05	1.07	1.13	1.17
– Brisbane	1.04	1.32	1.18	1.22	1.27	1.45	1.34	1.34	1.11	0.94	0.96	1.01
– Perth	0.94	1.22	1.08	1.13	1.19	1.31	1.32	1.19	1.03	0.88	0.88	0.91
– Adelaide	1.12	1.45	1.43	1.50	1.49	1.52	1.64	1.51	1.42	1.27	1.21	1.19
– Hobart	1.09	1.12	1.23	1.33	1.45	1.48	1.44	1.45	1.19	1.53	1.59	1.59
Total listings, months of sales*												
Australia^	3.4	2.4	2.6	2.6	2.6	2.2	2.1	2.2	2.6	3.1	3.2	3.2
– Sydney	2.7	2.4	2.7	2.7	2.7	2.4	2.3	2.4	2.9	3.4	3.4	3.3
– Melbourne	3.5	3.4	3.5	3.4	3.2	2.7	2.6	2.8	3.3	3.7	3.7	3.6
– Brisbane	4.4	2.2	2.4	2.5	2.6	2.1	2.0	1.9	2.3	3.4	3.7	3.8
– Perth	5.3	2.1	2.3	2.5	2.6	2.2	2.0	2.0	2.2	3.1	3.4	3.6
– Adelaide	3.6	1.7	1.6	1.7	1.8	1.6	1.5	1.5	1.7	2.0	2.3	2.4
– Hobart	4.7	4.0	3.7	3.6	3.2	2.7	2.4	2.3	2.4	2.2	2.2	2.2

* figures show 3mth avg, readings for most recent months based on sales estimates modelled on preliminary data and latest weekly listings figures.

^ avg since 2007.

Sources: Cotality, Westpac Economics

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About the Westpac Consumer Housing Sentiment Indexes

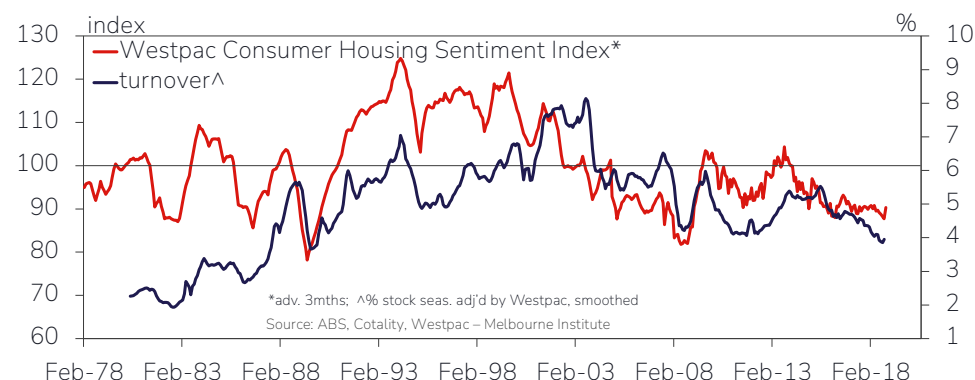
The **Westpac Consumer Housing Sentiment Indexes** presented in this report are composite measures based on a weighted combination of four indexes from the Westpac–Melbourne Institute Consumer Sentiment survey.

Two of these are ‘primary’ components with a higher weight that relate directly to consumer perceptions of housing market conditions: the **Westpac–Melbourne Institute ‘time to buy a dwelling’ index** and the **Westpac–Melbourne Institute House Price Expectations Index**. The remaining ‘supplementary’ components, with lower weights, relate to consumer assessments of job security – the **Westpac–Melbourne Institute Unemployment Expectations Index** – and risk appetite – the **Westpac Risk Aversion Index**.

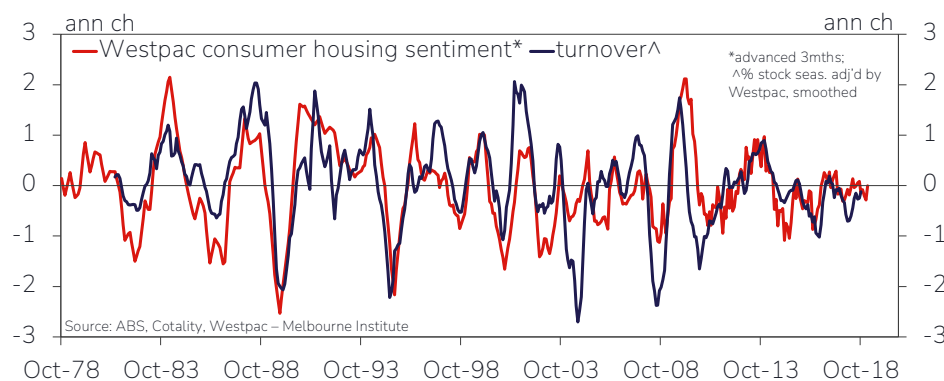
Each of these components is seasonally adjusted, converted to a consistent base and combined using fixed weights determined by historical regression analysis. Note that the house price expectations component is only available from 2009 on – a reweighted composite based on the remaining measures is used for earlier periods.

The resulting composite measures provide significant insight into housing market conditions both nationally and at the individual state level. The national index has over 40yrs of history and a clear lead indicator relationship with a variety of housing market metrics. The index is particularly good at picking turning points in housing market turnover – correctly anticipating every major upswing and downturn since 1980 with a lead of around three months (four once the timeliness of sentiment updates is included).

58. Westpac Consumer Housing Sentiment Index: full series



59. Westpac Consumer Housing Sentiment Index: cycles





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September

PNG ECONOMIC UPDATE

Monthly update on the PNG economy



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Monetary policy stance unchanged

Adding onto this already quite eventful month, the Monetary Policy Committee (MPC) of the Bank of Papua New Guinea (BPNG) met for the third time this year on 7 September and, as widely expected, left monetary policy settings unchanged.

The Committee maintained the Kina Facility Rate (KFR) at 5.0%, the Cash Reserve Requirement (CRR) at 9.0%, and decided to continue with the current pace of adjustment under its crawl-like exchange rate arrangement.

In the [Monetary Policy Statement](#), the MPC assessed that the current policy stance remains appropriate given the mixed domestic growth outlook and the nature of current inflationary pressures. As of 16 September 2026, Kina is valued at 0.2250 USD.

Economic activity has remained resilient, with the Bank revising its 2026 growth forecast upward to 3.5% from 3.0% previously. Westpac projects growth at 4.6% for 2026. Growth continues to be underpinned by stronger activity in the mineral sector, construction and services, while the non-mineral economy is expanding at a more moderate pace. High commodity prices

continue to support export earnings and foreign exchange inflows.

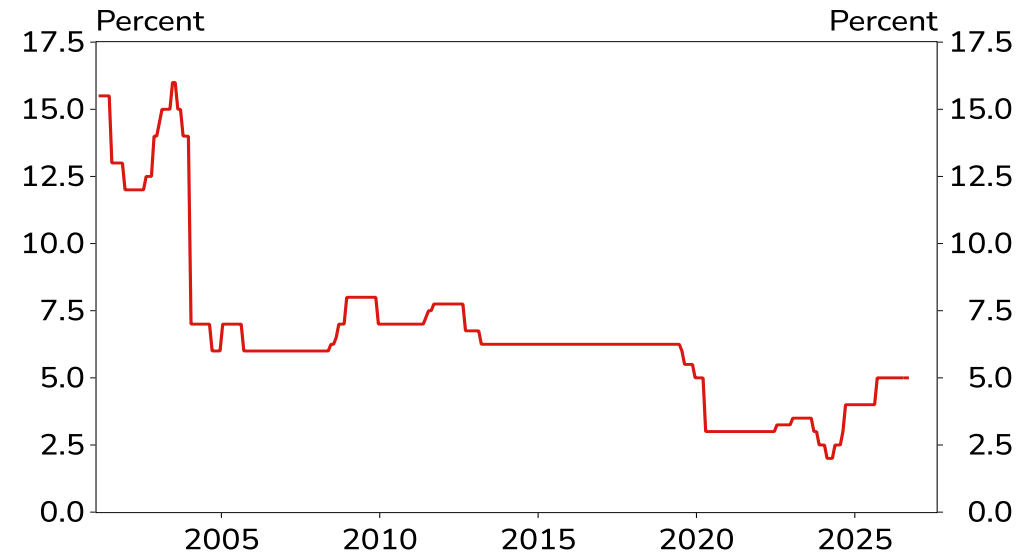
The Committee acknowledged that inflation pressures have increased, with headline inflation rising to 5.3% in the June quarter from 2.2% in March, prompting BPNG to lift its 2026 inflation forecast to 5.0% from 4.0%.

However, core inflation remained significantly lower, suggesting that recent price pressures are largely supply-driven, reflecting higher fuel and food prices, El Niño-related disruptions, exchange rate pass-through and rising production costs. The last two are important for if they persist, they can lead to an acceleration in core inflation.

Importantly, the MPC noted continued improvements in foreign exchange market conditions, including a reduction in FX backlogs and adequate international reserve levels.

The Committee reiterated that the exchange rate remains the principal anchor for inflation and judged that further policy tightening was not warranted, although it remains alert to signs of more persistent underlying inflation.

Kina Facility Rate



Source: Bank of Papua New Guinea, Macrobond, Westpac Economics

“The Committee decided to maintain the Kina Facility Rate at 5.0%...”

Supplementary Budget

PNG Government announced a supplementary budget for fiscal year 2026, allocating an additional K1.3bn revenue above forecast. There was also a lift in total projected expenditure to K32.2bn in 2026. Based on the original 2026 Budget, the Supplementary Budget is less a change in fiscal strategy and more a reprioritization of spending to address emerging shocks, while preserving the Government's budget repair path. Fiscal deficit has remained the same at K1.6bn, or 1.0% of GDP, slightly lower than the 1.1% deficit in the original estimates due to a higher projected GDP of K160bn. The theme of the original budget remains "Security with Growth", while the mini-budget's theme emerges as ["Supporting Families from Global Shocks"](#).

The centrepiece is a fuel assistance package valued at around K1.2bn, comprised of direct fuel subsidies and foregone GST revenue aimed at maintaining domestic fuel prices at March 2026 levels. The Government will amend GST legislation to exempt fuel products, providing immediate cost-of-living relief to households and businesses. Combined with existing support measures, total

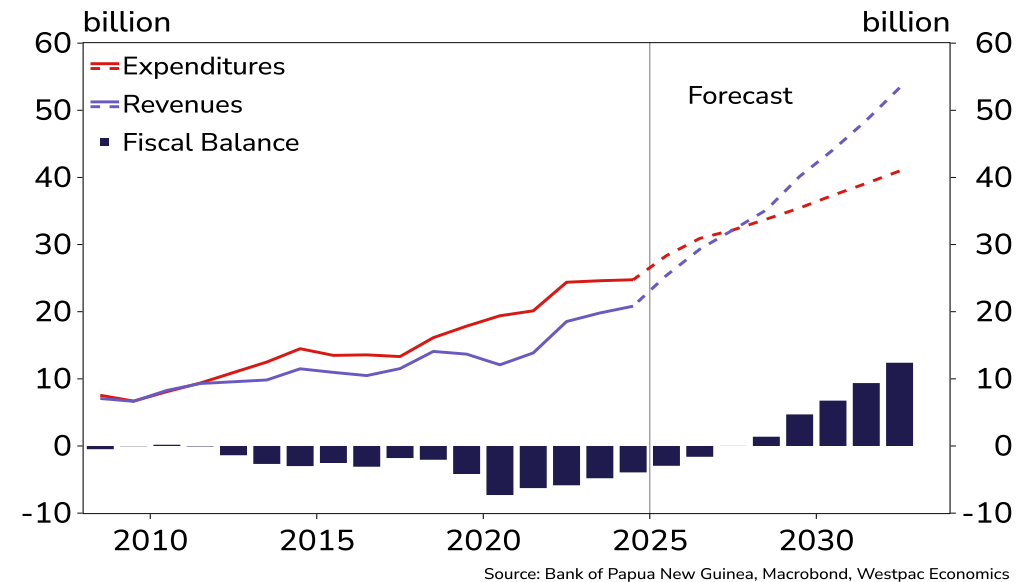
household assistance rises to K4.4bn.

The budget also responds to climate-related pressures, allocating K500m for El Niño and drought response efforts. Together with resources already committed by districts and provinces, total support reaches K1.17bn. Additional allocations include K150m for the Electoral Commission's preparations for the 2027 National Election and more than K50m for police and defence operations.

Importantly, these measures are largely financed through stronger-than-expected revenue collections and expenditure reprioritization rather than increased borrowing. Expenditure rises to K32.2bn but the fiscal deficit remains unchanged at K1.6bn.

Public debt is projected to remain below 45% of GDP, while the Government continues to target a return to budget surplus by 2027. Overall, the supplementary budget represents a targeted response to rising fuel costs and climate-related pressures, while maintaining the broader fiscal repair trajectory.

Budget Surplus target from 2027



"... the mini-budget's theme emerges as Supporting Families from Global Shocks..."

Papua LNG FID now set for 15 December deadline

Papua LNG project progress

Momentum behind the Papua LNG project strengthened considerably over recent weeks. In late August, the PNG Government and project partners signed a revised Papua LNG Project Agreement, which provides a pathway for the State to increase its equity participation from 22.5% to 25.0%, subject to the project reaching Final Investment Decision (FID) by 15 December 2026. The revised agreement also includes approximately K8.1 billion (around US\$1.95 billion) in conditional state support measures designed to maintain project viability during periods of low LNG prices.

The most significant development occurred on 7 September when TotalEnergies announced a major restructuring of the project. Operatorship of Papua LNG will transfer to ExxonMobil, which already operates the existing PNG LNG project. The move is designed to maximise construction and operating synergies between the two LNG developments and is widely viewed as a decisive step toward FID. As part of the restructuring, TotalEnergies will reduce its stake to

around 20% while ExxonMobil's interest will rise to approximately 34.1%, making it the largest shareholder and project operator. Santos will increase its stake to 21%, while Kumul Petroleum Holdings and MRDC will retain 22.5%. Private sector is confident of this move.

TotalEnergies also confirmed that the Engineering, Procurement and Construction (EPC) tendering process has been completed and contract award recommendations are ready for partner approval. Through project redesign and rebidding of major construction packages, close to US\$4 billion in cost savings have reportedly been achieved since 2024, reducing estimated project capital expenditure from around US\$18 billion to approximately US\$14 billion. Project developers have also established a joint LNG marketing arrangement involving Kumul Petroleum to support project financing and LNG sales.

Progress continues on the regulatory and landowner engagement fronts. The Development Forum process remains underway, with consultations continuing among government, developers and affected landowners.

However, emerging disputes over benefit-sharing arrangements, particularly from Central Province, highlight that stakeholder negotiations still represent a key risk before FID. The Central Provincial Government has rejected the proposed Papua LNG benefit-sharing formula and is seeking a 55/45 split with Gulf Province

FATF Grey Listing

Papua New Guinea was formally placed on the Financial Action Task Force (FATF) list of Jurisdictions Under Increased Monitoring on 13 February 2026 following the FATF plenary in Mexico City. Authorities have since been implementing a nationally coordinated action plan involving 23 agencies responsible for anti-money laundering, counter-terrorism financing and counter-proliferation financing. The first formal progress report to FATF is scheduled for September 2026.

Recent progress has been encouraging. During early September, Parliament passed significant amendments to anti-money laundering and counter-terrorism financing legislation, strengthening PNG's compliance framework and addressing several key

FATF requirements. Authorities have also highlighted increased inter-agency cooperation, enhanced enforcement activity, asset freezes and prosecutions as evidence of implementation progress.

While PNG is likely to demonstrate substantial progress during the September review cycle, completion of the entire action plan remains unlikely this year. Consequently, PNG is expected to remain on the grey list through at least 2027, although continued implementation reduces the risk of adverse impacts on correspondent banking relationships and international financial transactions.

OK Tedi

Ok Tedi Mining Limited (OTML) announced a K450 million interim dividend for H1 2026, with K300 million payable to Kumul Minerals Holdings (State) and K150 million to MRDC for Western Province landowners. OTML also reported that mining and processing operations remain uninterrupted despite low Fly River water levels, with contingency logistics measures supporting continued production and supply chains.

Key themes

Fuel prices

The Government's Fuel Relief Assistance programme remains in place, although its structure has changed. As of September 2026, the original K1 billion fuel stabilisation package announced in April has been fully utilised. Under NEC Decision No. 225/2026, the Government has retained the GST exemption on fuel until 31 December 2026 while progressively phasing out the direct subsidy component.

Consequently, retail fuel prices increased in September for the first time since the programme began, but remain well below full market levels. In Port Moresby, subsidised petrol, diesel and kerosene prices were reset to K4.90 per litre, compared with unsubsidised market prices of K5.67, K6.68 and K6.14 respectively.

The support package continues to prioritise retail consumers, drum sales, PNG Power and the aviation sector, while Treasury and ICCC continue monitoring the impact of elevated global oil prices linked to ongoing Middle East tensions.

Public utilities - Electricity

As of June, lower Sirinumu Dam level reduced hydroelectric output from the Rouna cascade. PNG Power supplemented the shortfall with diesel generation at Moitaka and managing water releases to preserve both electricity generation and Port Moresby's raw-water supply.

In terms of distribution, a June EU concept note estimated that just 20% of the population has access to electricity, for the rural population it is less than 15%. The report identified solar and battery deployments in Kavieng and Wewak, hydropower rehabilitation, solar investment and PNG Power capacity-building as elements of the emerging response.

Earlier this month, Prime Minister James Marape said PNG Power is in a "terminal" financial and operational condition after decades of underinvestment, ageing infrastructure, poor revenue collection and rising costs. The government plans structural reforms, including partial privatisation and provincial partnerships, to improve efficiency and electricity access. PNG has invested nearly K1.5 billion in

power infrastructure, while proposals are being developed for provincial governments and qualified operators to manage some electricity services and improve sector sustainability.

PNG Chiefs

The PNG Chiefs continue building momentum ahead of their inaugural NRL season in 2028. The most significant recent development remains the recruitment of NRL star Jarome Luai as the franchise's first marquee player, alongside several high-profile signings including Alex Johnston, Joseph Manu, Zac Lomax, Brian To'o and Connor Watson.

The franchise confirmed that its official club logo will be unveiled on 21 October 2026 in Port Moresby, followed by the launch of its inaugural playing jersey on 22 October. The jersey has reportedly been designed by a local PNG artist and aims to reflect Papua New Guinea's cultural identity and rugby league heritage. Infrastructure planning also continues, with Santos National Football Stadium remaining the club's planned home venue. Current capacity stands at around 15,000 seats, with

long-term expansion plans targeting 22,000–25,000 seats alongside associated high-performance and accommodation facilities. Government officials continue to present the club as a regional Pacific development platform extending beyond PNG to Fiji, Samoa, Tonga, Cook Islands and Niue.

Telecommunications

The National Information and Communications Technology Authority (NICTA) has made 2.6GHz and 3.5GHz spectrum available for licensing, paving the way for commercial 5G deployment. Vodafone PNG has committed to launching services in Port Moresby and at least one additional city within 18 months.

The 2026 public investment programme in this year's budget says Telikom PNG planned to expand coverage from a stated 19% of the population to 80% by 2027 and increase active subscribers from approximately 1.98 million to 7.71 million. It also set a revenue aspiration of increasing from K147.59 million to K737.94 million.

Interest Rates

- The Fixed Rate Full Allotment (FRFA) 7-day Central Bank Bill remains pegged to the Kina Facility Rate (KFR) at 5.0%, following the Bank of Papua New Guinea's decision to maintain the KFR at 5.0% and the Cash Reserve Requirement (CRR) at 9.0% at its September 2026 Monetary Policy Committee meeting.
- Liquidity across the banking system remains elevated. Improved government cash flows, supported by IMF funding and higher resource tax receipts, have reduced the need for domestic borrowing.
- As a result, government securities auctions have remained consistently oversubscribed, pushing average Treasury bill yields down to around 4.9% and government bond yields to approximately 6.6% by August 2026. Excess liquidity has increasingly shifted into BPNG facilities, with average FRFA participation rising from K1.6 billion to K2.4 billion between March and August 2026.
- Government bond markets continue to attract strong investor demand. The most recent government bond auction on 21 August 2026 was oversubscribed, receiving K563 million in bids against K480 million offered. Investor appetite remained concentrated in longer-dated securities, particularly the 10-year and 15-year maturities. Weighted average yields were 6.26% for the 3-year tenor, 6.61% for the 5-year, 6.76% for the 7-year, 6.84% for the 10-year and 7.26% for the 15-year bond.
- The latest Government Treasury Bill yields are:
 - 182-days: 4.64%
 - 273-days: 5.00%
 - 364-days: 5.03%

Foreign Exchange

- The gradual, crawling peg depreciation of the PGK continues, with August and September 2026 seeing PGK/USD fall from 0.2269 to 0.2250 on the 15 September 2026.
- Local foreign exchange market conditions improved significantly during 2026. PNG recorded K22.3 billion in foreign exchange inflows and K25.4 billion in outflows during the first eight months of the year, with the mining sector contributing more than half of total inflows. BPNG provided US\$430 million (K1.9 billion) in market support while interbank trading reached US\$338 million.
- There is still no guidance on the target rate of the depreciation or where BPNG views an exchange rate that would align with fundamentals.
- However, at the September meeting the MPC agreed to “maintain the current pace of exchange rate adjustment”.
- Breaking previous highs, AUD/USD peaked at 0.7218 during the month of August to September 15th 2026.
- Over the same period of time the PGK/AUD dropped significantly, reflecting a high of 0.3216 and a low of 0.3114.
- The volatility in the PGK/AUD was a reflection of a volatile AUD/USD exchange rate due to a weakening US Dollar amid global tensions and increasing market uncertainty.
- Weekly FX auctions continue. BPNG conducted 2 FX auctions during the month of August, totalling US\$40mn. This indicates strong demand, but also highlights improved allocation efficiency compared with 2023–24.

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Government Bond Auction

Series	Amount on offer	Bid recieved	Successful bids	Successful yields	Weighted average rate	Coupon Rate	Overall Auction
	K'million	K'million	K'million				
Issue ID 2026 / 5959 (3 Years)	50.00	60.00	50.00	6.10% - 6.27%	6.26%	6.30%	10.00
Issue ID 2026 / 5970 (5 Years)	100.00	118.00	100.00	6.43% - 6.70%	6.61%	6.70%	18.00
Issue ID 2026 / 5971 (7 Years)	80.00	85.00	80.00	6.73% - 6.80%	6.76%	6.80%	5.00
Issue ID 2026 / 5973 (10 Years)	150.00	180.00	150.00	6.73% - 6.90%	6.84%	6.90%	30.00
Issue ID 2026 / 5974 (15 Years)	100.00	120.00	100.00	7.13% - 7.30%	7.26%	7.30%	20.00
TOTAL	480.000	563.000	480.000				83.000

Auction Number:18-AUG-26 /GOB/ Government Bond; Settlement Date: 21-AUG-26; Amount on Offer: K480.000 million

Government Treasury Auctions

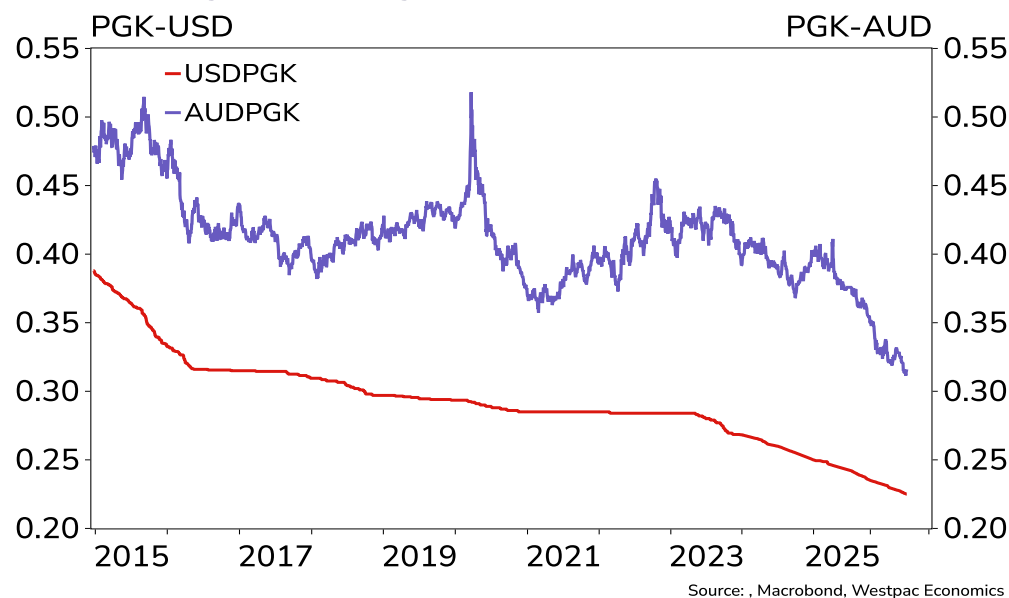
Terms	Issue ID 2026	Issue ID 2026	Issue ID 2026/6093	Issue ID 2026/6094	Issue ID 2026/6095	Total
	63	91	182	273	364	
Weighted Average Yield	0.000	0.000	4.64%	5.00%	5.03%	
Amount on offer Kina Million	0.000	0.000	20.000	50.000	200.00	270.000
Bids Received Kina Million	0.000	0.000	15.820	32.300	275.790	323.910
Successful Bids Kina Million	0.000	0.000	15.820	32.300	245.790	293.910
Overall Auction OVER-SUBSCRIBED	0.000	0.000	-4.180	-17.700	75.790	53.910

Auction Number: 09-SEP-26 / GOI/ Government Treasury Bill; Settlement Date: 11-SEP-26; Amount on Offer: K270 million

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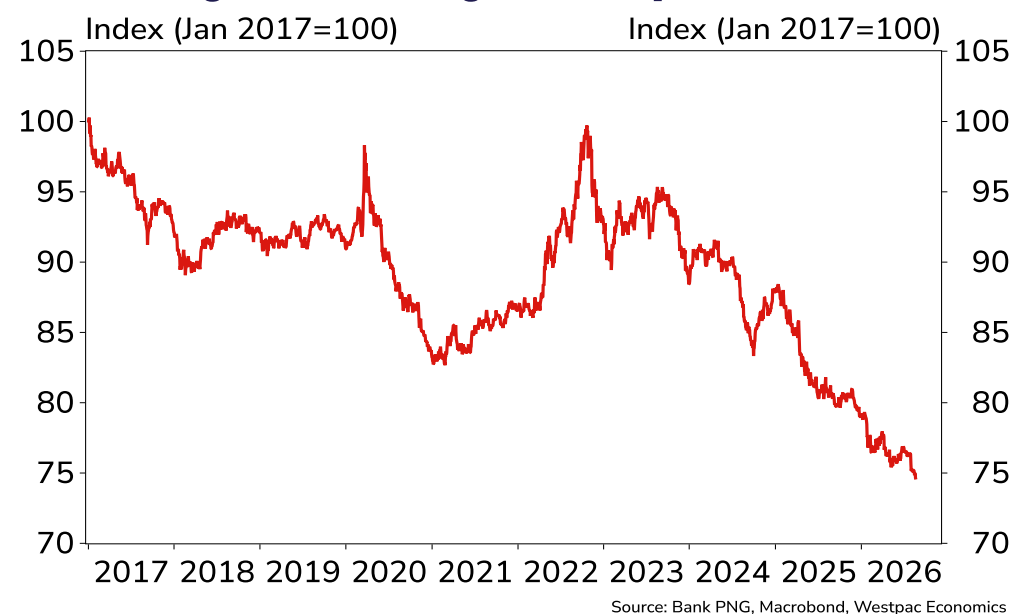
Gradual kina depreciation continues

Kina Foreign Exchange Rate



“PGK/AUD continues the down trend as the PGK/USD depreciation continues and AUD firms against the USD ”

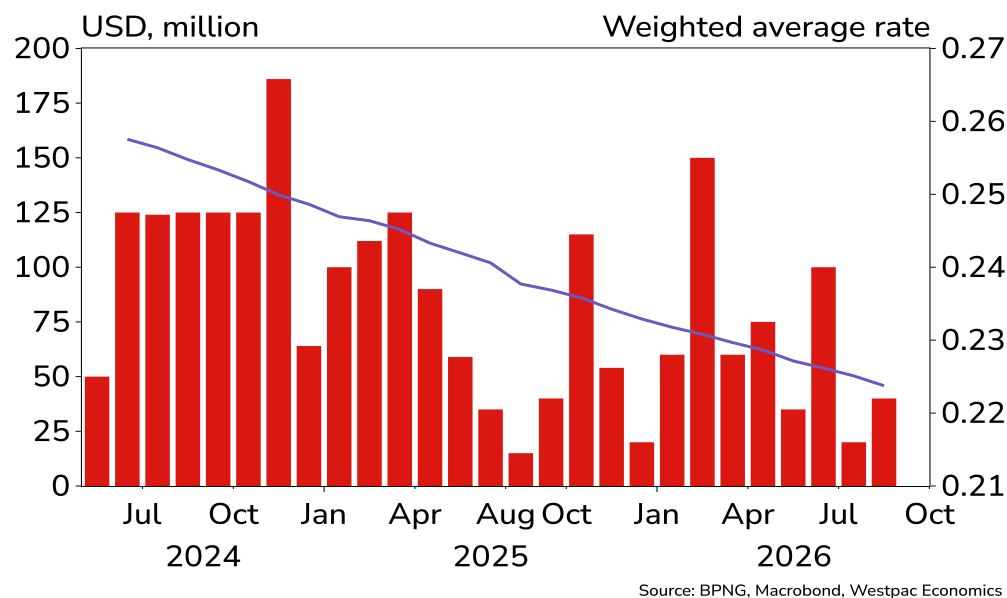
Trade weighted exchange rate depreciation



“Trade weighted exchange rate continues to depreciate in current policy setting”

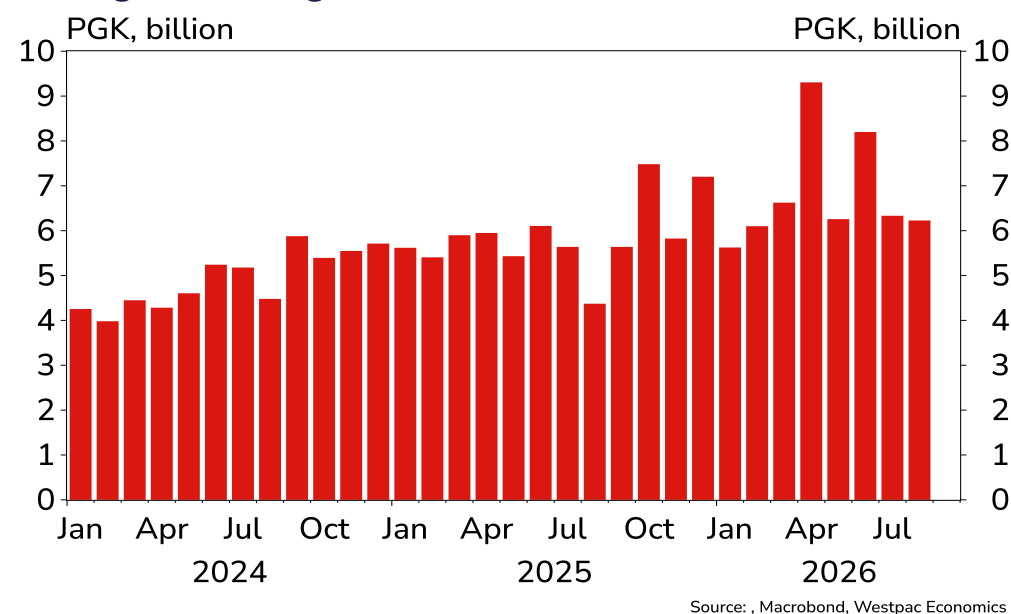
Foreign exchange market improves

BPNG FX Auction



“Bank of PNG auctioned US\$40mn during the month of August”

Foreign Exchange Market Turnover

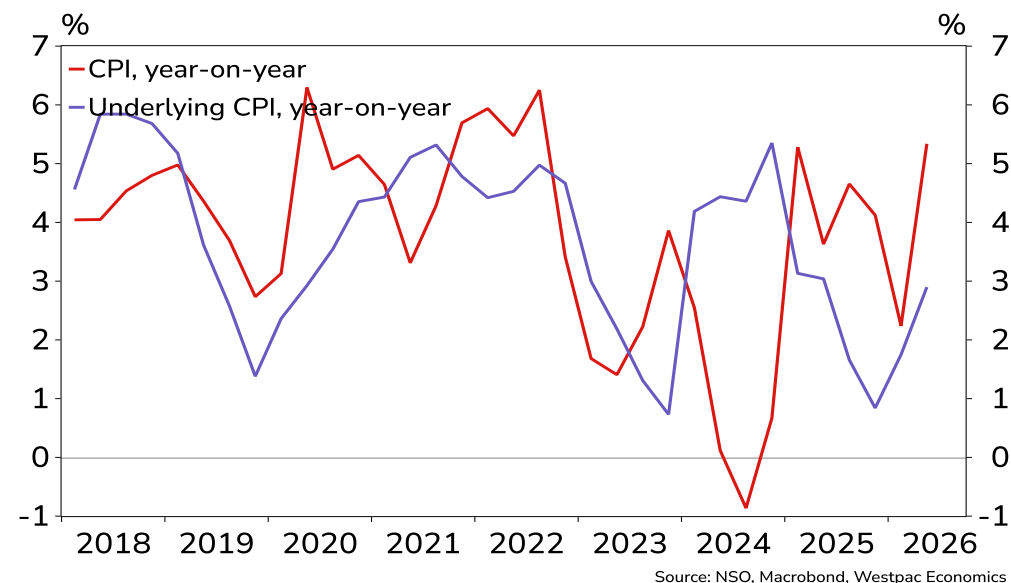


“Foreign exchange market conditions improved significantly during 2026.”

Q2 2026 inflation update

- PNG's headline CPI rose 5.3% in the year to the June 2026 quarter, accelerating from 2.2% in the March quarter. On a quarterly basis, consumer prices increased 0.7%, following a 0.5% increase in March. The pick-up in annual inflation reflected stronger price growth in Food & Non-Alcoholic Beverages (+3.6%yr), Alcoholic Beverages, Tobacco & Betel Nut (+22.6%yr) and Transport (+4.4%yr).
- Apart from these key drivers, annual inflation was recorded across all major expenditure categories:
 - Clothing & Footwear +0.5%yr
 - Housing +2.7%yr
 - Health +5.7%yr
 - Communication +0.3%yr
 - Education +3.6%yr
 - Restaurants & Hotels +3.7%yr
 - Miscellaneous +3.0%yr
- The NSO's underlying inflation measure was 2.9%yr, up from 1.7%yr in March 2026, suggesting inflation pressures are becoming more broad-based than just the volatile food and betel nut components.
- Food & Non-Alcoholic Beverages was the largest contributor to inflation in June, rising 3.4%qtr and 3.6%yr. Quarterly increases were broad-based, particularly in:
 - Fruits & vegetables +8.4%qtr
 - Dairy products, eggs and cheese +3.6%qtr
 - Other food products +5.0%qtr
 - Meat products +2.4%qtr
 - Cereals +1.6%qtr
- The key change from March to June was that betel nut prices actually declined during the quarter. The Alcoholic Beverages, Tobacco & Betel Nut category fell 3.2%qtr, largely reflecting an 11.6%qtr decline in betel nut and mustard prices. However, because prices remained well above year-earlier levels, the category still recorded a strong 22.6%yr increase and continued to be a major contributor to annual inflation.
- Transport prices increased 1.4%qtr and 4.4%yr. Fuel and lubricant costs rose 5.8%qtr, driven by:
 - Diesel +9.3%qtr
 - Petrol +4.0%qtr
 - Engine oil +3.0%qtr

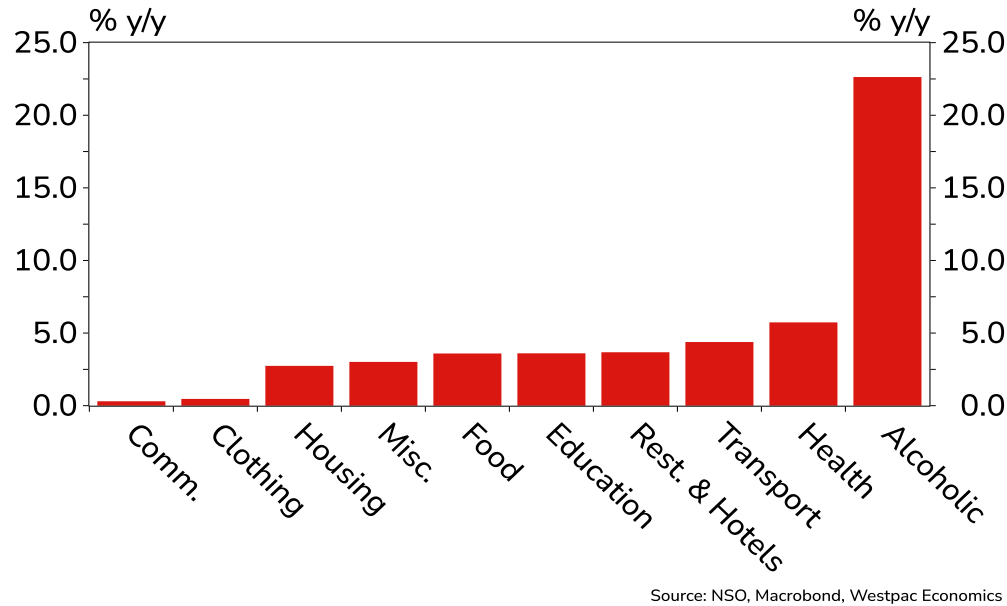
Headline inflation surges to 5.3%



“...Betel Nut a key driver for surge in headline inflation as underlying inflation remains sub 3%yr”

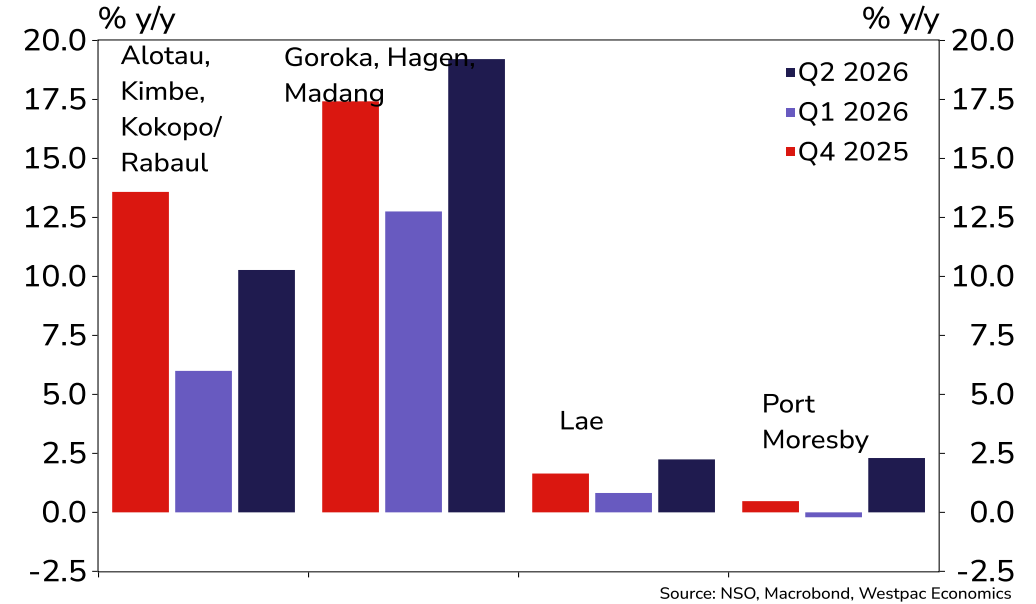
Highlands and Islands inflation up

PNG's inflation categories in Q1 2026



“... Betel nut prices remain the largest single source of volatility, pushing up the Alcoholic, Beverages and Narcotics component”

Headline inflation in respective regions



“...double digit inflation in Alotau, Kimbe, Kikipo/Rabaul, Goroka, Hagen and Madang”

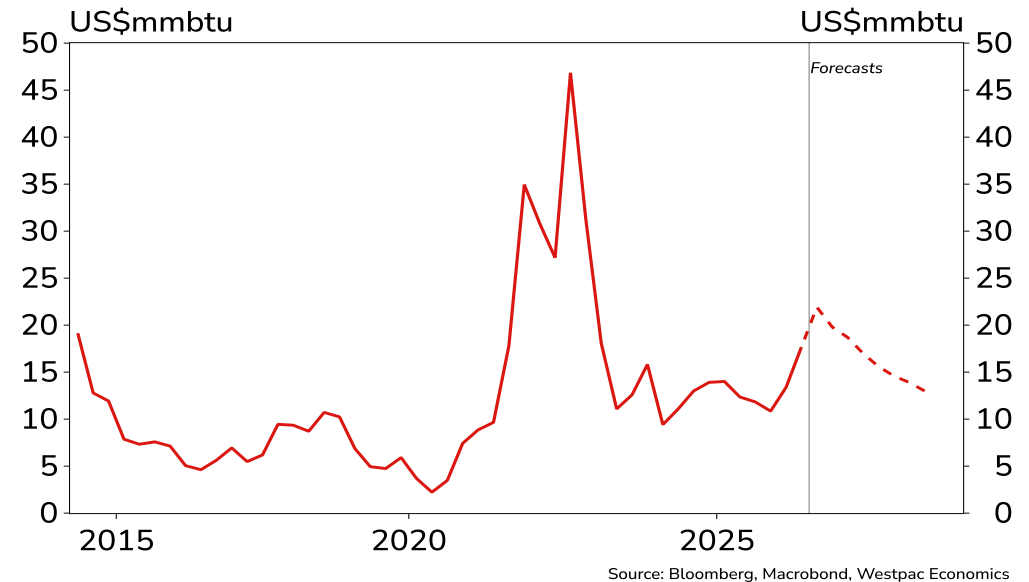
LNG markets remain tight

- Westpac Economics [September Commodities Update](#) highlighted that damage to infrastructure at Qatar's LNG export complex, constrained shipping through the Strait of Hormuz, strong Asian and Atlantic Basin demand pushed Japanese LNG prices to more than double pre-conflict levels and are expected to keep them elevated until 2028.
- LNG prices continued to climb through August. Damage to the world's largest LNG export complex at Ras Laffan in Qatar and the inability to divert flows around the Strait of Hormuz continue to weigh on supply. Strong summer cooling demand across Northeast Asia has further tightened LNG markets. Competition with Europe for flexible Atlantic Basin cargoes has also increased as maintenance at Freeport LNG in the US reduced available supply. As a result, Japanese LNG prices rose 15.9%*mth* in August, with average prices reaching US\$22.0/*mmbtu*, more than double pre conflict levels.
- Westpac Economics raised the expected peak in Japanese LNG prices to US\$21.5/*mmbtu* in the September

quarter. Supply recovery is expected to remain constrained, with prices unlikely to return to pre-conflict levels until 2028.

- At least for the near term, the risk remain to the upside due to further potential supply disruptions whereas any demand adjustment to higher prices is likely to be marginal.
- The Australian gas market remains relatively insulated, supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the equivalent of 20% of gas exports to the Australian market.
- PNG LNG continues to fully deliver LNG to its key market. As of August 2026, PNG LNG has exported 5.5 million tonnes of LNG, while operating at 99.8% utilisation capacity for the year.

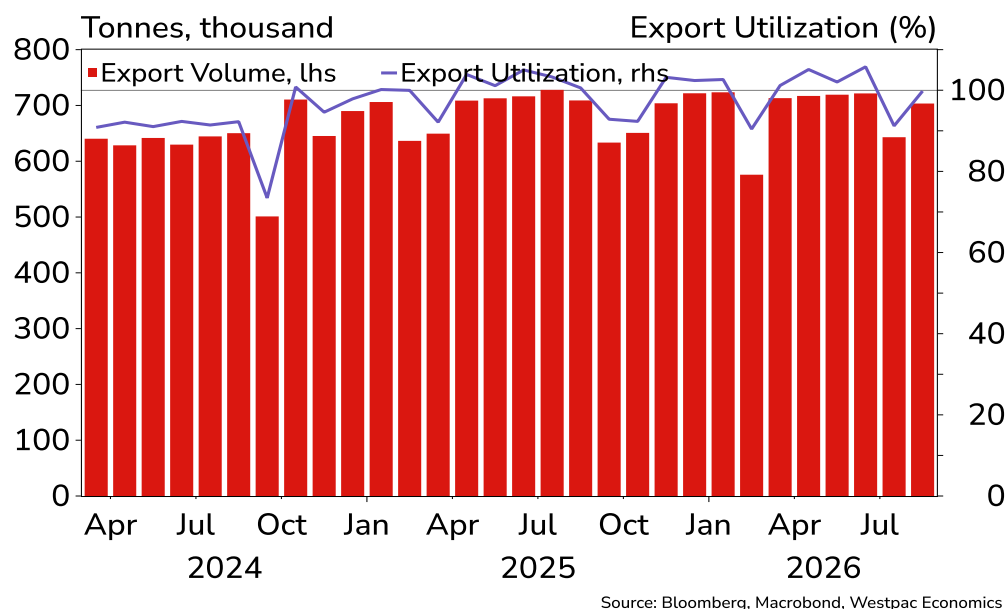
LNG market outlook



“...Westpac Economics has raised the expected peak in Japanese LNG prices to US\$21.5/*mmbtu* in the September quarter”

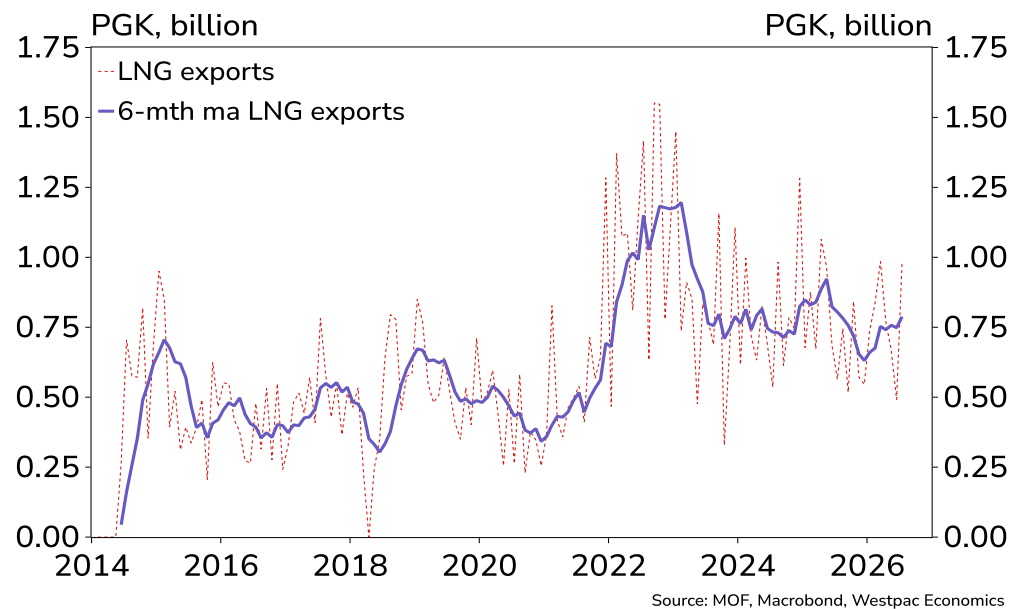
PNG LNG export to rise

PNG LNG Export



“...PNG LNG export utilization at 99.8% in August 2026, and export volume at 5.5mn tonnes YTD”

PNG's LNG export to Japan

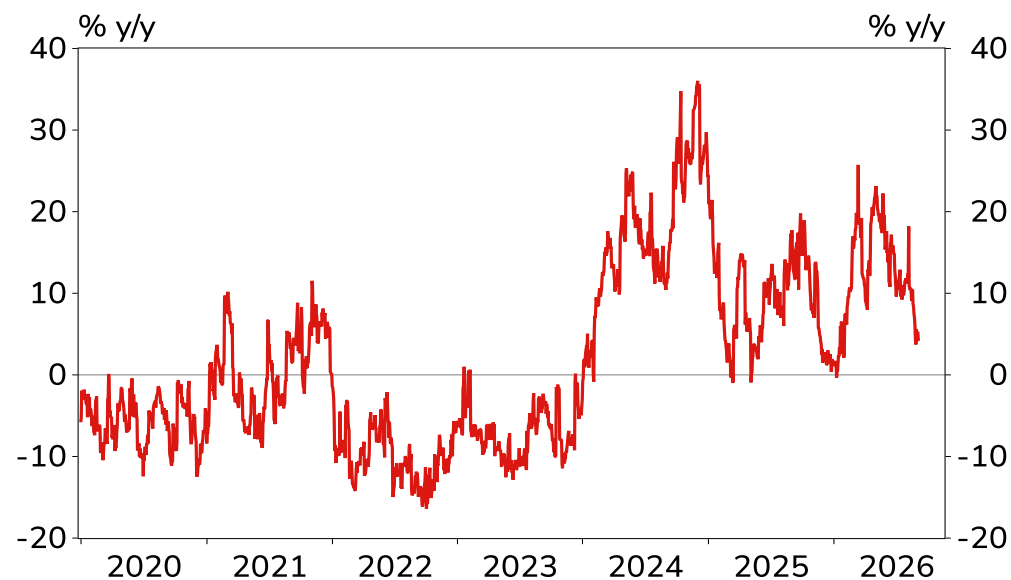


“...YTD LNG exports to Japan has been flat...”

Signs of strength in import activity

- Westpac has developed a proprietary index tracking import activity at PNG ports, known as the PNG Ports Imports Indicator.
- While the data can be volatile and subject to revision as updates are received, when used judiciously, it provides a timely signal of import momentum and, by extension, domestic economic activity.
- The latest update from the Indicator suggests the strength in import activity has softened as of early September, after strong start into the year, which could be related to shipping disruptions associated with the conflict in the Middle East.
- As we moved through 2026 the annual pace peaked at around 25%/yr in mid March before easing back to just under 4%/yr in early September.
- We are always cautious about drawing firm conclusions from a single indicator such as this. Nevertheless, the consistent gains throughout 2025 and into 2026 pointed to a positive underlying momentum in the PNG economy, that is until the recent Middle East crisis.
- **Why do we track imports?** The PNG domestic economy continues to grow at just under 5%, a sound pace but less than what is needed to lift more out of poverty. We track imports to see if we can observe a lift in domestic activity.
- The anticipated Final Investment Decisions (FID) for several large resource projects will provide a significant boost in domestic demand. While these projects can deliver multi-decade benefits, they do not drive permanent positive change on their own. Additional measures are required to ensure inclusive and sustained growth. These include:
 - Improving domestic physical infrastructure.
 - Building human capital through better health, education, and training.
 - Reforming State Owned Enterprises to enhance service delivery.
 - Strengthening government services.

PNG Imports Indicator



Source: IMF, Macrobond, Westpac Economics

“...strength in imports continued as 2026 started, but signs of slowdown emerging...”

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Supply-side risks to support prices

Cocoa

The cocoa market has been on an eventful trajectory this year. After dropping to the low of \$2,798/MT on 27 February 2028, following its previous 8 months of consecutive decline, cocoa price began rising after March, to now \$5,895/MT. This price support comes from deteriorating expectations over Ghanaian and Ivorian production. Risks of further declines in production have been fuelled by concerns over swollen shoot disease, weather-related disruptions, ageing trees and weaker farm incentives.

The outlook for 2026/27 tightens considerably following the prior year's sizeable surplus, with private forecasts suggesting only a 25,000–80,000 tonne surplus. Such a low level of inventory leaves the cocoa market vulnerable to production shocks.

Ghana and Côte d'Ivoire face heightened risks to cocoa production and foreign-exchange earnings as a strengthening El Niño coincides with the crucial October-to-December crop development period.

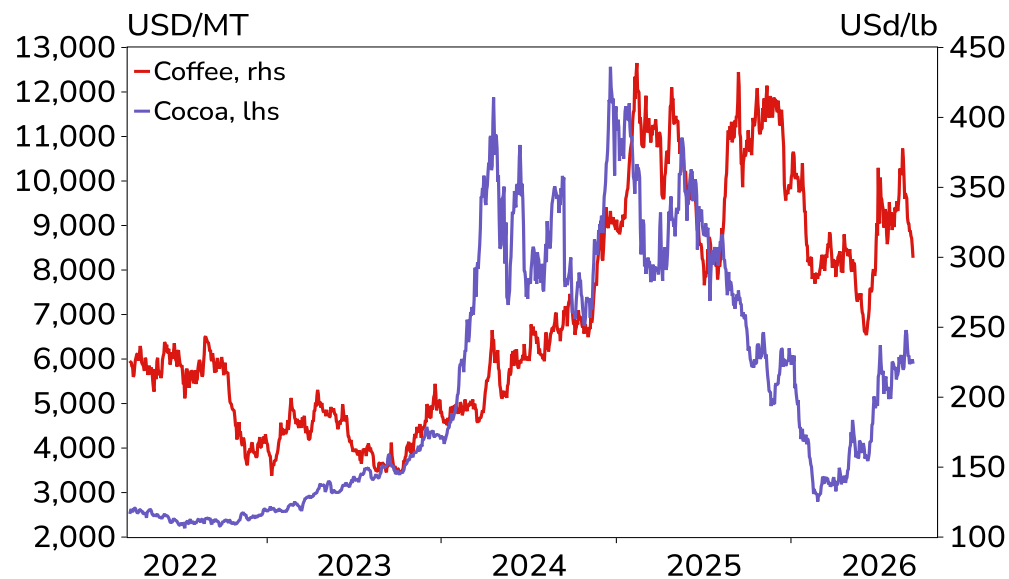
Coffee

The coffee market is shifting from acute scarcity to prospective surplus, but the transition is uneven. USDA forecasts record 2026/27 production of 189.7 million 60-kg bags, including record Arabica output of 105.9 million bags, against consumption of 179.7 million.

Prices reached a near-two-year trough in early June as Brazil's record crop output approached, before the ICO Composite rebounded 15% in July over concerns on Brazil's wet harvest conditions and a super El Niño.

The renewed September decline reflects exceptional rainfall supporting Brazil's 2027/28 flowering, improving soil moisture in Vietnam and record August Brazilian shipments. Brazil's August exports exceeded 4.1 million bags, while December Arabica fell to a 2½-month low on 14–15 September.

Cocoa and Coffee



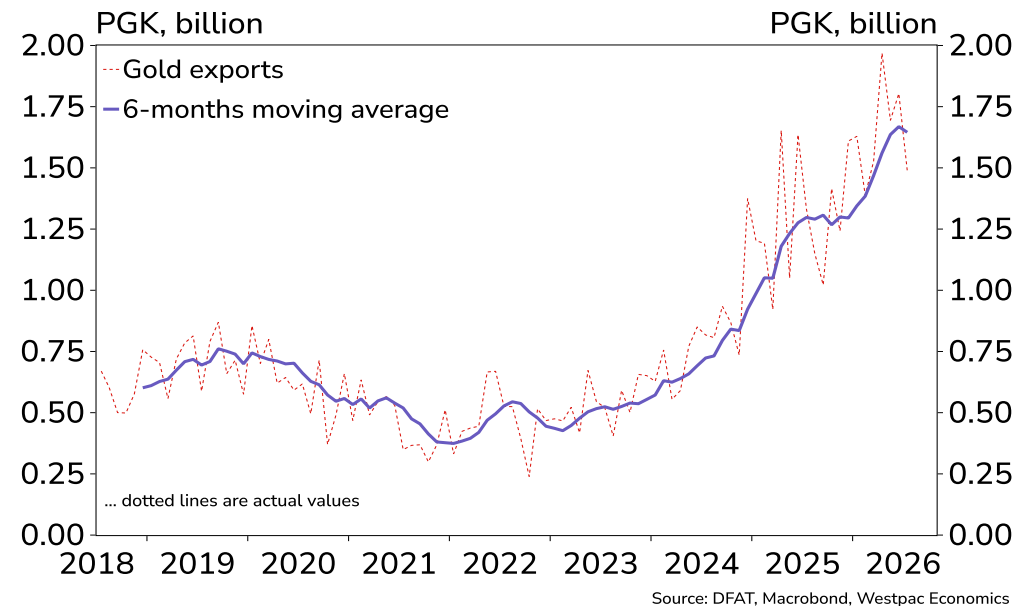
Source: Bloomberg, Macrobond, Westpac Economics

“...rising global prices could provide boost to local cocoa and coffee production...”

Gold export rally supports PNG economy

- Papua New Guinea's gold mining sector has been one of the stand out performers in 2026, driven by record global gold prices, strong mine production leading to a growing pipeline of development projects. Prices did briefly exceed US\$5,000/oz during the year, significantly boosting profitability across the industry and improving government revenues, foreign exchange inflows and investor sentiment.
- Westpac Economics [September Commodities Update](#) reports that gold rallied in August as a benign US inflation outcome and US Treasury intervention in long-end bond markets helped lower bond yields. Westpac continues to expect long-term structural support from central bank buying, reserve diversification and ongoing concerns surrounding US fiscal sustainability.
- At the operational level, K92 Mining's Kainantu Gold Mine delivered another record year. The company reported strong production, commissioned its Stage 3 expansion, expanded exploration activities and paid substantial corporate taxes. K92 alone forecast 190,000–225,000 ounces of gold equivalent production in 2026, while cumulative tax payments exceeded K500 million during the year.
- The revitalised New Porgera Mine continued ramping up operations and remains on track to exceed 400,000 ounces of gold production in 2026. The mine generated almost K986 million in taxes in 2025 and continued providing significant dividends, royalties and community payments in 2026.
- Meanwhile, Newmont's Lihir operation remained one of PNG's largest taxpayers, with corporate tax payments exceeding K1.4 billion in the first half of the year and total annual fiscal contributions expected to remain above K1 billion.
- Exploration activity has also accelerated substantially. Significant discoveries and drilling programs were reported at Wild Dog, Ontenu, Kili Teke, Mt Kare and Woodlark. Geopacific continues advancing the 1.67 million-ounce Woodlark Gold Project, while the Misima Gold Project, Simberi expansion and Panguna redevelopment discussions progressed during the year.
- Gold exports to Australia has been up by 28% as of July 2026, with total export amount of K11.5 billion.

Gold exports to Australia



“...year-to-date (Jan-Jul) gold exports to Australia stands at K11.5bn, higher by 28% over previous year...”

Financial forecasts

Interest rate forecasts

Australia	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.60	4.60	4.60	4.35	4.10	3.85	3.85	3.85	3.85
10 Year Bond	5.38	5.20	5.10	5.00	4.90	4.85	4.80	4.80	4.80	4.80
US										
Fed Funds	3.625	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	4.96	4.80	4.75	4.70	4.65	4.70	4.75	4.80	4.85	4.90
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
10 Year Bond	5.02	4.75	4.90	5.00	5.05	5.05	5.05	5.05	5.05	5.05

Exchange rate forecasts

	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
PGK/USD	0.2250	0.2220	0.2150	0.2170	0.2220	0.2270	0.2320	0.2370	0.2420	0.2470
PGK/AUD	0.3164	0.3083	0.2986	0.2973	0.3041	0.3110	0.3178	0.3292	0.3361	0.3431
PGK/NZD	0.3926	0.3763	0.3525	0.3444	0.3469	0.3492	0.3569	0.3646	0.3723	0.3800
PGK/EUR	0.1962	0.1897	0.1822	0.1824	0.1850	0.1876	0.1902	0.1943	0.2000	0.2041
PGK/GBP	0.1681	0.1644	0.1581	0.1584	0.1609	0.1633	0.1657	0.1681	0.1716	0.1764
PGK/JPY	35.05	34.41	33.11	33.20	33.74	34.28	34.80	35.31	35.82	36.06
PGK/SGD	0.2871	0.2819	0.2731	0.2734	0.2797	0.2838	0.2900	0.2963	0.3025	0.3088

Sources: Bloomberg, Westpac Economics.

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Economic and financial forecasts

Major trading partner growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025	2026f	2027f	2028f
World Economy	6.7	3.8	3.3	3.4	3.4	3.3	3.3	3.3
US	6.2	2.5	2.9	2.8	2.1	2.1	1.8	1.9
Eurozone	6.4	3.7	0.5	0.9	1.3	0.9	1.2	1.5
Australia	5.4	4.2	2.1	1.0	2.1	2.1	1.7	2.2
New Zealand	5.5	2.6	2.2	-0.3	0.3	2.1	2.7	3.1
Japan	3.6	1.3	0.7	-0.2	1.1	0.7	0.8	0.9
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
India	9.7	7.6	7.2	7.1	7.6	7.1	7.0	6.6

Sources Macrobond, Westpac Economics

Economic indicators		2024	2025 (est)	2026 (est)
Inflation	ADB	0.6%	4.4%	4.6%
	BPNG	0.6%	4.4%	5.0%
	IMF	0.6%	4.4%	5.0%
GDP growth	Westpac	0.6%	4.4%	4.6%
	ADB	3.9%	4.7%	3.6%
	BPNG	3.9%	5.2%	3.5%
	IMF	3.9%	5.6%	3.8%
	Westpac	3.9%	5.5%	4.6%

Sources Macrobond, Westpac Economics

PNG Economic Statistics

	2024	2025	2026(f)	2027(f)	2028(f)
Headline CPI (%)	4.1	3.0	5.0	6.0	4.5
Trimmed mean (%)	1.8	3.5	3.0	4.0	4.0
Exclusion-based (%)	0.7	4.0	3.5	4.0	4.0
Foreign Reserves (K'mn)	14,663	17,226	19,999	16,376	9,511
Import cover (months)	6.2	7.4	8.6	6.7	3.6
Current & Capital Account K'mn	19,136	32,333	41,155	48,859	48,506
Financial Account K'mn	-17,528	-28,646	-39,481	-52,482	-55,372

Sources Macrobond, Westpac Economics

Financial Markets

Indicators	2024	2025	2026(f)	2027(f)	2028(f)
Broad money supply	-6.4	12.8	6.7	5.9	3.6
Monetary base	4.0	1.9	6.8	5.4	-11.0
Claims on private sector	3.0	9.4	7.9	7.2	7.0
Net claims on government	-0.4	10.3	4.4	2.8	12.5
Net foreign assets	-1.2	34.5	18.0	-17.6	-28.6
Fiscal Surplus/Deficit (K millions)	-2,948	-2,948	-1,608	-13	1,379
Deficit as % of GDP	-2.2	-2.2	-1.1	0.0	0.8

Source: BPNG forecasts

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Commodity Forecasts September 2026

End of period	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
LNG in Japan US\$mmbtu	24.8	19.8	18.7	17.0	15.6	14.6	13.9	13.0
gold (US\$/oz)	4,366	4,500	4,410	4,390	4,370	4,350	4,370	4,400
copper (US\$/t)	14,526	14,810	13,780	13,090	12,960	12,890	12,840	12,810
aluminium (US\$/t)	3,327	3,300	3,330	3,290	3,230	3,130	3,050	3,000
nickel (US\$/t)	16,578	16,570	16,740	16,860	16,950	17,030	17,120	17,200
zinc (US\$/t)	4,099	4,060	3,860	3,670	3,480	3,340	3,220	3,130
lead (US\$/t)	1,869	1,870	1,880	1,890	1,910	1,920	1,890	1,870

Source: Bloomberg, Westpac Economics

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September 2026

WESTPAC COAST-TO- COAST

Your quarterly report on Australia's state economies.

WESTPAC COAST TO COAST – SEPTEMBER 2026

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The economy shifts to business-led growth

Pat Bustamante, Senior Economist

The June quarter National Accounts showed Australia's economy expanded 0.4% in Q2 and 2.1% in year-ended terms. It was the first full quarter that households and businesses had to deal with the global energy shock flowing from the conflict in the Middle East and higher domestic interest rates. With a strong ramp up in data centre investment also coming off a massive surge in Q1, the result was a noisy quarter. Looking through this, the Accounts point to growth stabilising at a slower pace. The household sector has been resilient with solid income growth providing support, partly reflecting the upswing in business investment, which still has further to run.

The data centre and renewables investment upswing continues to gather momentum. Consistent with the upward revision to surveyed capex intentions, we now expect new business investment to grow by almost 13% in 2026 (up from 11.7%yr previously) and a further 10% in 2027 (up from 7.5%yr). The upswing also appears to be generating larger spillovers to related industries, including construction and professional services, supporting incomes. The **Westpac-DataX Card Tracker** suggests spending momentum strengthened through Q2 and into Q3, with household consumption likely to rise by 0.8%qtr in Q3 and 2.0%yr in 2026 (up from 1.7%yr previously).

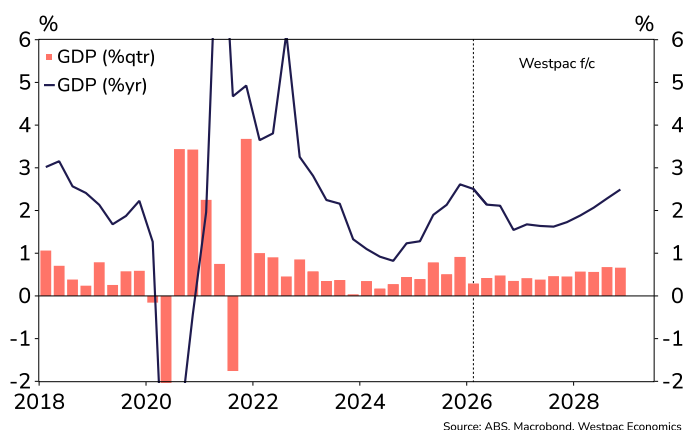
Construction has also strengthened and the outlook remains positive. Beyond the data centre and renewable energy build-out, non-residential building is being supported by the need to accommodate a growing population, while residential construction continues to benefit from a range of state and federal government initiatives. This is offsetting the wind-down in public infrastructure spending. We expect construction activity to remain resilient despite the headwinds from higher interest rates, higher energy costs associated with the Middle East conflict, rising labour costs and falling established house prices.

What does this mean for the aggregate outlook?

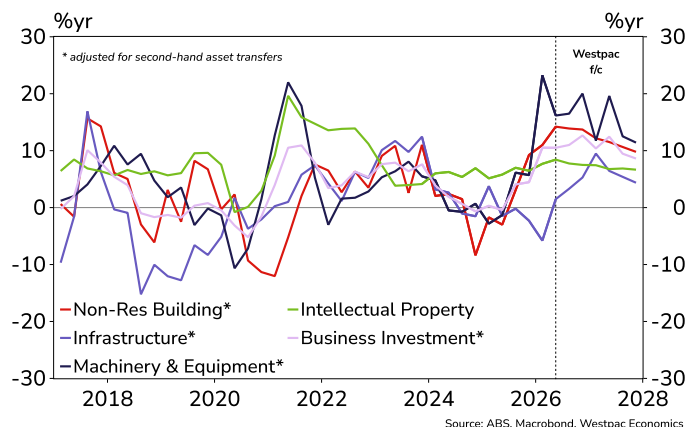
Aggregate economic conditions have firmed. Business-led activity, which appears insensitive to interest rates, is providing the economy with a tailwind strong enough to support broader areas of the economy that are not directly tied to the data centre/renewables build-out.

As a result, we have upgraded our near-term outlook to 1.5%yr in 2026, up from 1.0%yr expected prior to the [Q2 National Accounts](#). The outlook beyond 2026 is largely unchanged, although the risks are tilted to the upside given the size of the potential increase in renewable investment. We expect growth to accelerate to 1.7%yr in 2027 and 2.5%yr in 2028 as the RBA eases rates in the second half of 2027 in response to emerging spare capacity.

GDP forecasts



New business investment components



Reflecting the firmer near-term outlook, we have revised our forecast peak in the unemployment rate down slightly from 4.9% (in Q1 2027) to 4.8% (in Q2 2027), where it is expected to hold around this level throughout 2027. The slightly tighter labour market, combined with stronger global inflationary pressures associated with the AI investment boom, points to a firm near-term inflation pulse of 3.3%yr in 2026 before easing to 2.7%yr in 2027 and 2.3%yr in 2028 as spare capacity emerges and productivity gradually improves. We now expect the [RBA Board to hike in September 2026](#), with the cash rate peaking at 4.6% before policy is cautiously eased in the second half of 2027.

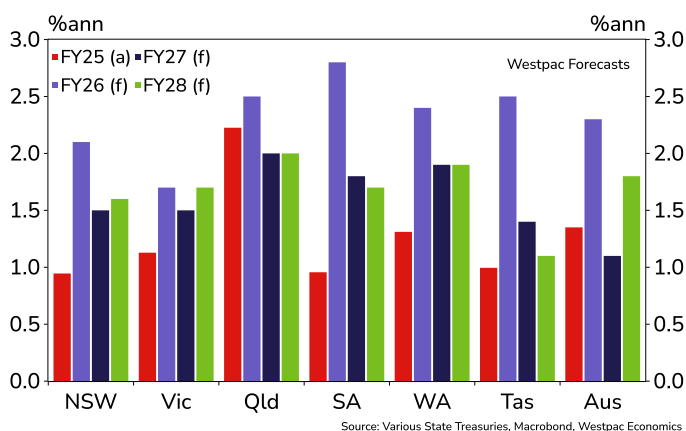
Growth holds up better than expected ...

Pat Bustamante, Senior Economist

State economic growth regained momentum in annual average terms with per capita activity returning to positive growth in FY2026 and the resource-rich states leading the recovery. However, the second half of the fiscal year offered a glimpse of what lies ahead. Higher interest rates, elevated fuel prices and ongoing Middle East tensions weighed on the consumer-led states, with household spending slowing across NSW, Vic and Tas.

Growth in Gross State Product (GSP) strengthened across all states in FY2026, with GSP per capita also rebounding after the declines recorded in FY2025. On our estimates, SA (2.8%yr, year-average) led the pack, followed by the mining states of Qld (2.5%yr) and WA (2.4%yr). Tas (2.5%yr) also posted a strong result, while NSW (2.1%yr) and Vic (1.7%) saw growth pick up, by more than we previously expected. Note that Tasmania's rebound largely reflects the importation of two Spirit of Tasmania ferries in FY2025 which dropped out of the trade flow numbers in FY2026.

Gross State Product

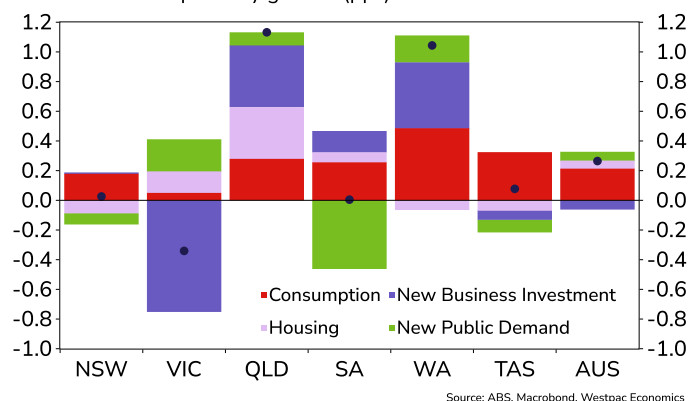


Despite the solid outcome over FY2026, the underlying growth pulse in the consumer-led states is losing momentum. **Household spending** was weak, rising just 0.3%qtr in NSW and 0.1%qtr in Victoria in Q2. In NSW, six-month annualised growth in consumer spending slowed to 1.2%yr in H1 2026 from around 2.0%yr in H2 2025. The slowdown was even more pronounced in Vic and Tas, where growth halved from 2.1%yr to 1.0%yr and from 2.8%yr to 1.4%yr, respectively.

The mining states and SA remained the clear outperformers. Household spending momentum strengthened in WA, with six-month annualised growth accelerating to 3.3%yr in H1 2026 from 1.5%yr in H2 2025. Qld (1.8%yr to 2.1%yr) and SA (1.5%yr to 2.2%yr) also recorded solid gains over H1 2026. However, with higher interest rates and elevated fuel prices increasingly squeezing household budgets, this resilience is unlikely to persist, with consumption growth expected to moderate over the year ahead.

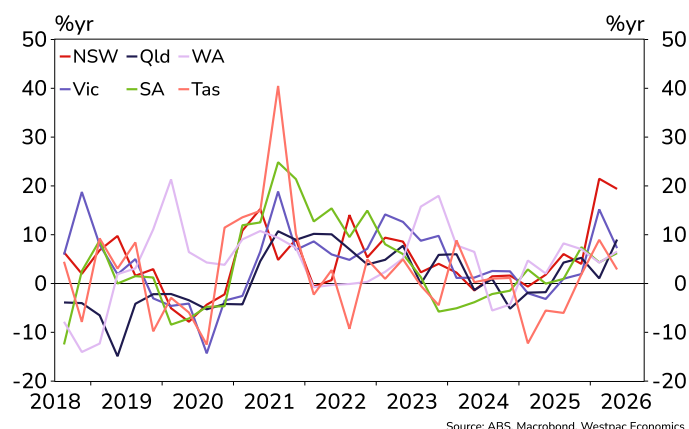
State Final Demand

Contributions to quarterly growth (ppt)



While the consumer is mixed, **business investment** remains strong across the board. In NSW, business investment is almost 20% higher than a year ago, despite the large fall in equipment investment over Q2 (-6.2%qtr). In Vic, business investment is growing a healthy 7.3%yr, notwithstanding a 6.0%qtr fall in Q2. More generally, business investment remains resilient across the mining states and SA – growing at 9.0%yr in Qld, 6.6%yr in WA and 6.2%yr in SA, while Tas remains the laggard at 2.9%yr.

Business investment across states



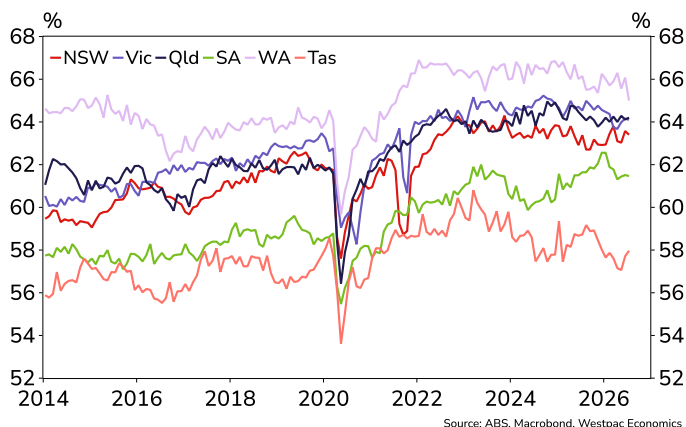
Residential construction is also showing encouraging signs. Dwelling investment grew strongly in Qld (6.2%qtr), SA (2.4%qtr) and Vic (3.1%qtr), with outcomes across the remaining states mixed. In contrast, **public investment** declined across all the states in Q2 (except SA where public consumption declined) as the infrastructure pipeline moves beyond its peak. Qld recorded a particularly sharp 3.0%qtr decline in Q2, driven largely by a pullback in investment by public corporations.

... business investment softens the slowdown

On the back of firmer activity, **labour market conditions** also appear to be stabilising. Employment-to-population ratios have edged higher in NSW and Qld in recent months, while conditions in Vic, SA and Tas have stabilised and improved modestly. In WA, the employment-to-population ratio continues to track sideways, albeit from historically elevated levels.

This strengthening in **labour market conditions** has been accompanied by a modest acceleration in underlying inflation across the states (see page 8). While inflation rates vary across the states, the divergence is largely a housing story. Outside housing, inflation is remarkably similar across jurisdictions, suggesting differences in income growth

Employment-to-population ratios



and demand are being accommodated without generating materially different underlying inflation pressures. This points to relatively elastic supply across states that balances out these differences in demand. Housing of course is famously inelastic in terms of supply, explaining the more persistent differences in inflation across states.

What does this mean for the economic outlook across the states?

Reflecting the stronger-than-expected outcome in FY2026, we have revised up our near-term forecasts for growth and inflation, while labour market conditions are also expected to be slightly firmer through 2026. We still expect the underlying growth impulse to moderate compared to 2025, particularly in the consumer-led economies of **NSW and Vic**. However, the consumer slowdown is now likely to be shallower than previously anticipated with a more substantial boost coming from the ongoing business investment upswing.

The data centre and renewable energy investment boom is providing a powerful tailwind to the economy, supporting activity well beyond the projects themselves. While construction remains heavily concentrated in NSW and Vic, a growing pipeline of projects is emerging across Qld, WA, SA and Tas (see pages 8 and 9). For now, Capex expectations

suggest the investment upswing will remain centred on NSW and Vic. The scale of the pipeline, together with larger-than-expected spillovers to the broader economy, underpins our upward revisions to GSP growth in both states in FY2027.

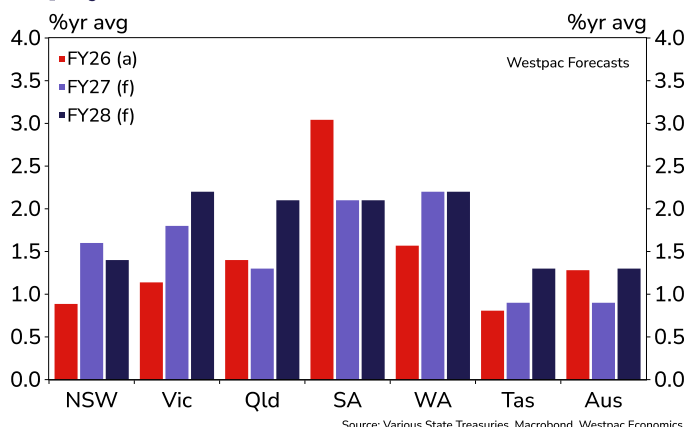
Qld and WA are still expected to lead the pack. Elevated commodity prices are delivering sizeable income windfalls, while solid population growth continues to support domestic demand. In Qld, momentum will be reinforced by Olympics-related infrastructure spending and associated activity. In WA, strong population growth and constrained housing supply should keep dwelling price growth firmer than elsewhere, supporting household spending through wealth effects. The resilience of the WA consumer was evident in the first half of 2026, with spending rising 1.0%qtr in Q2 following a 0.7%qtr gain in Q1.

SA remains the standout surprise. Traditionally a relative underperformer, the state's economy is currently firing on multiple cylinders. Private-sector activity has strengthened, infrastructure and defence spending pipelines remain substantial, and fiscal policy is providing more support than in most other states. Housing approvals are also strong on a per capita basis, suggesting residential construction should contribute positively to growth while helping to ease housing supply pressures over time.

Tas remains the exception. Slower population growth continues to constrain both housing construction and consumer demand, leaving the state more exposed to the broader economic slowdown and limiting its capacity to benefit from the investment upswing seen elsewhere. That said, the picture is more encouraging in per capita terms, with activity strengthening over the past year despite subdued aggregate growth.

Looking further ahead, as inflation returns to target and interest rates begin to ease from late 2027, household spending should gradually recover. As consumer demand strengthens, growth differentials across the states are likely to narrow, with economic performance beginning to converge once again.

Employment



Beyond housing, underlying inflation ...

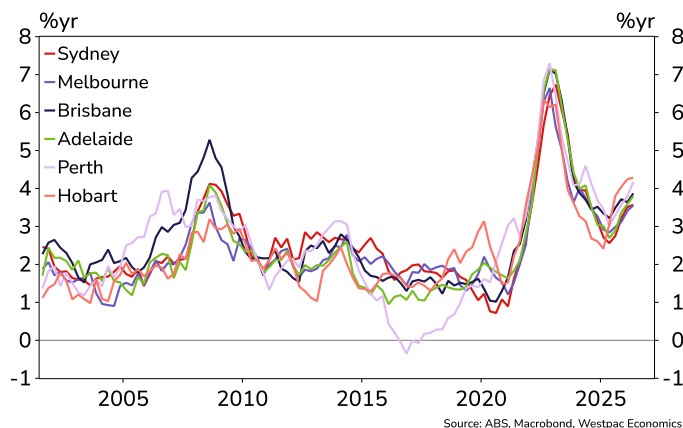
Pat Bustamante, Senior Economist
Neha Sharma, Economist

As our Coast to Coast report has highlighted over the years, economic conditions can vary significantly across states. However, many of these differences narrow over time, partly as associated price and wage differences encourage individuals and businesses to adjust. That process can differ depending on the exact nature of imbalances across states. Here we take a closer look at how inflation has behaved across states, where gaps have emerged in the past and where they have tended to be more material and persistent. This, in turn, may provide some clues about the drivers of cycles in underlying inflation nationally.

A difficulty with this comparison is that headline inflation measures are heavily distorted by state specific government policy. Cost-of-living measures, including energy rebates and housing-related interventions, have had a significant influence on CPI outcomes in recent years. To look through these effects, we construct state-level measures of underlying inflation, including a housing-adjusted trimmed mean that excludes new dwelling purchase costs, rents and property rates.

The chart below shows our estimates of **trimmed mean inflation** across the capital cities (which we use as proxies for states). They reveal significant differences in underlying inflation over time. The clearest sustained differences are around the surge in inflation in WA and Qld in the initial stages of the mining boom of the mid-2000s, and the subsequent period of markedly lower inflation (including a brief period of deflation) in WA during the mid-2010s. However, divergences have generally been short-lived, with state inflation outcomes eventually converging towards the national pulse.

Trimmed mean inflation

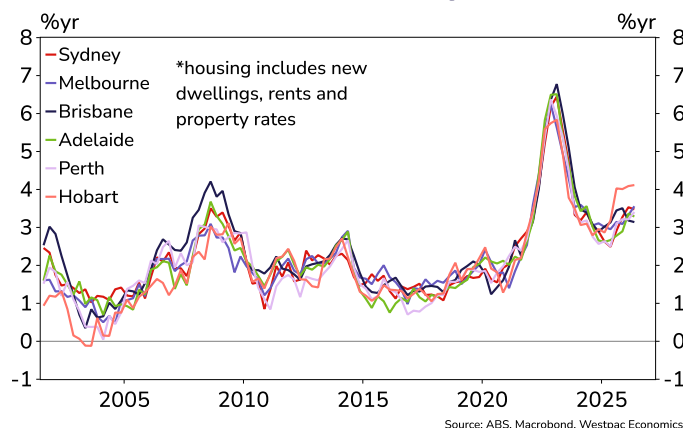


For the most recent periods, the trimmed mean measures effectively strip out the noise coming from cost-of-living measures (as per the national measure). The state TMs show underlying inflation has accelerated across all jurisdictions. But there are some significant variations with Vic recording the lowest rate of underlying inflation (3.6%yr) in Q2 and Tas the highest (4.3%yr).

Much of this remaining variation comes from housing-related components (new dwellings, rents and property rates). Indeed, we estimate that these components account for around 50% of the underlying inflation gap between states since 2000, and over 60% of the gap during the mining boom.

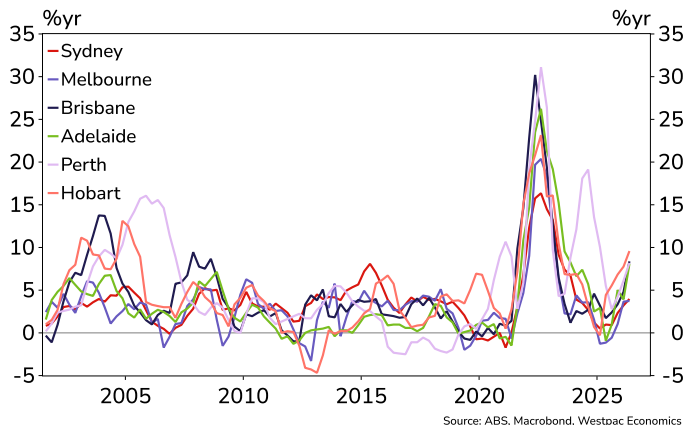
We can see this visually by stripping out housing components from our TM measures. As the chart below shows, the difference across states largely disappears when we look at underlying inflation (ex-housing).

Trimmed mean inflation ex housing*



Importantly, these results provide valuable clues about the drivers of inflation, both today and into the future. Despite substantial variation in economic conditions, income growth and labour market outcomes across states, underlying inflation excluding housing has remained remarkably similar across state. This suggests that, outside the housing sector, supply is generally able to adjust to variations in demand across states relatively quickly, 'equalising' the impact on price inflation.

New dwelling purchase inflation



... is remarkably similar

Clues from the mining investment cycle?

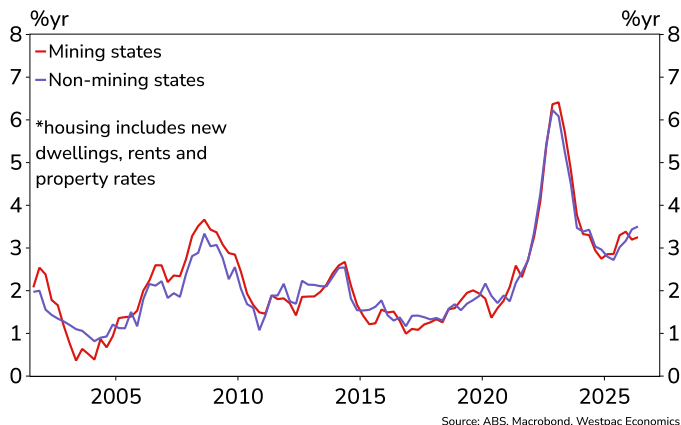
Why would state variations in housing costs be more persistent? The mining investment cycle may offer some insights here.

The boom phase of the mining investment cycle saw dramatic rises in commodity prices in its early stages with windfall gains for miners, some of which passed on to household and government incomes (including via share holdings). As the surge in investment mobilised, supply constraints started to emerge, particularly in the construction sector. Notably, differences in wage inflation (and unit labour costs) between the mining and non-mining states are somewhat starker and more sustained than for broader inflation. The stronger employment and wage gains added to the state wedge in household income growth. However, it also drew a supply response. Surging international and inter-state migration flows saw population growth hit 3.5%yr in WA with labour supply also significantly augmented by the use of 'fly-in-fly-out' workers travelling inter-state.

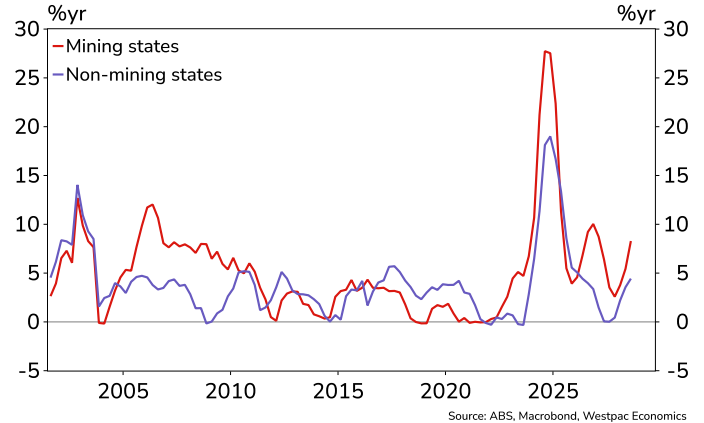
For housing, the situation is more difficult. Supply responses are slow at the best of times but faced intense competition for inputs from mining-related activity, particularly labour but also some locally-sourced material inputs. Meanwhile the population shift was pumping up housing demand. Perth's rental vacancy rate, which was around 4% coming into the boom, dropped to just 1.4% by 2007. With incomes also rising, the combination saw both the city's rents and established dwelling prices surge at a strong double-digit growth rate that lasted the best part of five years.

These dynamics reverse during the downturn phase of the cycle. And again, the effects can be more lasting for housing-related costs, as the turnaround in migration flows and a lagged rise in housing supply amplifies the income effects from the investment wind down.

Mining vs non-mining: TM inflation ex housing*



Mining vs non-mining: new dwelling inflation



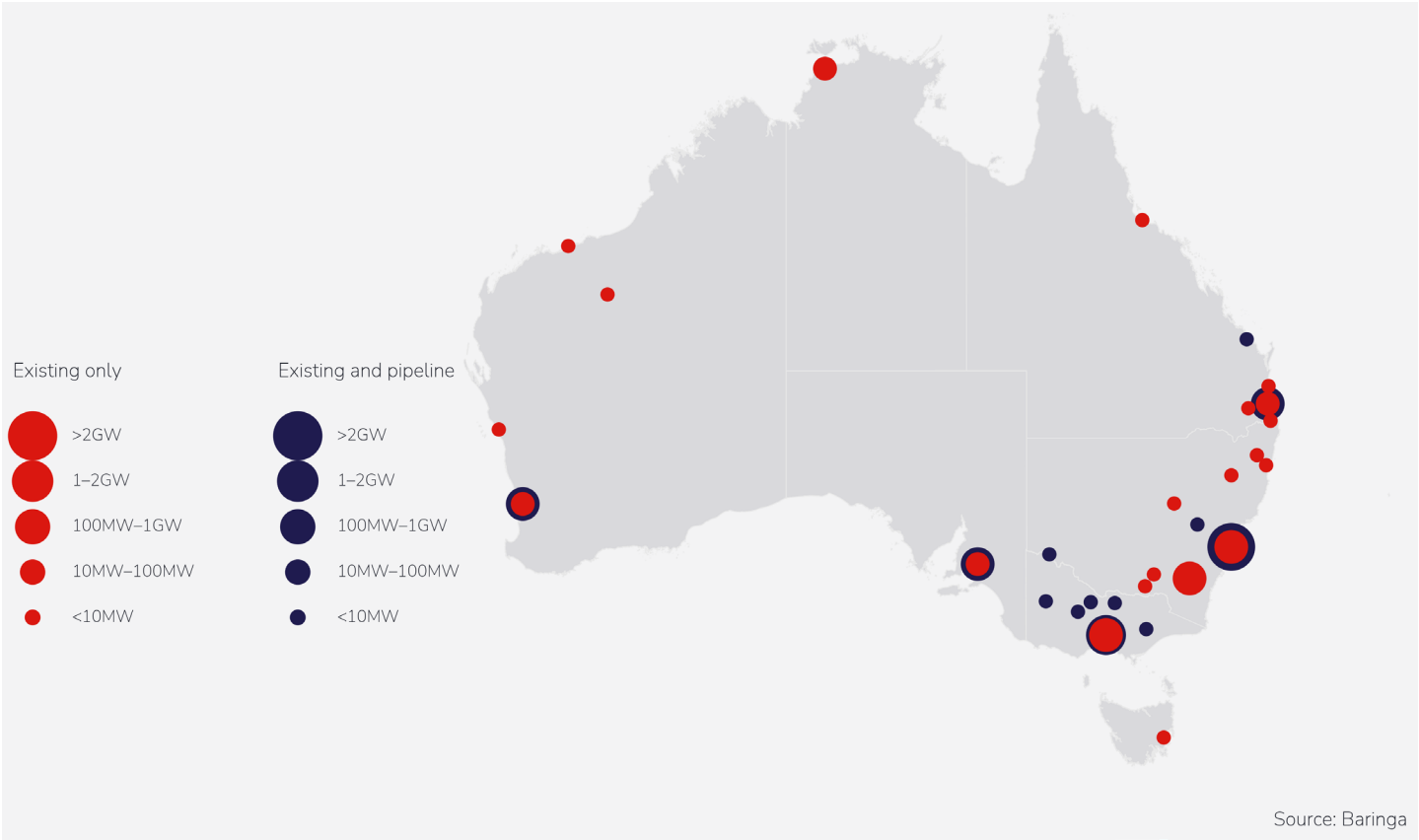
Fast forward to today

As data centre and renewable energy investment accelerates, the key inflation risk may not be stronger demand itself but the extent to which it spills over to the construction side of the housing sector. The data centre and renewables boom has a very different geographic pattern that suggests population shifts are unlikely to present the same challenges they did during the mining boom. It is also unlikely to draw in international migrants in the way the mining boom did either.

However, the competition for labour and locally-sourced construction materials will be the key factor. And construction capacity, labour and housing supply are all coming into this cycle from a tighter starting point than in the early 2000s, suggesting even modest increases in demand for construction services could generate a significant inflationary impulse.

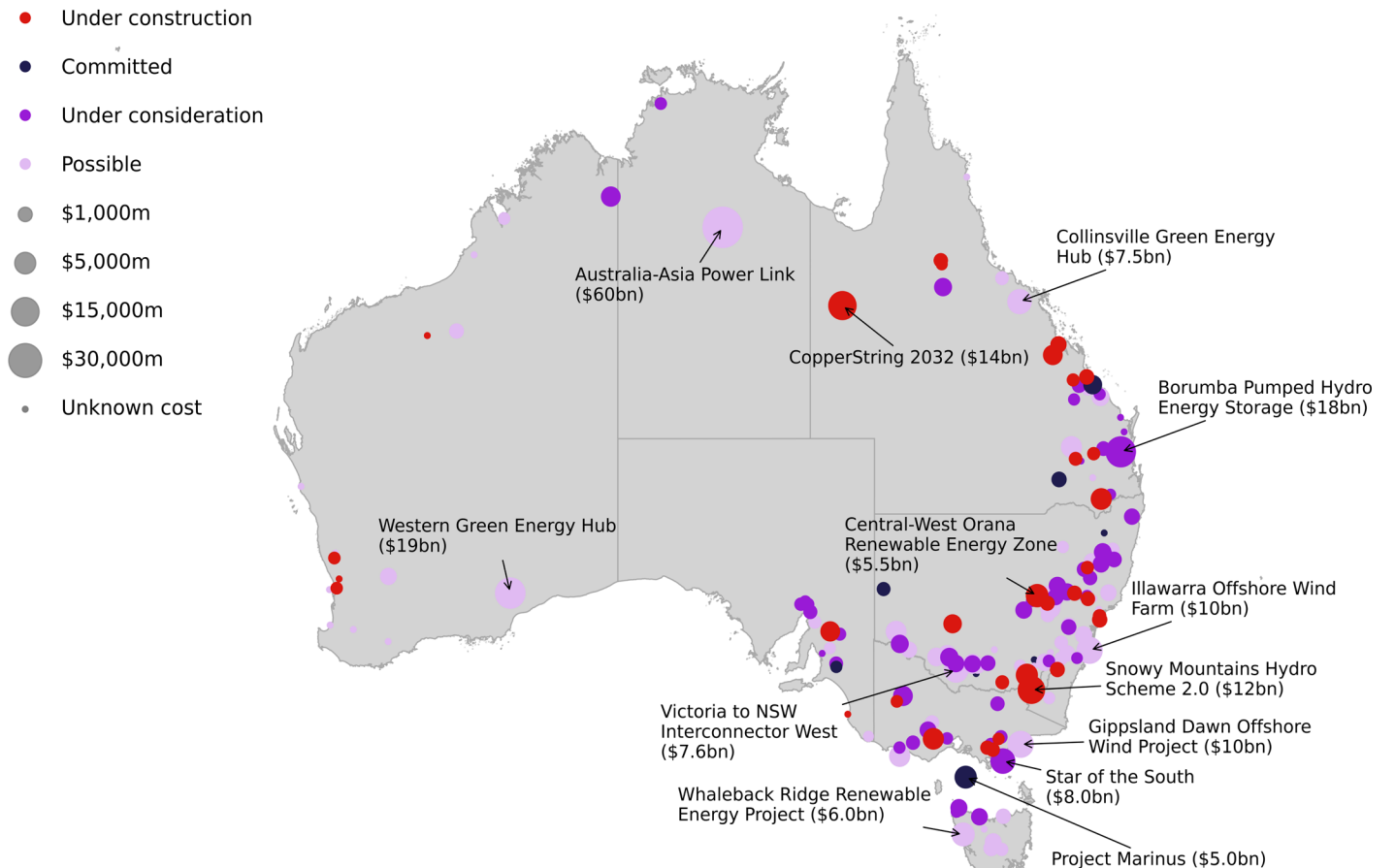
While that leaves some open questions, the general takeaway from this analysis of state inflation trends is that housing-related components of the CPI are the ones to keep an eye on when assessing how these developments may be influencing underlying inflation trends.

Data centre investment ramps up



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Record high renewables pipeline across Australia



Source: Deloitte Investment Monitor, Westpac Economics

Business investment boom helps offset ...

Neha Sharma
Economist

How has the state performed? NSW's strong start to the year lost momentum in Q2, with state final demand flat over the quarter. Even so, annual growth remains solid at 3.5%, narrowly trailing Qld and WA. On a per capita basis, NSW led the nation, with demand up 2.0% over the year. Growth remains heavily skewed towards the private sector. New private demand rose 0.1%qtr and 4.6%yr, accounting for over 90% of total state final demand. Both the pace of annual growth and private demand's share of the economy are the strongest nationally. In contrast, new public demand fell for a second straight quarter, down 0.3%qtr, leaving annual growth at just 0.6%yr, the weakest of the mainland states.

A key stat that tells the story. Household consumption rose just 0.3%qtr and 1.6%yr, the second slowest pace nationally behind Vic. While a warmer winter weighed on spending, with electricity expenditure down 6.1%qtr, the broader story is that higher interest rates are hitting one of the most interest rate sensitive states. Reflecting this, NSW consumers have recorded the sharpest deterioration in assessments of current family finances over the past year. Yet confidence about the future remains surprisingly resilient, being the only state where consumers remain outright optimistic about family finances over the year ahead. That optimism may reflect a relatively strong labour market, with unemployment up only modestly this year and employment growth the strongest in the nation and continuing to trend higher.

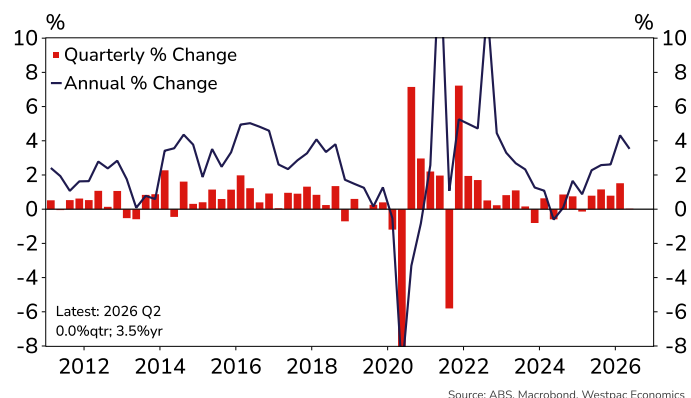
What has surprised? For NSW, there was a risk that business investment would falter after the data centre-related surge in Q1. Instead, investment held its ground, recording a small 0.1%qtr rise to be up 19%yr. While new M&E investment eased as expected, this was offset by solid gains in infrastructure and non-residential construction activity. Annual growth across all three components remains in double digits, underscoring the breadth of investment momentum across the state.

How can things improve? The challenge remains converting the investment boom into stronger productivity growth and, ultimately, higher wages and living standards. Unlike the mining boom, the productivity gains from AI-related investment could emerge more quickly. But realising those gains will depend on how effectively businesses embed these technologies into their operations and workflows.

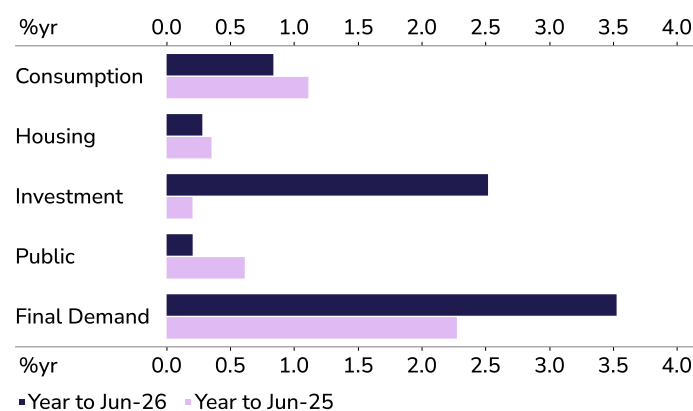
What are we expecting? We have upgraded our GSP growth forecast for FY26 to 2.1% (+0.2ppts) and to 1.5% (+0.6ppts) for FY27. The upward revision reflects greater resilience of the consumers and the state economy in light of higher interest rates and a more pronounced downturn in its housing market, as well as the solid pipeline of AI and energy infrastructure works which totals around \$30bn, with an additional \$60bn of projects under consideration. However, this boom is also likely to place some near-term pressure on inflation.

NSW State Final Demand

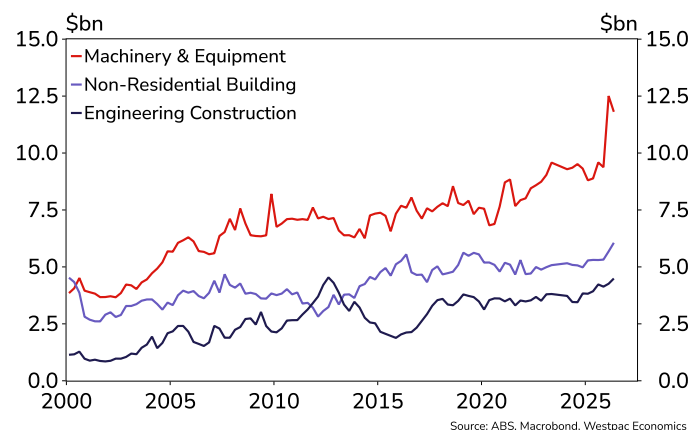
Chain Volume Measures



NSW: contributions to state final demand

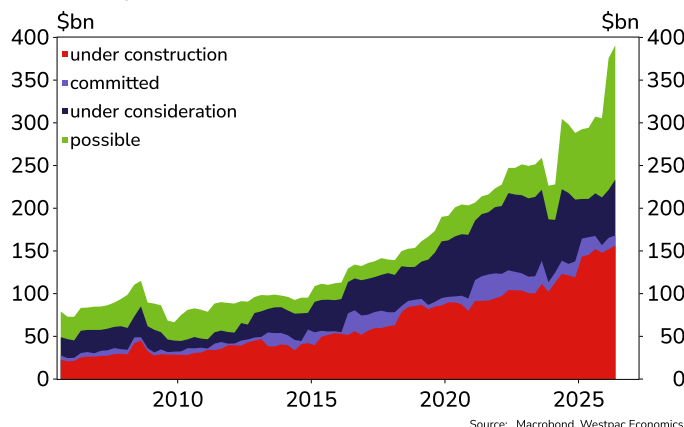


Level of investment remains solid

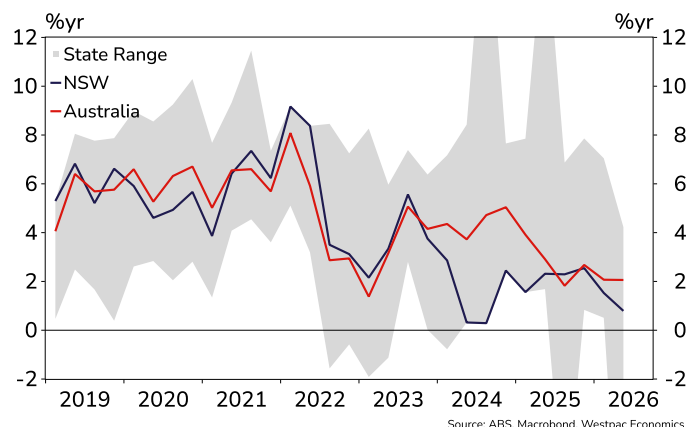


... weakness elsewhere

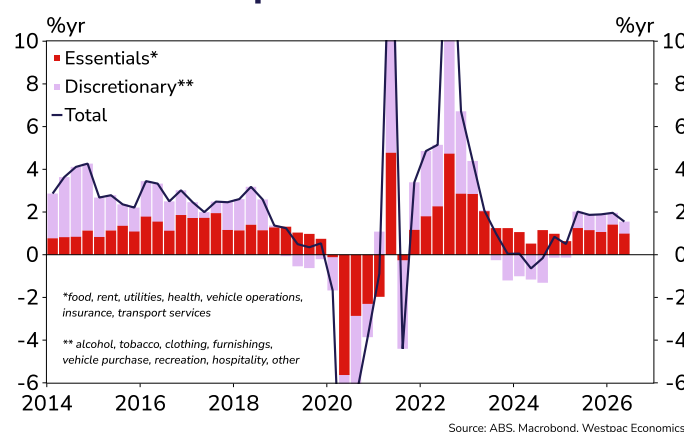
NSW: project pipeline



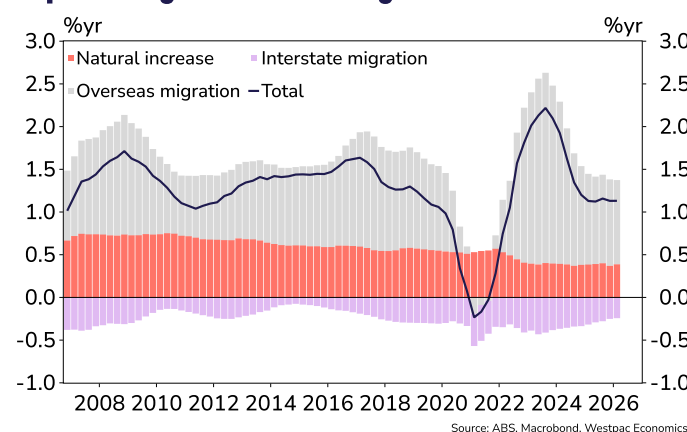
Public demand continues to slow



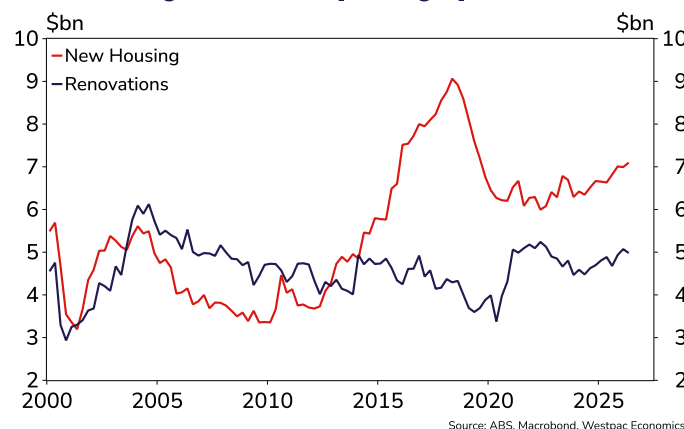
Household consumption



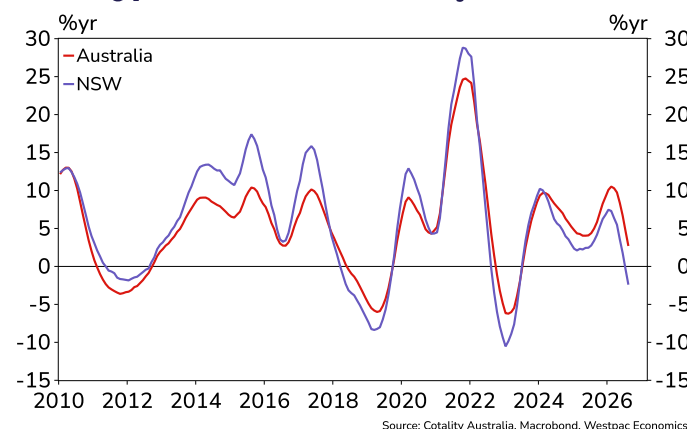
Population growth stabilising



New housing investment picking-up



Dwelling price downturn underway



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Extended period of stagnation ...

Matt Hassan

Head of Australian Macro-forecasting

How has the state performed? The Vic economy has been notably weaker than other states over the last year, particularly when viewed against the state's slightly stronger population growth. GSP growth looks to have been basically flat in per capita terms over 2025-26 compared to the 0.8%yr GDP growth seen nationally. State final demand contracted 0.3% in Q2, slowing annual growth to 2.9%yr, also below the national average. Consumption stalled about flat in the quarter while business investment unwound a big data-centre-driven surge in Q1. Vic's housing sector has also been a persistent underperformer, the latest correction means Melbourne prices have now seen no net change since early 2021. Public demand has been mixed, growth still positive overall but slowing with a gradual roll-off in major transport infrastructure projects continuing and set to be multi-year drag through to at least the end of the decade. Notably, the state elections on November 28 could see some change with the Coalition opposition currently leading in polls but a minority or hung parliament result looking likely.

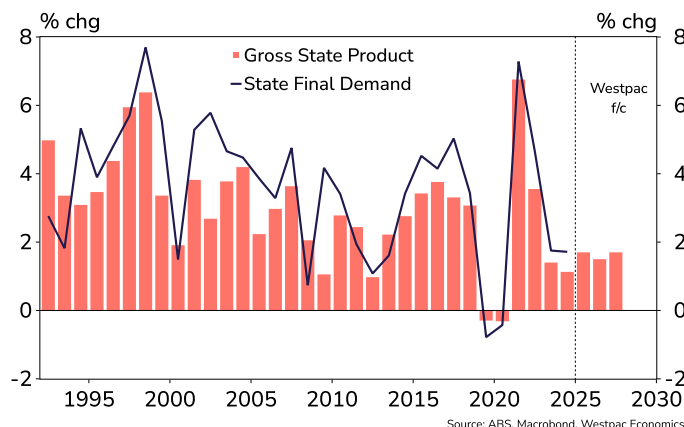
A key stat that tells the story. At 5.1%, Vic's unemployment rate is about 1ppt higher than the other major states – a wedge that has been in place for over two years now. Notably, unemployment in Vic is now higher than it was just prior to the pandemic. This is in stark contrast to the rest of the nation where unemployment rates are still more 0.5ppt or more below pre-pandemic levels.

What has surprised? Part of Vic's recent underperformance is due to international trade with the state's export volumes declining 1.6% over the year to June compared to a 3.5% gain over the rest of Aus. Service exports, which include both tourism and education, have been particularly weak, down 8.1%yr. Data on foreign student numbers show total enrolments in Vic down 7-8%yr led by a 20% drop in non higher education (higher education enrolments up 14% over the same period).

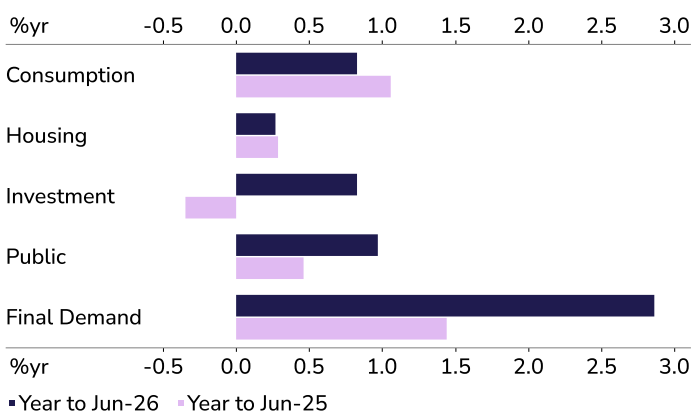
How can things improve? The main near term opportunity for Vic continues to be around capitalising on the strong upturn in business investment. The rise has yet to translate into stronger gains across the wider state economy. Further out, Vic's housing sector is a little better placed insofar as affordability is less stretched than in other states. That could see a base and recovery form a little more quickly although for now momentum remains firmly negative.

What are we expecting? We expect GSP growth to come in at 1.7%yr in 2025/26, a slight downgrade on the 2%yr estimate in our last report. Growth is still expected to slow in 2026/27 but to a milder 1.5%yr pace compared to previous forecast of just 0.9%yr. That still means essentially flat growth in per capita terms.

Vic Gross State Product & Final Demand

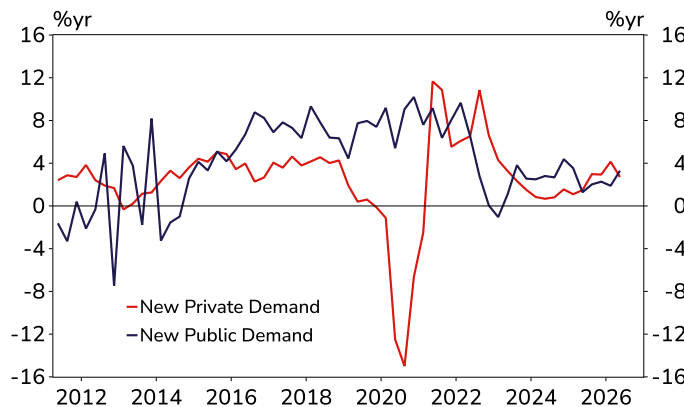


Vic: contributions to state final demand



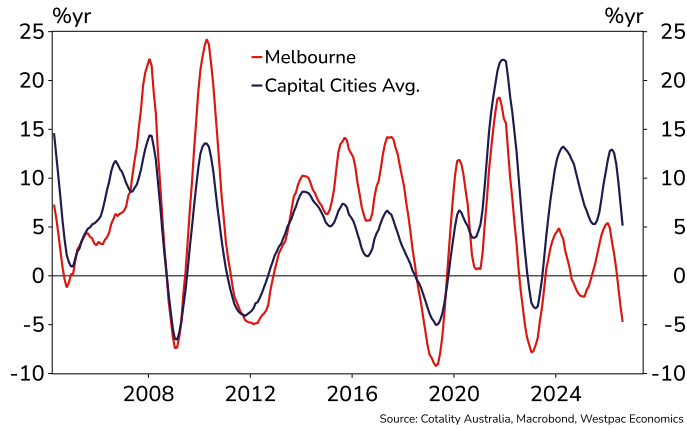
Source: ABS, Macrobond, Westpac Economics

Vic public and private demand

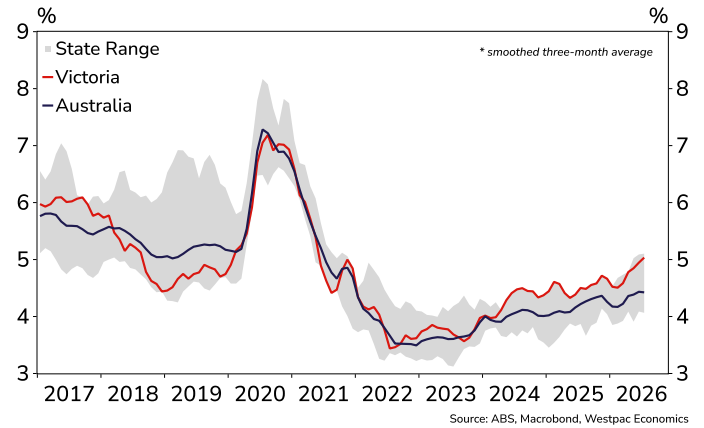


... but with business investment a positive

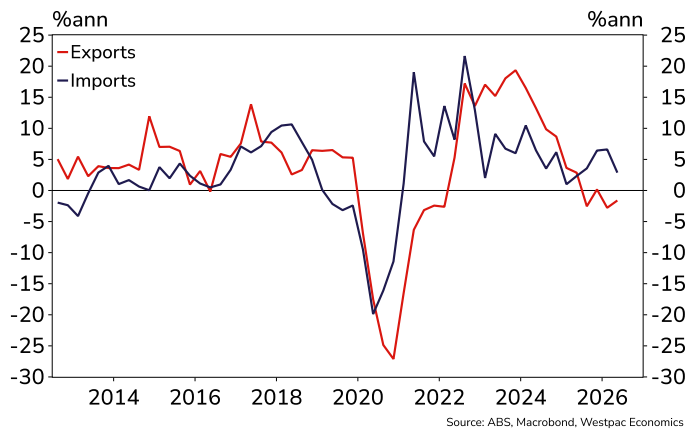
House prices gapping lower in Melbourne



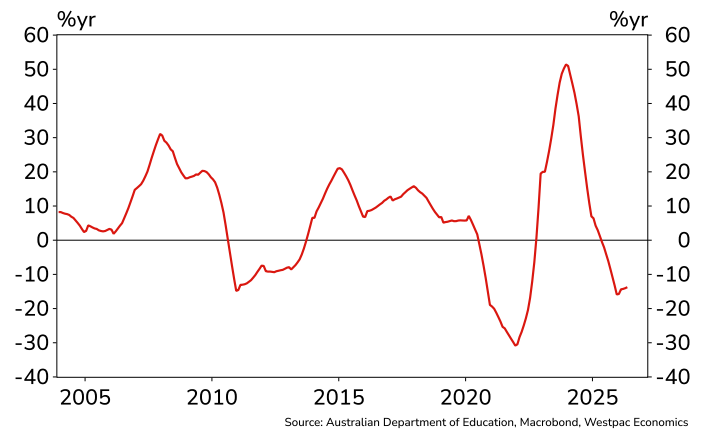
Wedge between Vic and Aus unemployment rates



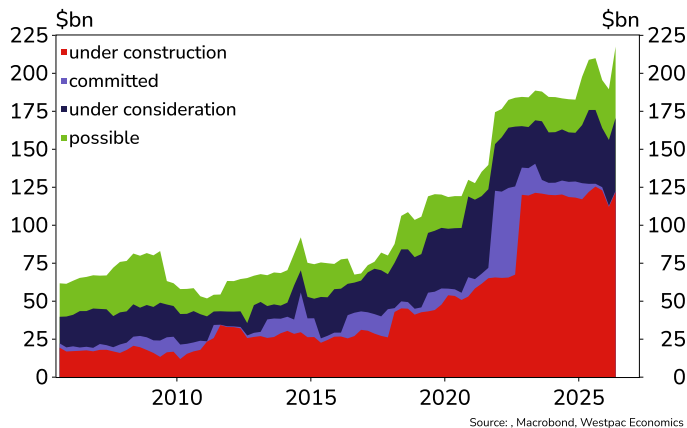
Victoria's international trade



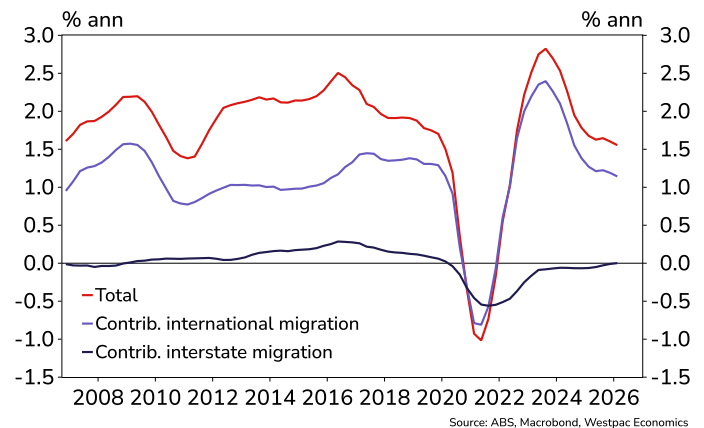
Vic international student commencements



Vic: project pipeline



Population growth



Private investment jumps ...

Ryan Wells
Economist

How has the state performed? Qld built on its solid start to the year with a bumper 1.1% lift in state final demand, pulling annual growth up to 3.8%yr, the fastest pace across the states and back around its own historic average (3.9%yr).

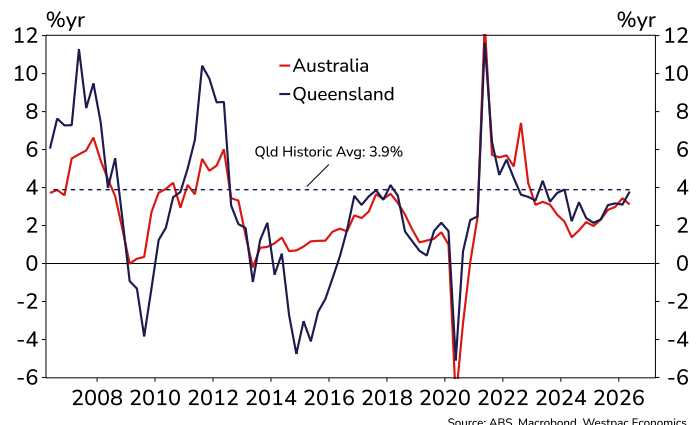
A key stat that tells the story. At 11.7%yr, growth in private investment is running at a very strong pace, well above the national average (9.1%yr) and second only to NSW, which was at the epicentre of the surge in data centre related investment earlier in the year. The scale and breadth of Qld's investment pulse is a clear sign that the handover of growth from the public to private sector has occurred without major hiccups.

What has surprised? One of the key parts of the investment story in Qld is housing, where the upswing has advanced to a 17%yr pace, nearly three times the national average pace. This outperformance has lasted for a number of quarters, buoyed by a robust pipeline of residential projects. The surprising feature is that this strength has managed to kick into a higher gear despite higher interest rates, elevated costs and ongoing local capacity constraints associated with the 2032 Olympics and Queensland's sizeable infrastructure pipeline.

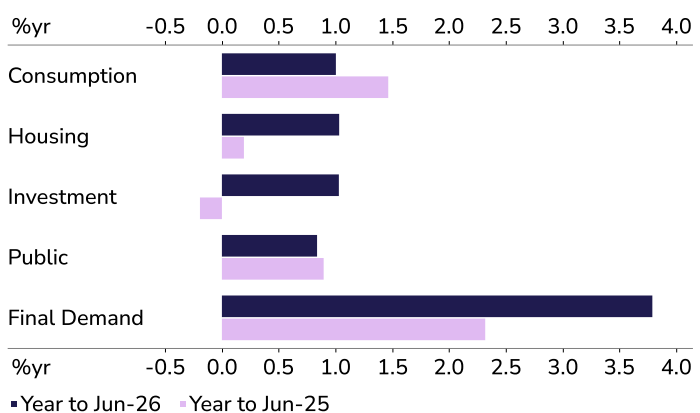
How can things improve? Recently, Qld's unemployment rate has fallen to the lowest across the states, while the national unemployment rate has continued to tick higher. Qld also has the second-highest vacancy-to-unemployment rate across the country (behind WA), highlighting the tightness in Qld's labour market at present. This has occurred against a backdrop of weaker labour supply – the participation rate fell sharply over the second half of last year, and it has only recovered some of that decline so far this year. An improvement in labour supply would go some way to alleviating the state's capacity constraints.

What are we expecting? We remain positive on Qld's growth prospects. GSP is forecast to lift 2.0% in FY27 and hold at this level in FY28, underscored by solid population growth and a robust labour market, with employment expected to grow by 1.3% in FY27 and 2.1% in FY28. However, it is important emphasise the role of population growth, with GSP on a per capita basis expected to rise slightly in FY27 (0.3%) and increase further in FY28 (0.7%). The current investment-led pulse is an encouraging development, and given Qld's state budget earlier this year earmarked further significant spending on critical infrastructure, this will only add to the large number of infrastructure/dwelling projects already in the pipeline, including Olympics-related spending. This bodes well for growth over the medium-term, but a key risk still lies in the ability to deliver on these ambitious programs amid capacity constraints and elevated costs in the construction sector. The upshot could be above-average localised inflation pressures.

State final demand: Qld vs Australia

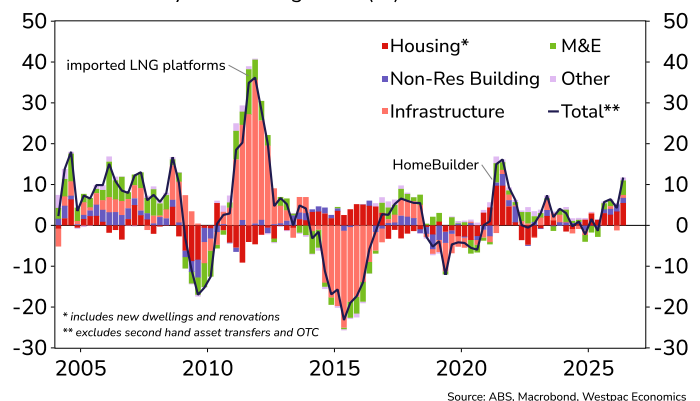


Qld: contributions to state final demand



Qld private investment

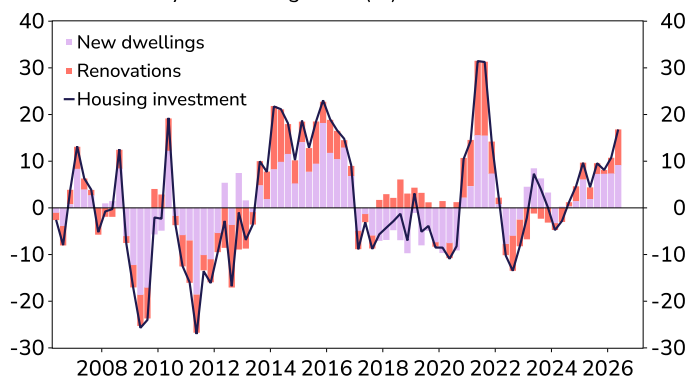
Contributions to year-ended growth (%)



... as labour market tightens

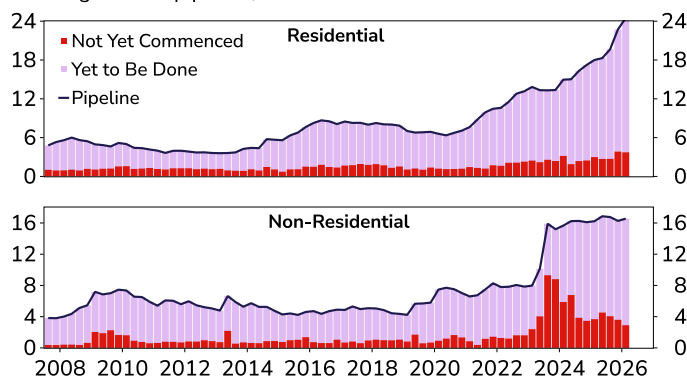
Qld renovation activity adds to new dwelling pulse

Contributions to year-ended growth (%)

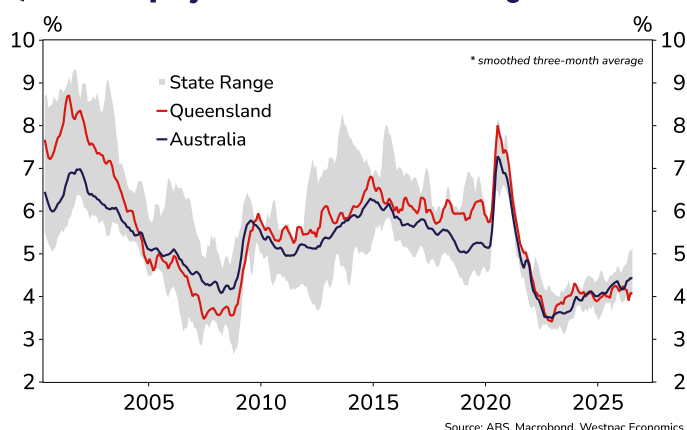


Healthy pipeline will lend support

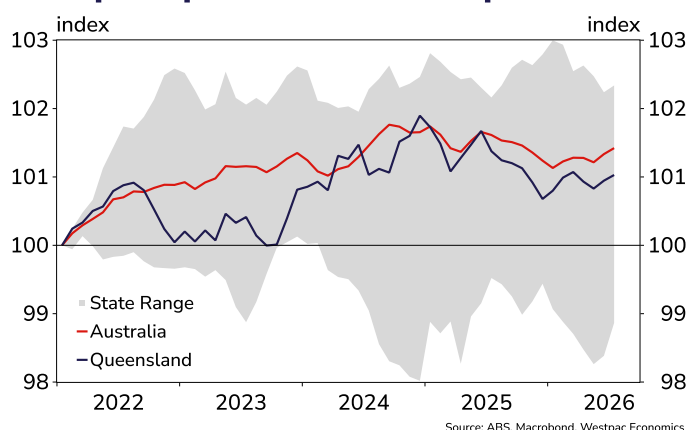
Building work in pipeline, AUDbn



Qld's unemployment rate lowest among states ...

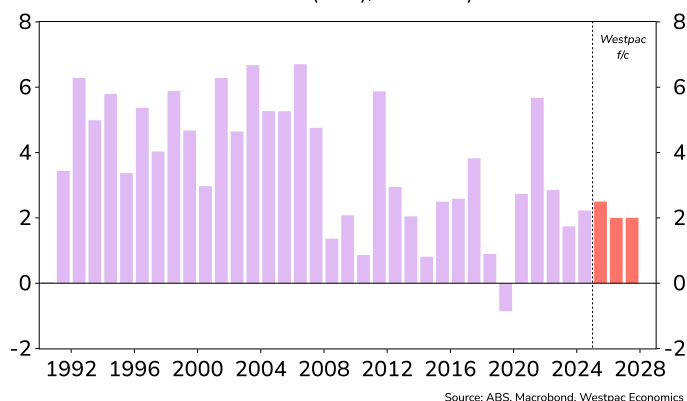


... but participation has been softer post-COVID

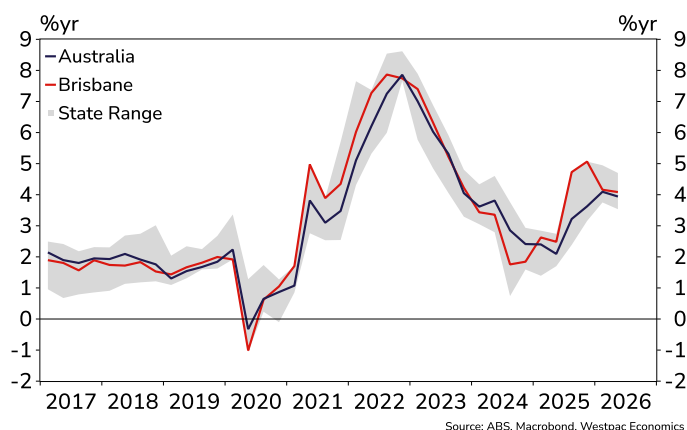


Qld economic outlook

Growth in Gross State Product (GSP), financial years



A sustained lift in inflation could be a headwind



Resilient domestic economy underpins activity ...

Luka Belobrajdic
Economist

How has the state performed? State final demand grew a solid 1.0%qtr in Q2, lifting annual growth to 3.6%yr. Growth was broad-based, with household consumption rising 1.0%qtr, the strongest result among the states, although annual growth eased to 2.4%yr. Momentum in private investment moderated to 1.1%qtr, as a lift in new business investment (+2.2%qtr) was partly offset by a decline in dwelling investment (–1.0%qtr). Even so, dwelling investment remained firmly positive in year-ended terms (+7.4%yr). New public demand recovered last quarter's decline, up 0.7%qtr, led by government consumption (+1.6%qtr), while new public investment fell –3.4%qtr.

A key stat that tells the story: The resilience of WA's domestic economy can largely be attributed to the strength of its labour market. Despite population growth of 2.2%yr, the fastest in the country, WA's employment-to-population ratio remains the highest nationally at 65.0%, while the unemployment rate on a three-month average basis remains marginally below the national average at 4.4%. The state's ability to absorb a rapidly expanding population without a material loosening in labour market conditions highlights the strength of labour demand across the economy and has supported wage growth (3.3%yr in Q2), household consumption and housing demand.

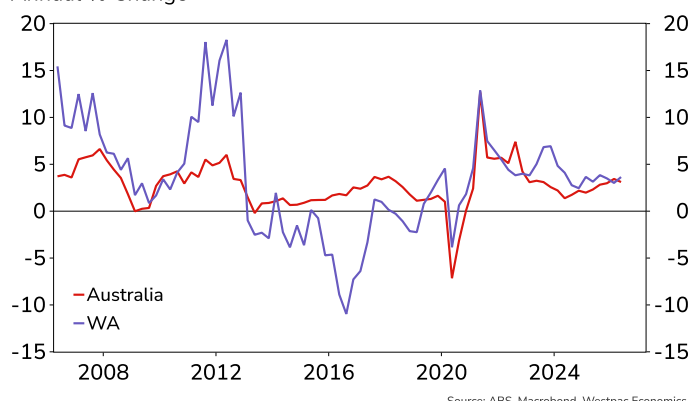
What has surprised? Despite the resilience of the WA economy, headline inflation eased to 4.0%yr in Q2, just 0.1ppt above the national rate and well below the 0.8ppt premium recorded in Q1. While encouraging, trimmed mean inflation remains elevated at 4.2%yr, suggesting underlying price pressures remain stronger than the headline measure implies.

How can things improve? While business investment remains solid, growing 4.5%yr, WA has attracted comparatively less of the data-centre and related digital infrastructure investment that has supported activity elsewhere. Leveraging the state's abundant energy resources and expanding renewables base to attract a greater share of these projects would broaden the private investment mix beyond mining and housing, and provide an additional source of productivity-enhancing investment.

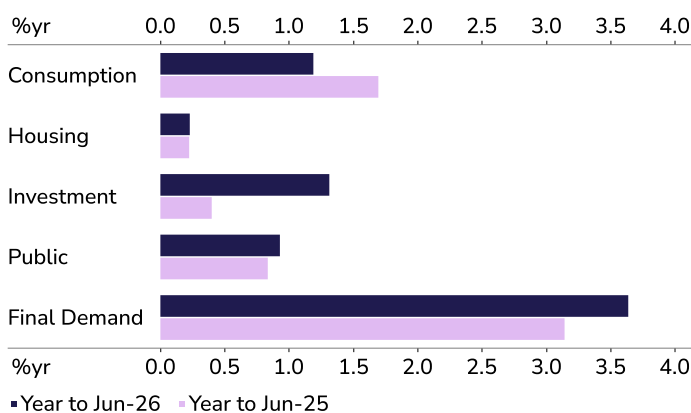
Where are we expecting? We estimate GSP to have grown 2.4%yr in FY26. The result reflects broad-based strength across the domestic economy and the re-emergence of mining as a key growth driver. Elevated commodity prices through the first half of 2026 supported both investment and exports, particularly for gold and LNG, while a recovery in iron ore export volumes in Q2 following earlier weather disruptions provided an additional boost to activity. Growth is forecast to slow to 1.9%yr in FY27, and maintain at this level into FY28 as commodity-price tailwinds fade and elevated interest rates continue to weigh on activity. Even so, a resilient household sector should continue to support domestic demand, underpinned by solid average wage growth of 3.7%yr since 2022, a robust labour market and strong population growth. The trade-off is that rapid population growth is likely to see aggregate growth outpace gains on a per capita basis.

State Final Demand

Annual % Change

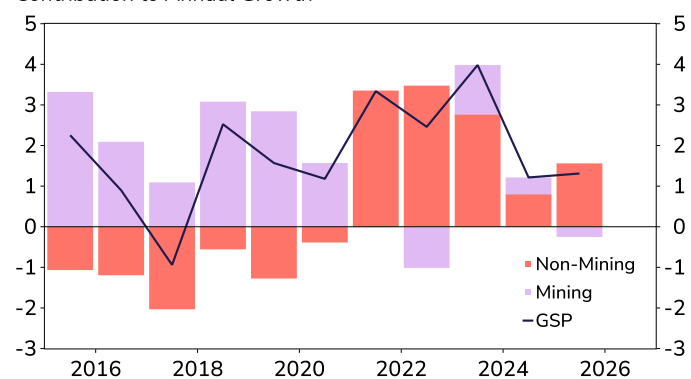


WA: contributions to state final demand



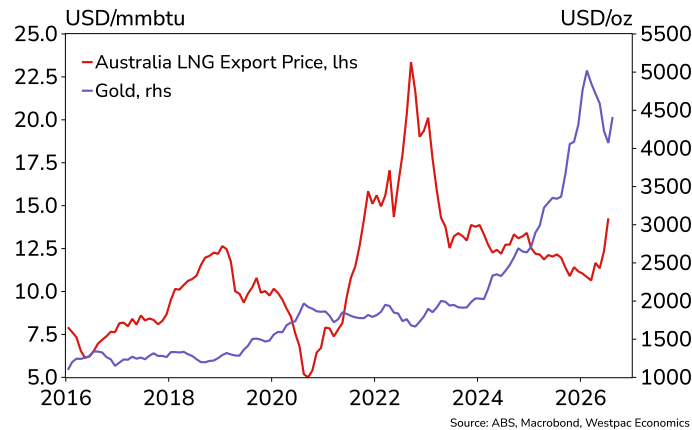
WA Gross State Product

Contribution to Annual Growth

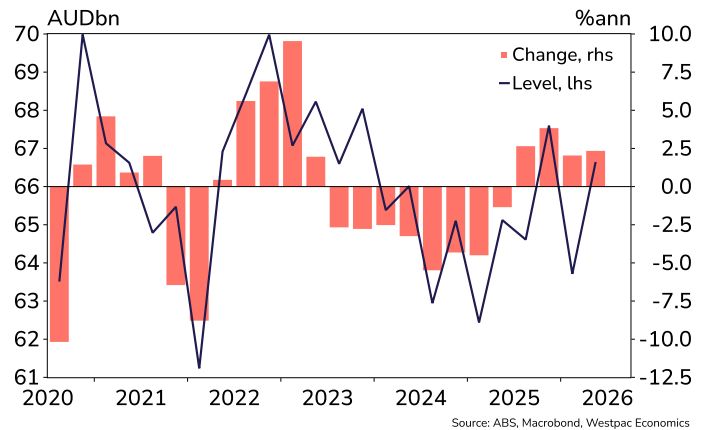


... while mining adds further momentum

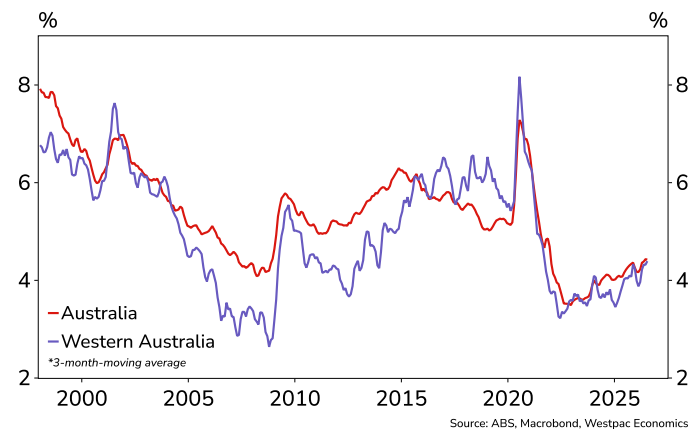
Key commodity prices have risen over FY26...



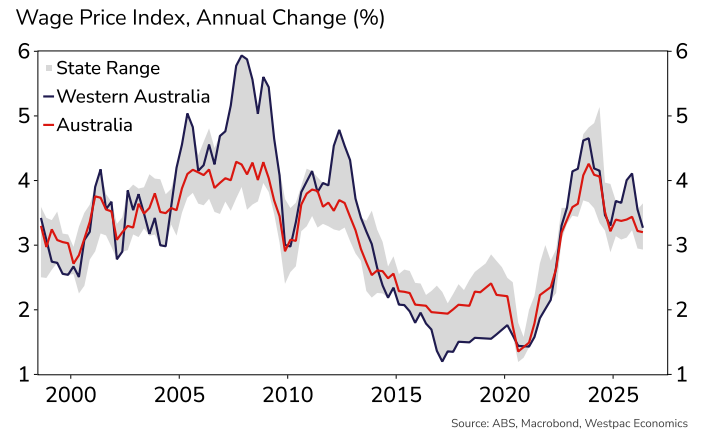
...supporting export growth



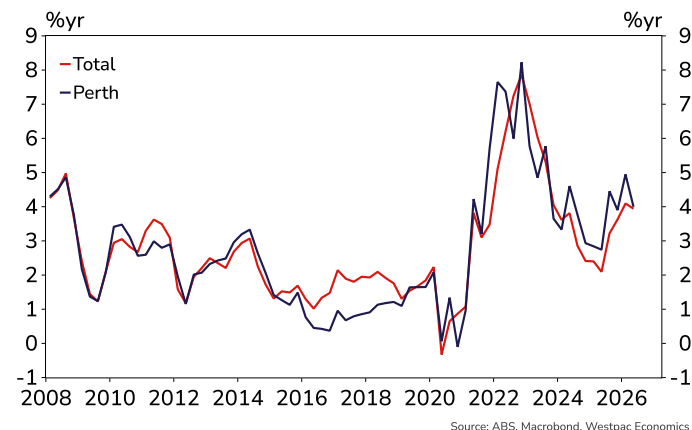
Unemployment remains below the national average



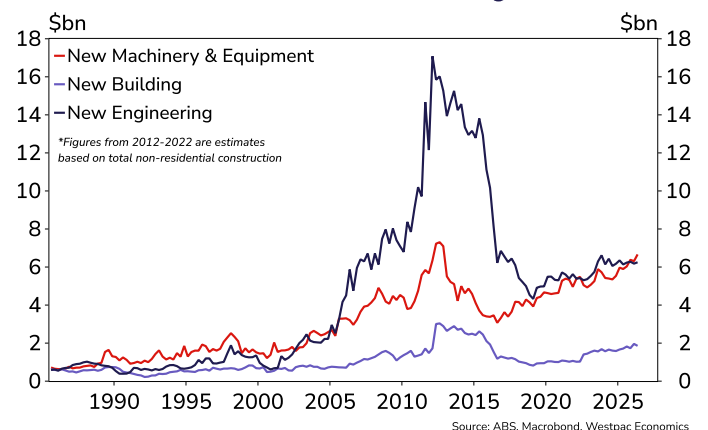
Wage growth remains solid



Perth headline inflation has softened



New M&E drive business investment growth



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Growth hiccups ...

Ryan Wells
Economist

How has the state performed? South Australia's slowing in growth momentum at the start of the year has extended into Q2, with state final demand holding flat, pulling the annual growth rate down from 3.6%yr to 2.8%yr, now in line with the state's historic average. This follows an extended period of outperformance relative to other states over recent years, suggesting momentum is normalising.

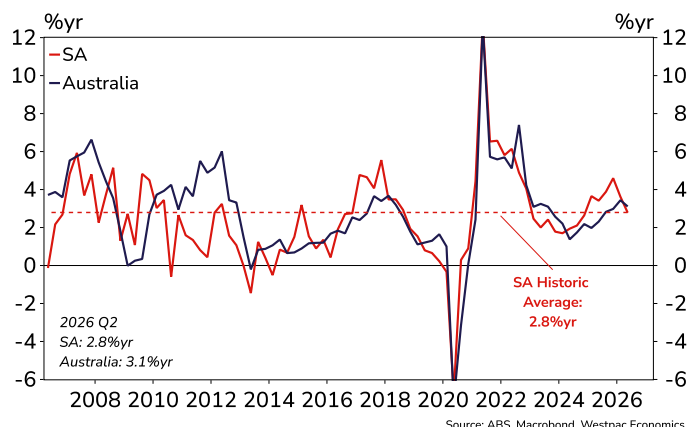
A key stat that tells the story. One of the main drivers of recent softness was a -1.6% fall in new public demand in Q2, a sharp and somewhat sudden decline, and the first fall in this segment in nearly four years. While we have long emphasised the slowdown in public demand nationally, SA had bucked this wider trend to date. However, the detail is not yet fully convincing that this will give way to a sustained downtrend. This is because the recent pull-back in new public demand in SA was centred on a one-off decline in public consumption, whereas new public investment – which has been at epicentre of the slowdown nationally – is running at a 17%yr, putting SA in a league of its own relative to the national average (1.3%yr).

What has surprised? On the surface, the recent pull-back in SA's employment growth gives the impression of a weaker labour market. This is a surprise given the labour market lags the broader economy, and SA's economy has been resoundingly strong over recent years. However, this may be explained by nuances in the data – while *employment* growth has indeed dropped from around 4%yr to 1%yr so far this year, *jobs* growth has actually edged higher. Strength in multiple job holdings and differences in scope may explain this contrast, and to the extent that SA's unemployment rate remains below the national average, the slowdown in headline employment growth may not be a significant concern at this stage, but it should be closely watched.

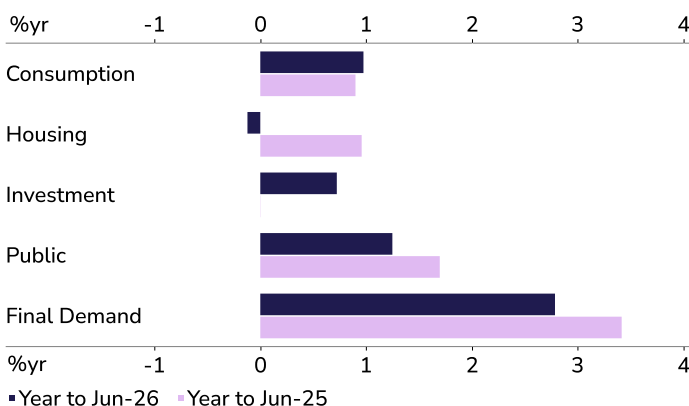
How can things improve? The main expenditure segment in SA that is lagging is new business investment. This is not to say it isn't robust – at 6.9%yr, it is running at a solid clip, and while it is understandably slower than in NSW and Vic (which are benefiting more from data centres at present), it still falls a bit short of Qld and WA.

What are we expecting? Growth is expected to follow a similar contour to the national picture but from a stronger starting point, with GSP forecast to expand by 1.8% in FY27 and 1.7% in FY28, consistent with outperformance on a per capita basis. Despite recent resilience, some cooling in the *growth rate* of new public investment is to be expected, while large existing projects maintain a solid *level* of investment. At the same time, the private sector will continue to feel the squeeze from high inflation and higher interest rates near-term. Looking further ahead, the SA's robust renewable energy infrastructure positions the state well to benefit from a strong pipeline of possible data centre investments in due course.

State final demand: SA vs Australia

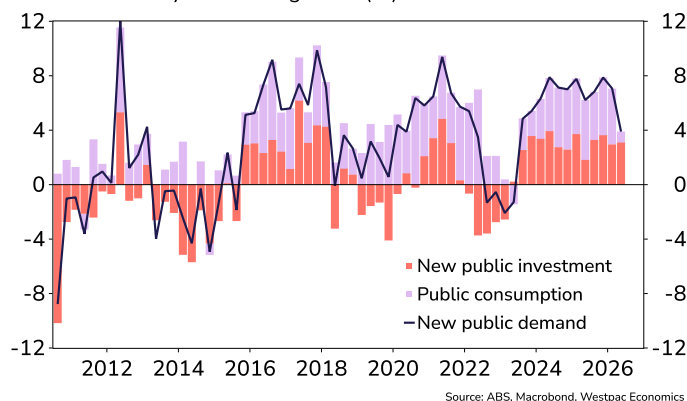


SA: contributions to state final demand



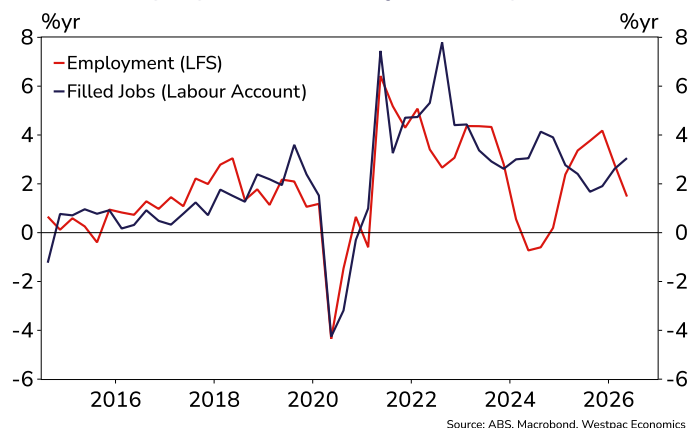
Public consumption falls, public investment stable

Contributions to year-ended growth (%)

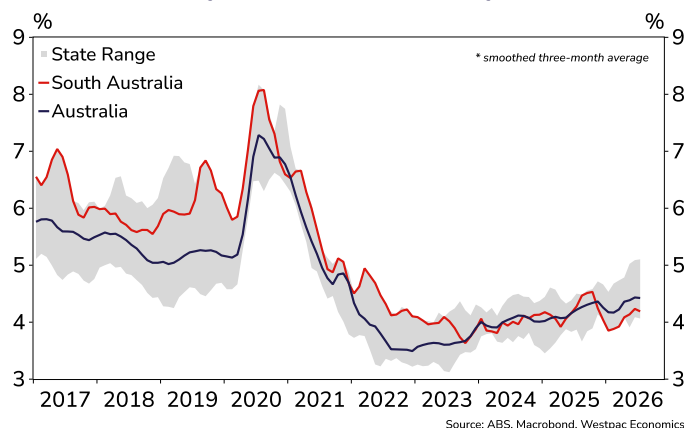


... raise questions

Contrasting signals on employment vs jobs ...

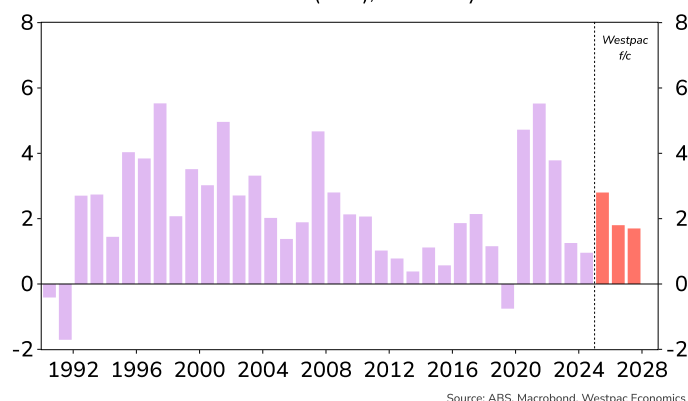


... but unemployment rate is still very low



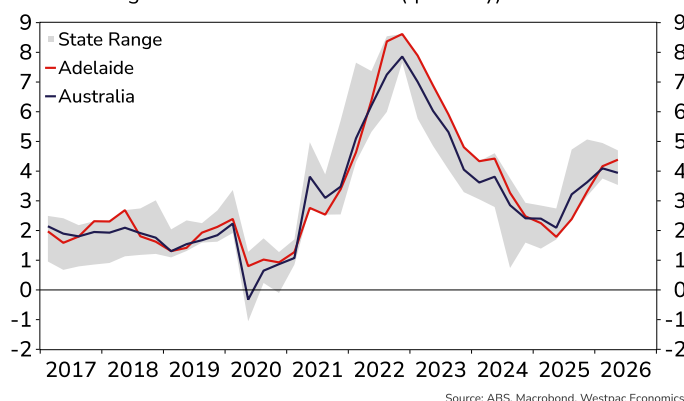
Economic outlook promising, despite challenges

Growth in Gross State Product (GSP), financial years

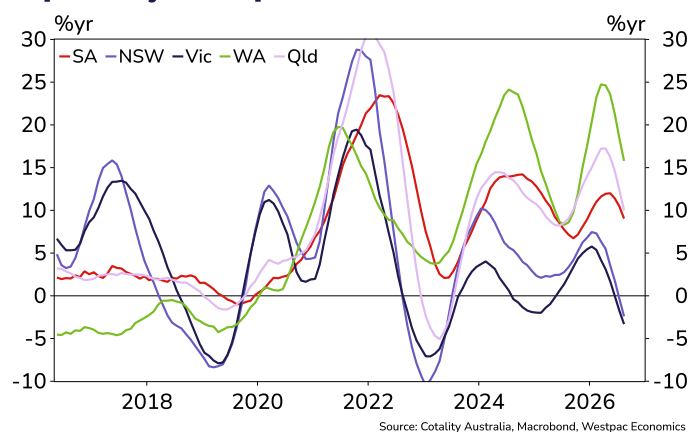


Inflation pressures closely watched

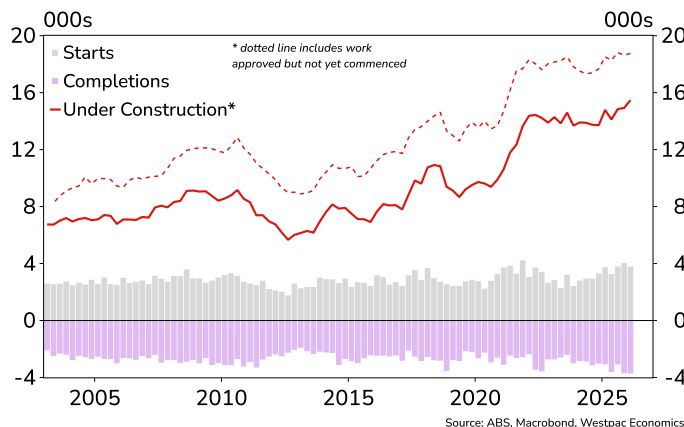
Year-ended growth in headline inflation (quarterly)



Capital city house prices



Dwellings moving through pipeline more quickly



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Consumers outperform expectations ...

Luka Belobrajdic
Economist

How has the state performed? State final demand grew 0.1%qtr in Q2, a lacklustre return to growth following last quarter's -0.9%qtr decline. Even so, annual growth slowed to -3.2%yr, the weakest result since the pandemic, as base effects associated with the Spirit of Tasmania project continued to unwind. Household consumption provided the only meaningful support, rising 0.6%qtr, while investment remained the key drag. Private investment fell 1.2%qtr, driven primarily by dwellings (-3.5%qtr), while new business investment also detracted from growth (-0.7%qtr). New public demand continued to soften, falling 0.3%qtr, with a modest rise in government consumption (0.1%qtr) offset by a decline in new public investment (-1.7%qtr).

A key stat that tells the story. Tasmania's employment-to-population ratio remains the lowest in the nation, at 58.0% in July. The unemployment rate is also elevated at 5.1% on a three-month average basis, while wage growth is the weakest among the states at 2.9%yr in Q2. Combined with population growth of just 0.5%yr, these conditions provide little scope for a strong household demand impulse.

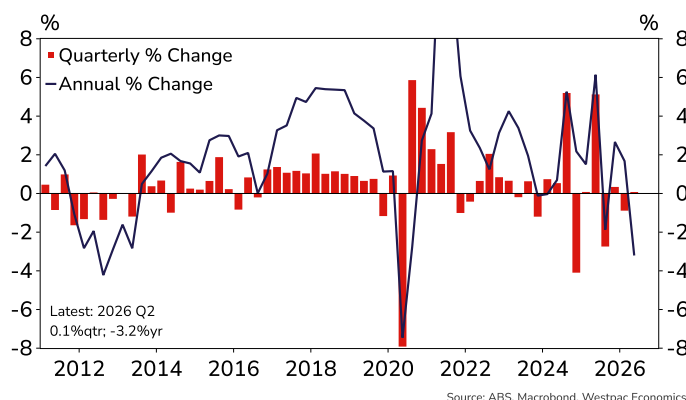
What has surprised? The resilience in household consumption has been somewhat surprising. Spending rose 0.6%qtr, outpacing the national result despite a soft labour market and Hobart inflation running 0.8ppts above the national average.

How can things improve? While Tasmania's participation in the national renewables and data-centre boom has been modest to date, interest is rising. The proposed Firmus developments at Bell Bay highlight the state's potential for energy-intensive digital infrastructure, though electricity availability is a key consideration, with Hydro Tasmania assessing future energy needs and system impacts. Over time, projects such as Marinus Link could support additional renewable generation, strengthen energy security and expand opportunities for electricity exports and energy-intensive industries.

What are we expecting? We estimate Tasmania's GSP to have grown a respectable 2.5%yr in FY26. Elevated zinc, aluminium and dairy prices through the first half of 2026 likely supported exports and provided a solid boost to activity. The result was also aided by favourable base effects following completion of the Spirit of Tasmania project in 2025, which weighed on growth through higher imports. Looking ahead, growth is expected to slow to 1.4%yr in FY27 and 1.1%yr in FY28 as elevated interest rates continue to weigh on activity, with private-sector momentum only partially offsetting a softer public sector. A weak labour market, elevated inflation and a structurally higher share of spending on essentials are likely to constrain household demand in this environment. Further out, investment in renewables and energy infrastructure should provide a more durable source of expansion, while also strengthening Tasmania's appeal as a destination for data-centre investment.

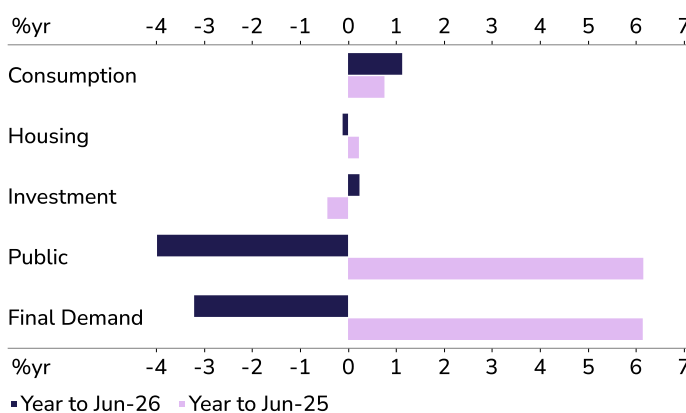
Tas State Final Demand

Chain Volume Measures



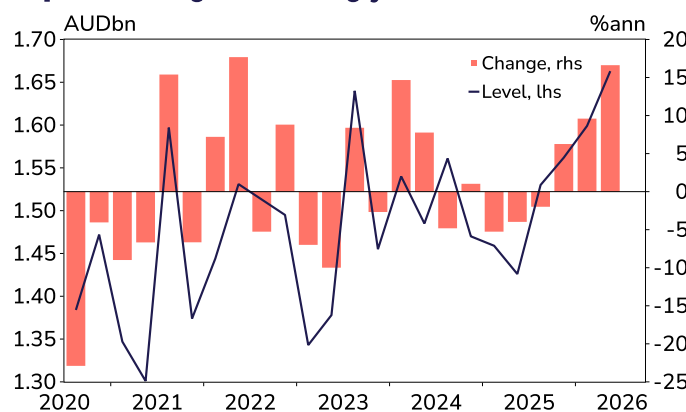
Source: ABS, Macrobond, Westpac Economics

Tas: contributions to state final demand



Source: ABS, Macrobond, Westpac Economics

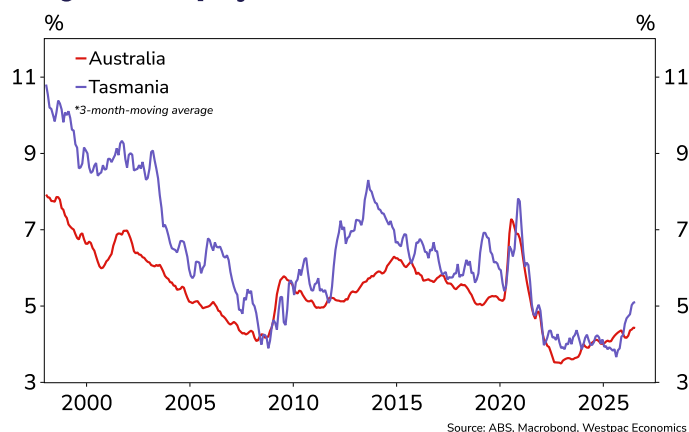
Exports have grown strongly in 2026



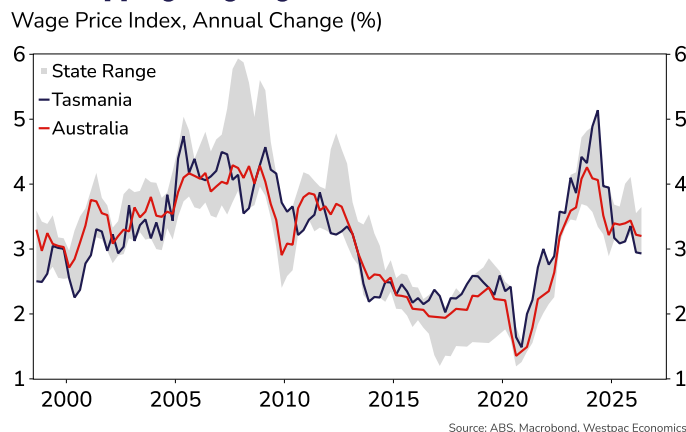
Source: ABS, Macrobond, Westpac Economics

... but broader weakness persists

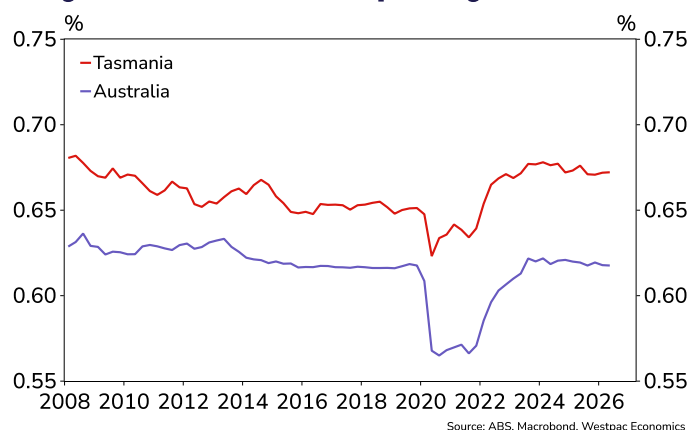
A higher unemployment rate...



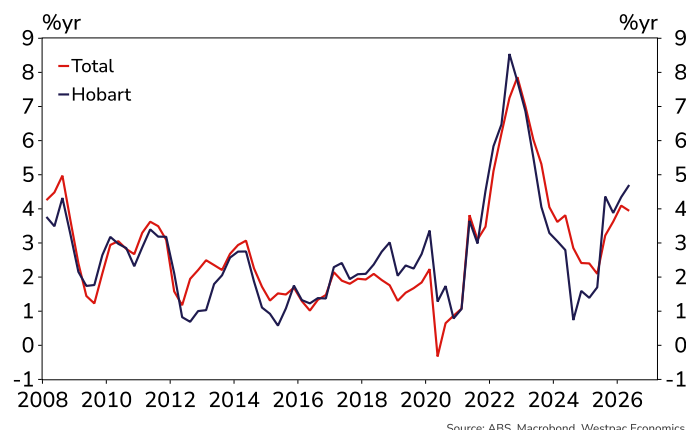
... is capping wages growth



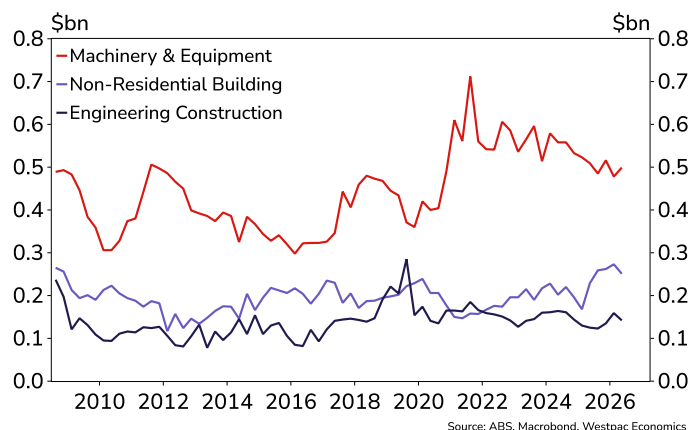
A higher share of essential spending...



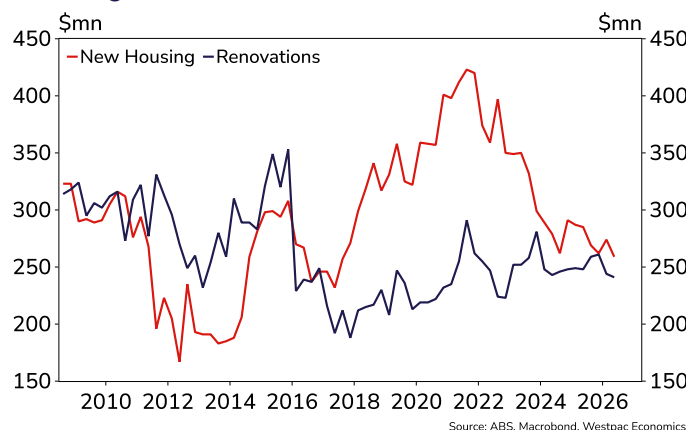
...means elevated inflation bites harder



New business investment



Dwelling investment



Forecasts

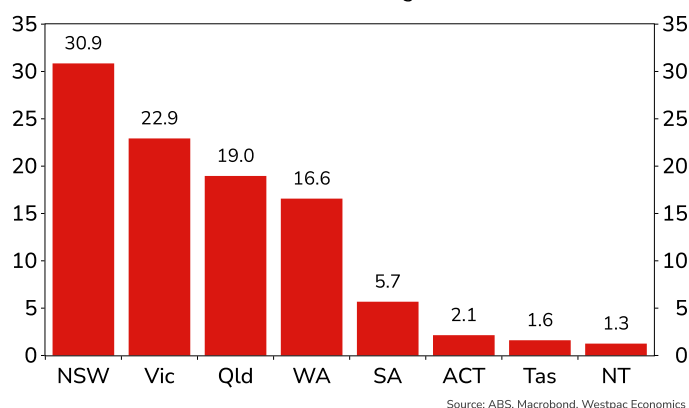
		2024/25	2025/26		2026/27		2027/28	
		Actual	Govt f/c	Westpac Est	Govt f/c	Westpac f/c	Govt f/c	Westpac f/c
Gross State Product (GSP) year-average growth	Aust (GDP)	1.3	2¼	2.3	1¾	1.7	2¼	1.8
	NSW	0.9	1¾	2.1	1.0	1.5	1.0	1.6
	Vic	1.1	1¾	1.7	1½	1.5	2.0	1.7
	Qld	2.2	2½	2.5	1¾	2.0	2.0	2.0
	WA	1.3	3¼	2.4	2¼	1.9	2.0	1.9
	SA	1.0	2¼	2.8	1¾	1.8	2.0	1.7
	Tas	1.0	2¼	2.5	¾	1.4	2¼	1.1
GSP per capita year-average growth	Aust	-0.3	-	0.8	-	0.3	-	0.5
	NSW	-0.3	-	1.0	-	0.3	-	0.6
	Vic	-0.6	-	0.1	-	-0.2	-	0.0
	Qld	0.4	-	0.8	-	0.3	-	0.7
	WA	-1.1	-	0.4	-	0.3	-	0.4
	SA	-0.1	-	1.9	-	1.0	-	0.9
	Tas	0.6	-	2.0	-	0.9	-	0.6
Employment year-average growth	Aust [^]	2.2	1½	1.3	1½	1.7	1¾	1.9
	NSW	1.5	1.0	0.9	1¼	1.6	1.0	1.4
	Vic	2.4	1½	1.1	1¼	1.8	1½	2.2
	Qld [^]	3.1	1½	1.4	1¼	1.3	1¼	2.1
	WA	3.1	1½	1.6	1¾	2.2	1½	2.2
	SA	1.3	3¼	3.0	1.0	2.1	1.0	2.1
	Tas	-0.9	¾	0.8	-½	0.9	1¼	1.3

* Government forecasts for Australia are a weighted average of the state government forecasts. State government forecasts are from the most recent state budget update. Westpac's state numbers are calculated to be consistent with the national forecasts. Westpac GSP estimate based on state final demand, state international trade flows and national figures on inventories.

[^] Through-the-year growth.

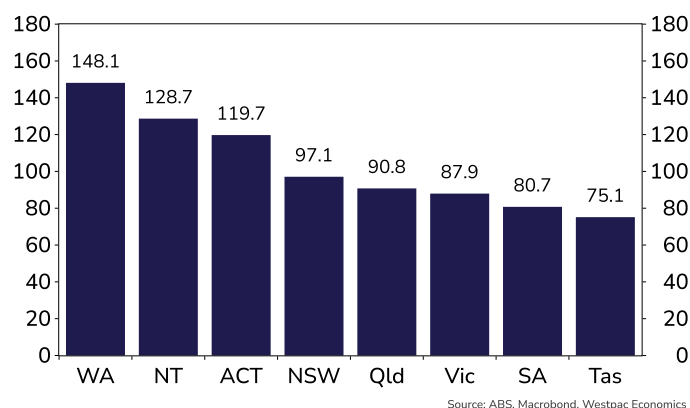
Shares of GSP

Real, Chain Volumes, 2024/25, Percentage



GSP per capita

Real Chain Volumes, 2024/25, \$000s





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WESTPAC COMMODITY FORECASTS

This information is current as at 14 September 2026

Quarter average forecasts	Latest*	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Iron ore finesTSI @ 62% US\$/t	100	97	89	83	83	83	84	84
Iron ore fines contracts (Usc dltu)	155	150	140	130	130	130	130	130
Premium low vol met coal (US\$/t)	274	250	225	203	195	191	192	193
Newcastle spot thermal coal (US\$/t)	147	127	121	116	116	116	116	117
Crude oil (USD/bbl) WTI	72	87	83	78	75	73	70	68
Crude oil (USD/bbl) Brent	102	90	85	80	77	75	72	70
LNG in Japan US\$mmbtu	24.8	19.8	18.7	17.0	15.6	14.6	13.9	13.0
Gold (USD/oz)	4,366	4,500	4,410	4,390	4,370	4,350	4,370	4,400
Aluminium (US\$/t)	3,327	3,300	3,330	3,290	3,230	3,130	3,050	3,000
Copper (US\$/t)	14,526	14,810	13,780	13,090	12,960	12,890	12,840	12,810
Nickel (US\$/t)	16,578	16,570	16,740	16,860	16,950	17,030	17,120	17,200
Zinc (US\$/t)	4,099	4,060	3,860	3,670	3,480	3,340	3,220	3,130
Lead (US\$/t)	1,869	1,870	1,880	1,890	1,910	1,920	1,890	1,870
AUD/USD	0.69	0.73	0.73	0.74	0.74	0.74	0.73	0.73

Quarter average forecasts	Sep-28	Dec-28	Mar-29	Jun-29	Sep-29	Dec-29	Mar-30	Jun-30	Sep-30
Iron ore finesTSI @ 62% US\$/t	85	86	86	87	87	88	89	89	90
Iron ore fines contracts (Usc dltu)	130	130	130	130	130	140	140	140	140
Premium low vol met coal (US\$/t)	195	196	197	199	200	201	203	204	205
Newcastle spot thermal coal (US\$/t)	117	118	118	119	119	120	120	121	121
Crude oil (USD/bbl) WTI	66	65	65	66	66	67	67	68	68
Crude oil (USD/bbl) Brent	68	67	67	68	68	69	69	70	70
LNG in Japan US\$mmbtu	12.2	11.9	11.8	11.9	12.0	12.1	12.2	12.3	12.5
Gold (USD/oz)	4,430	4,460	4,490	4,520	4,550	4,590	4,620	4,650	4,680
Aluminium (US\$/t)	2,950	2,930	2,960	3,000	3,030	3,070	3,110	3,150	3,180
Copper (US\$/t)	12,770	12,750	12,920	13,310	13,810	14,180	14,470	14,760	14,960
Nickel (US\$/t)	17,290	17,380	17,490	17,600	17,720	17,830	17,950	18,070	18,190
Zinc (US\$/t)	3,050	3,000	3,020	3,030	3,040	3,060	3,070	3,080	3,100
Lead (US\$/t)	1,850	1,840	1,840	1,840	1,840	1,850	1,850	1,850	1,850
AUD/USD	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73

*Weekly averages. Sources for all tables: Westpac Economics, Bloomberg, Macrobond ABS.

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